

**Syrian refugees and the resilience of European economic freedom:
Evidence from Austria, Germany, and Sweden***

Benjamin Powell
Texas Tech University

And

Leonel Regalado
Texas Tech University

August 2026

ABSTRACT

The Syrian Civil War led to a mass outflow of refugees. More than one million of them fled to Europe. Did refugees fleeing an origin country with poor economic institutions erode the high-quality economic institutions in destination countries as posited by the “new economic case for immigration restrictions?” We take advantage of the fact that most Syrian refugees settled in only a few European destination countries and use the synthetic control method to create counterfactuals to evaluate the evolution of economic freedom in refugee destination countries against. We do not find robust evidence of a large negative impact on European destination countries’ overall economic freedom; however, we do find some suggestive evidence of a negative effect on Germany and Sweden’s Legal System and Property Rights.

JEL Codes: F22, F66, J68, P00

Key Words: Syrian Refugee Crisis; Economic Freedom; Immigration

* We thank the attendees at the Public Choice Society and Association of Private Enterprise Education conferences, the participants in Texas Tech’s Free Market Institute’s workshop, the editor, and two anonymous referees, for helpful comments on prior drafts.

Syrian refugees and the resilience of European economic freedom: Evidence from Austria, Germany, and Sweden

1. Introduction

The outbreak of the Syrian civil war in 2011 triggered one of the largest refugee crises since World War II. More than 13 million Syrians (over half the country's pre-war population) were displaced internally or forced to flee abroad. More than 6 million lived outside Syria as refugees by 2018 (Connor, 2018). Most refugees resided in neighboring Turkey, Lebanon, and Jordan, but more than one million fled to Europe. This sudden demographic shock prompted widespread political debate across the European Union. European newspapers overwhelmingly portrayed refugees in a predominantly negative way, often using phrases like “we take too many,” “increased insecurity,” and “a burden on welfare and job market,” while many fewer articles mention the “benefits of migration” (Joris et al., 2018). Could a mass refugee flood from a culturally different population, fleeing a country with less liberal political and economic institutions, degrade the more liberal European institutions? This paper takes advantage of the fact that the Syrian refugees settled primarily in three European countries, Germany, Sweden, and Austria, and empirically examines how they impacted these countries' economic institutions using the synthetic control method.

Economists have estimated massive economic gains from greater immigration flows (Clemens, 2011). George Borjas (2014, 2015) and Paul Collier (2013) posited what has become known as the “new economic case for immigration restrictions.” This case can be briefly summarized: 1) The productivity of a country is determined, at least in part, by its formal and informal institutions governing economic activity; 2) the formal and informal institutions are

shaped, at least in part, by the culture, ideology and beliefs, of the people living in these countries; 3) that migrants overwhelmingly flow from countries with low-productivity institutions to countries with high-productivity institutions; 4) if they migrate in great enough numbers and bring the culture, beliefs, and ideology partly responsible for their origin country institutions with them, they could change the institutions in the destination country to devolve in the direction of the institutions in their origin country; 5) if this happens much of the standard economic gains economists have projected from increased immigration would shrink or turn negative. The new economic case for immigration restrictions essentially posits that there is a negative institutional externality that migrates with immigrants.

The new economic case for immigration restrictions is an empirical conjecture, and it has spawned several studies investigating it.¹ A few studies investigated how greater immigration impacts informal/cultural institutions. Bologna Pavlik et al. (2019) finds that larger immigrant stocks, flows, and their interaction, are not associated with changes in the levels of corruption in destination countries over a 20-year time period. Kramer & Sánchez-Piñol Yulee (2025a) use data from the Integrated Value Survey (IVS) and find no evidence that increased immigration is associated with decreased trust in formal institutions and is instead positively associated with generalized trust. Kramer & Sánchez-Piñol Yulee (2025b) use data from the same IVS, while employing panel data models, cross-sectional regressions, and matching methods, to find that immigration tends to increase measures of individualism that are associated with economic growth and social progress in destination countries.

¹ See Nowrasteh and Powell (2020) for a comprehensive book length investigation and Padilla (2024) for a survey of this literature.

Clark et al. (2015) was the first study to examine the association between immigration and formal economic institutions in destination countries. They examined immigrant stocks, flows, and their interaction, and how they were associated with changes in economic freedom over 10-year periods in panel regressions. They found no negative association and often found a positive association between larger immigrant stocks and subsequent increases in economic freedom in destination countries.² Our study is most closely related to a few case studies of the impact of mass migration on a destination country's economic institutions that also employ the synthetic control method. Powell et al. (2017) examines the impact of a mass migration from the former Soviet Union, enabled by the elimination of the Soviet Union's emigration restrictions, to Israel in the 1990s that increased Israel's population by 20 percent. They find that rather than institutional deterioration, the immigrants from the former Soviet Union caused a substantial increase in Israel's economic freedom and it stemmed from their direct participation in the political process. Nowrasteh et al. (2020) take advantage of a natural experiment created by the first Gulf War that created an immigration surge of Kuwaiti-Palestinians that increased Jordan's population by 10 percent. The political participation of these immigrants helped to cause Jordan's economic freedom to rise from roughly the average level of Middle Eastern countries up to the higher levels of economic freedom found in OECD countries.

Geloso et al. (2026) is also related to our study, although it is not exactly a study of immigration. They use the synthetic control method to study the causal effect of German reunification on economic freedom and find that reunification was associated with a temporary

² Other studies have examined the new economic case for immigration within the United States. Examples include Padilla and Cachanosky (2018) who find that greater levels immigration do not decrease state-level economic freedom; Yao et al. (2021) who find that the mass legalization of immigrants from the 1986 Immigration Reform and Control Act did not decrease state level economic freedom; and Bedi et al. (2025) that found that major increases in deportations did not impact crime.

and relatively modest decrease in economic freedom. An important difference between this study and studies on immigration and economic institutions is that all East Germans were integrated into the new polity, whether they preferred to live under the old East German institutions or not. With immigration, only those desiring to move to a new destination country enter the polity, as in the cases of Israel and Jordan. Thus, the reunification case study doesn't allow for a positive selection bias that can result in only those people immigrating who either least like their origin country institutions, or are most attracted to their destination country institutions. The reunification study is essentially an easiest case scenario for the externality posited by the new case for immigration restrictions to manifest.

Our study, like the above studies, employs the synthetic control method and examines how immigration impacts formal economic institutions as measured by the economic freedom index. Syria's economic freedom score was only 4.53 (out of 10) in 2015 and ranked 157th out of 165 countries measured. The three countries, Germany, Sweden, and Austria, receiving most of the Syrian refugees in Europe all scored highly in economic freedom, 8.13 (rank 9th), 7.87 (18th), and 7.92 (23rd) respectively, at the time their refugee surge began. Thus, there is the potential for the negative institutional externality posited in the new economic case for immigration restrictions to occur. Our study falls somewhere between the Israel/Jordan cases and the German reunification case. Unlike the German reunification case, there is no forced integration of Syrians who prefer to stay in Syria's institutional environment. There is likely less positive selection by refugees, displaced by war, into destination countries than there is with more "normal" migration making the positive externality more likely. However, this is partially offset by the fact that policy changes, such as Sweden recognizing all Syrian asylum claims in 2013 and Germany suspending the Dublin Regulation for Syrian refugees in 2015, could have

influenced the refugees' choice of their destination within Europe. If there is some self-selection, where those countries that change policy to be more welcoming to refugees, are precisely those countries whose institutions are strong enough to not be harmed, then this could limit the potential negative externality.

To preview our results, we find heterogeneous effects across countries and individual areas of economic freedom. In general, we do not find robust evidence of a significant negative impact of Syrian refugees on countries' overall level of economic freedom. However, we do find robust evidence that the area of Legal System and Property Rights was negatively impacted in Germany and Sweden following the inflow of Syrian refugees.

The next section of the paper describes the Syrian refugee crisis in greater detail, other studies of that crisis, and the potential mechanisms through which the refugee crisis could impact European countries' economic freedom. Section three describes our synthetic control method and data. Section 4 contains our main results and a final section concludes.

2. The Syrian Refugee Crisis and Potential for Institutional Change

Inspired by the Arab Spring uprising, Syrians took to the streets demanding democratic reforms in March 2011 (*Syria Refugee Crisis Explained*, n.d.). In a series of events, including the capturing and torturing of protestors and authorities opening fire at demonstrators (many of whom died), the conflict quickly escalated. By July 2011, military defectors formed the Free Syrian Army, which turned the civil uprising into an armed insurgency, which evolved into full-scale civil war (*Syrian Civil War* | *Syrian History* | *Britannica*, n.d.). At this time, an exodus started where large numbers of displaced people sought refuge in neighboring (Jordan, Lebanon, or Turkey), and European countries.

The European asylum system relied on the Dublin Regulation in 2015, which assigns processing responsibility to the first EU member that the asylum seeker entered (“What Is the Dublin Regulation?,” n.d.). However, 72% of the asylum applications were being processed by only five countries (Council of Europe Parliamentary Assembly, 2015), placing a significant strain on the “frontline states.” Most refugees traveled through Turkey to Greece or from North Africa to Italy by crossing the Mediterranean. Others took the Western Balkan route, passing through many countries, then reaching Hungary or Croatia, while awaiting a final destination in Austria, Germany or Sweden (Drewski & Gerhards, 2024).

Some countries, including Greece and Italy, stopped registering arrivals and let refugees through to other northern countries. During this time, Germany announced the suspension of the Dublin regulation for Syrians, effectively inviting them to apply to reside in Germany regardless of their entry point. Shortly after, in early September 2015, the German and Austrian governments jointly agreed to keep their borders open to refugees traveling from Hungary (Drewski & Gerhards, 2024). Sweden had already become a significant destination in 2013, when it became the first EU country to grant Syrian asylum seekers automatic permanent residency (Andersson, 2023).

There were around one million Syrian refugees in Europe by 2018 (Connor, 2018). Germany was Europe’s primary destination, hosting 612,000 Syrians (refugees and naturalized citizens) by 2022, followed by Sweden (232,000) and Austria (77,000). The Syrian refugee influx reached more than 1% of the total population in these host countries, with it even reaching 2.21% in Sweden (United Nations High Commissioner for Refugees, 2025; [*Migr_acq*] *Acquisition of Citizenship by Age Group, Sex and Former Citizenship*, n.d.). The size of the

Syrian refugee crisis surpassed the Yugoslav Wars from the 1990s, which had more than 800,000 refugees, as Europe's largest recent refugee crises.

Karaarslan (2020) is the only study we are aware of that used the synthetic control method to examine the Syrian refugee crisis' impact on a European country. He examined the impact of the refugee crisis on the German economy and found no adverse effects on wages, unemployment, or GDP per capita. Lange & Sommerfeld (2024) also studied the impact of refugees in Germany and found no effect on crime rates during the year of arrival but documented a statistically significant increase in crime rates one year later. Nikolov et al. (2022) studied what types of jobs Syrian refugees took in Germany relative to their skill level and found that refugees experienced larger "job downgrading" relative to their origin country employment than the downgrading experienced by normal immigrants.

Outside of Europe, other studies have looked at the impact of the Syrian refugee crisis in neighboring countries, particularly Turkey, which had nearly four million refugees at its peak. Numerous papers have investigated the labor market impact of Syrian refugees in Turkey using a variety of IV and diff-in-diff approaches (Del Carpio & Wagner, 2015; Akgündüz et al., 2015; Tumen, 2016; Ceritoğlu et al., 2017; Aksu et al., 2022; Cengiz & Tekgüç, 2022). These papers generally find null or small adverse effects on Turkish workers as increased informal sector competition from refugees is offset by greater formal sector demand, firm entry, capital inflows, and greater housing demand. Akgündüz et al. (2023) follow up on this literature and find that a larger migrant-to-native ratio increases the number of firms and exports to the Middle East and North Africa. Demirci and Kırdar (2023) investigate the labor market integration of the refugees and find that the native to refugee employment gap is much smaller in Turkey than in developed countries and that this is largely driven through informal sector employment. Fakihi & Ibrahim

(2016) reported minimal labor displacement in Jordan, concluding that there was no significant relationship between the influx of Syrian refugees and key Jordanian labor market variables.

Altındağ and Kaushal (2021) and Aksoy and Tumen (2021) are the two papers studying Syrian Refugees' impact in Turkey that are most related to our study. Altındağ and Kaushal study how native-born voters react to the presence of Syrian refugees using an IV and diff-in-diff methodology comparing provinces with different degrees of exposure to the refugees. They find that a one percentage point increase in refugee share lowers support for the Justice and Development Party (AKP) by 0.47-0.72 percentage points in survey data, but that shift had no significant effect on actual election outcomes between 2011-2015. This relates to one mechanism of potential institutional change, nativist political backlash, that we describe below. Aksoy and Tumen find that refugee inflows generally worsen environmental outcomes in Turkey. However, once they construct a local governance quality indicator and examine environmental outcomes by region, they find that the negative outcomes are almost all in provinces with poor quality local governments. They essentially find that high quality governance mitigates the potential refugee negative environmental externality. This is potentially relevant for our study as we are examining three destination countries with high quality institutions and governance which might enable them to mitigate other institutional externalities.

We are the first paper to study how the Syrian refugee crisis impacted economic institutions in European destination countries. Our measure of economic institutions is the Economic Freedom of the World Annual Report (EFW) by Gwartney et al. (2025). The EFW index measures the consistency of a nation's policies and institutions with economic freedom across five broad areas: 1) Size of Government; 2) Legal System and Property Rights; 3) Sound Money; 4) Freedom to Trade Internationally; 5) Regulation. To score high on the EFW index, a

nation must keep taxes and public spending low, protect private property rights, maintain stable money, keep the borders open to trade, travel, and investment, and limit regulatory restrictions in the marketplace.

There are at least three channels through which the presence of Syrian refugees could impact economic institutions, as measured by the economic freedom index. If the Syrian refugees have different political and ideological preferences than the native-born population, then their participation in the political process could impact winning candidates/parties and the economic policies those candidates/parties support. The mere presence of Syrian refugees could transform existing economic institutions if differences between their culture and that of the native-born population are great enough or if their participation in the labor market (or not) transforms existing institutions. Finally, the presence of Syrian refugees could transform the policy preferences of the native-born population. Let's consider the potential of Syrian refugees to impact European economic institutions through each of these channels.

The ability of Syrian refugees to directly vote to determine policies in European destination countries is restricted. The path to political participation depends on acquiring citizenship, rather than refugee status, in most European countries (Yilmaz & Wolffhardt, 2024). Germany maintains restrictive non-citizen voting policies, excluding all non-citizens from voting at any government level, and during the study period required eight years of legal residence before naturalization eligibility, seven years if the applicant completes a Federal Office for Migration and Refugees (BAMF) integration course, or six years if they had "special integration achievements," at the discretion of the authorities.³ Sweden permits non-citizens to vote in local

³ <https://www.buzer.de/gesetz/4560/al197639-0.htm>. In 2024, this requirement was changed to just five years of legal residence, but it happens after our post-treatment period ends.

and regional elections after three years of continuous residence, while also facilitating naturalization after four years for refugees,⁴ creating both municipal political voice and a quicker path to national electoral participation. Austria has one of Europe's most restrictive frameworks for refugee political participation. It excludes non-citizens from voting entirely at all levels of government and requires ten years of legal residence for refugee naturalization.⁵ Thus, in our data set, Syrian refugees could potentially vote in Sweden's local elections after 2015 and national elections after 2016, in Germany's elections after 2021 at the earliest, for those qualifying under the discretionary six-year track, and they never acquire voting rights in Austria. However, even without directly voting, refugees could otherwise participate in the political process by working for campaigns, advocating for candidates, or otherwise trying to convince legal voters to support their favored candidates or parties. Thus, there is always some potential that Syrian refugees could influence which economic policies are adopted and this potential grows as they have greater formal ability to participate in the political process.

Using data from Eurostat and the UNHCR refugee data, we can see how many Syrian nationals acquired citizenship status in each of these destination countries, and how many remained refugees. As shown in **Table 1**, naturalization rates closely reflect the degree of restrictiveness of each country's naturalization process: by 2023, cumulative Syrian naturalizations reached 58.09% of Sweden's total Syrian population, 18.95% of Germany's Syrian population, and only 4.86% of Austria's Syrian population. The vast majority of Syrians

⁴ <https://asylumineurope.org/reports/country/sweden/content-international-protection/status-and-residence/naturalisation/#:~:text=The%20applicant%20must%20have%20had,on%20the%20type%20of%20misconduct>).

⁵ <https://asylumineurope.org/reports/country/austria/content-international-protection/status-and-residence/naturalisation/>

in Germany and Austria lacked formal voting rights during the treatment period, while a substantial share of Syrians in Sweden acquired voting rights.

Country	Year	Annual Naturalizations	Cumulative Naturalizations	% of Syrians Naturalized
Austria	2014	95	95	1.41
	2015	79	174	1.15
	2016	134	308	0.98
	2017	98	406	0.92
	2018	103	509	1.02
	2019	164	673	1.28
	2020	211	884	1.58
	2021	543	1,427	2.24
	2022	1,165	2,592	3.39
	2023	1,865	4,457	4.86
Germany	2014	1,820	1,820	4.25
	2015	2,028	3,848	3.22
	2016	2,263	6,111	1.60
	2017	2,479	8,590	1.70
	2018	2,880	11,470	2.11
	2019	3,860	15,330	2.61
	2020	6,700	22,030	3.51
	2021	19,100	41,130	6.20
	2022	48,385	89,515	14.62
	2023	75,485	165,000	18.95
Sweden	2014	505	505	1.45
	2015	1,381	1,886	3.45
	2016	4,496	6,382	6.18
	2017	8,635	15,017	12.66
	2018	10,625	25,642	19.00
	2019	20,066	45,708	28.72
	2020	24,470	70,178	37.98
	2021	31,113	101,291	46.78
	2022	19,069	120,360	51.98
	2023	11,133	131,493	58.09

Table 1: Syrian Naturalizations in Destination Countries

Syrian refugees could impact economic institutions in European destination countries even without any influence on the political process. First, and most obviously, they could grow the size of the welfare state, enlarging the Size of Government (Area 1), and thus decreasing measured economic freedom. The increased burden on the welfare state could come from

different preferences and work ethics of the refugees than the native population or could occur due to barriers that prevent the refugees from entering the labor market and supporting themselves. The refugees could also erode the quality of the legal institutions, rule of law, and security of property rights, if their informal culture is significantly different than the native-born population (Area 2). They could erode social trust that helps enforce contracts or they could increase corruption, fraud, and crime that undermines the rule of law and security of property rights.

Finally, the presence of Syrian refugees could change the policy preferences of native-born voters. If Syrian refugees are a welfare state drain, natives could respond by voting to shrink the size of their welfare state, which would improve a country's economic freedom score through its Size of Government score (Area 1). Razin et al. (2002) found that a larger share of low-education immigrants in the population leads to smaller social transfers and lower rates of taxation on labor in 11 European countries from 1974 to 1992. Alesina et al. (2021) examined how immigration affected the preferences for redistribution of the native born population across 140 regions in 16 European countries between 1990 and 2010 and found people living in areas more exposed to immigration had significantly lower preferences for redistribution and that the preference against redistribution was strongest when the immigrants originated from the Middle East and North Africa. More recently Alesina et al. (2023) used surveys and experimental evidence from five European countries and the United States and found that perceptions of immigrants made people less supportive of redistribution. Syrian refugees could induce a policy shift in this direction. Conversely, if natives' fear of unemployment increases due to labor market competition from the refugees, they may favor a larger welfare state. Brady & Finnigan (2014) find that immigration makes the native-born desire their government to provide a more

generous social safety net when they examine the stock and the flow of immigrants on six measures of the population's views of the welfare state from 1996 to 2006. This idea would be broadly consistent with Rodrik (1998) that found a positive correlation between exposure to international trade and a larger size of government.

The presence of Syrian refugees could also increase what Caplan (2007) calls “anti-foreign bias” and lead native born voters to favor more restrictive travel policies, and other restrictions on international trade reducing economic freedom through its Freedom to Trade score (Area 4). Finally, natives could respond to increased labor market competition from refugees by implementing stricter labor market regulations, like raising the minimum wage to price out low-skilled refugees or strengthening laws that make it harder to dismiss workers, both of which would decrease economic freedom in Regulation (Area 5).

Another way that immigration could influence economic freedom through the votes of the native-born population is through support for right-wing parties. Mayda et al. (2022) found that, while high-skilled immigration increased the Democratic vote share of the native-born population, low-skilled immigration increased the Republican vote share, which they associate with the right-wing anti-immigrant party. In general, the literature on immigration and right-wing vote shares in Europe tends to find that increases in immigrant flows increase the share of “far-right” parties in elections, however, like the U.S. case, this can depend on immigrant skill level and origin (Edo & Giesing, 2020; Halikiopoulou & Vlandas, 2020; Halla et al., 2017; Konstantinou & Roumanias, 2024). Some of this literature has focused on European refugee destination countries and has found mixed results. On the one hand, Steinmayr (2016) finds that exposure to refugees leads to reductions in far-right support. On the other hand, there are studies that have found that refugee presence has led to increased support of far-right parties (Campo et

al., 2022; Tolsma et al., 2021). And sitting in between, studies have found both reduced and increased support depending on geography and the size of the unit of analysis (Dustmann et al., 2019; Fremerey et al., 2024). Our study is agnostic on how Syrian refugees impact right-wing (or left-wing) parties' electoral prospects. For our purposes, what matters is whether economic policies change in such a way as to decrease (or increase) economic freedom due to the presence of refugees. However, Castro and Martins (2021) studied how government ideology impacted economic freedom in 106 countries between 1975 and 2015 and found that right-wing governments tended to promote economic freedom and in particular, freedom to trade internationally (Area 4) and easing regulations (Area 5). Thus, if native backlash against Syrian refugees manifests itself in right-wing electoral success, economic freedom in destination countries could increase.⁶

Syrian refugees have the potential to change European destination countries' economic institutions through all three channels and, depending on which aspect, of which channel, could lead a country to either increase or decrease its overall economic freedom. Size of Government (Area 1) could decrease if refugees are a burden on the welfare state or exercise their political preferences for greater redistribution. However, government size could decrease if native-born voters express a backlash against redistribution to immigrants. Legal System and Property Rights (Area 2) could decrease if refugees decrease social trust, commit crimes, and undermine the rule of law. Freedom to Trade (Area 4) and Regulation (Area 5) could decrease if anti-foreign bias influences voter preferences, however, if it pushes right-wing parties toward greater political influence, and those parties favor international trade and deregulation it could increase

⁶ Gründler et al. (2024) examined how government ideology was associated with changes in economic freedom between 2000 and 2020 and also found that left-wing governments were associated with lower economic freedom compared to right-wing governments and that this was driven entirely by populist left-wing governments.

economic freedom scores in these areas. Assessing whether such channels produced measurable effects thus requires an empirical strategy that isolates institutional change from broader trends. We therefore turn to our identification approach and define treatment based on the relative magnitude of Syrian refugee inflows across European host countries.

3. Method and Data

We use the Synthetic Control Method (SCM) developed by Abadie & Gardeazabal (2003) and expanded on in Abadie et al. (2010, 2015) to determine whether the Syrian Refugee crisis altered economic freedom in countries that received many refugees.⁷ This method constructs a weighted average of control countries to approximate the counterfactual outcomes for the treated countries. After observing the magnitude of the outcome differences between the treated countries and their synthetic counterfactuals, we follow Cavallo et al. (2013) by constructing permutation tests to examine the statistical significance of these differences. We first construct a synthetic counterfactual for each of our donor pool countries (placebos) following the same SCM we used for our treated countries. Then we measure the absolute value of the difference between our synthetic treated countries and the real countries and rank that effect relative to the absolute values of each of the placebos in each post-treatment year. We then divide by the pre-treatment root mean squared prediction error (RMSPE) to account for the fact that worse pre-treatment fits are more likely to have larger post-treatment deviations. The p-values that result from this process indicate the number of placebos with larger effects than the real treated country, divided by the number of placebos.

⁷ The synthetic control estimates were produced in Stata using the `synth` and `synth_runner` packages, with the `allopt` and nested optimization options, and the synthetic difference-in-differences results using the `sdid` and `sdid_event` packages. The stacked analysis was implemented manually in Python from the per-country synthetic control output, with joint inference from all possible donor-country triples ($\approx 6,900$).

In our case, the synthetic control method depends on creating a reliable counterfactual by using a donor pool of countries that did not experience a large inflow of Syrian refugees but that are otherwise similar to the countries that did. We take advantage of the fact that Syrian refugees became sizeable proportions of the population in only a few European countries and use European countries with few refugees to construct our counterfactual. **Figure 1** shows the Syrian to population ratio in each European country between 2000 and 2023. We classify countries that attained a Syrian population of more than 0.5% of the total country population as our treated countries. Germany, Sweden, Austria and Cyprus all had a Syrian population above this threshold.⁸ However, Cyprus is excluded from our analysis because they had to undertake significant economic reforms, that would impact its economic freedom score, during this decade due to exposure to the Greek debt crisis that was unrelated to the Syrian refugee surge – and thus violates the single treatment requirement of the synthetic control method.

Our donor pool consists of all European countries whose Syrian population was below 0.1% of total population for the whole period. All countries that had higher than 0.1% and lower than 0.5% refugee-population ratio were excluded from the donor pool to ensure a clear distinction between our treated and control countries.⁹ Additionally, Finland was dropped as a control because, although it did not have a Syrian population ratio exceeding the 0.1% cutoff, it did have a large Somali and Iraqi refugee population that exceeded this threshold during the period of analysis.

⁸ The Netherlands and Norway also crossed the 0.5 percent threshold in 2022 and 2023 respectively, which does not leave us with enough of a post-treatment period to analyze. They are also excluded from our donor pool because their percentage of Syrians exceeded 0.1 percent.

⁹ There is a clear break between our three treated countries and the rest of the donor pool. While we exclude these “semi-treated” countries for a clean analysis there is little reason to vary our threshold for treatment as we’d have to drop the threshold to 0.3 to get an additional treated country (Denmark) with a long-enough post-treatment period for analysis.

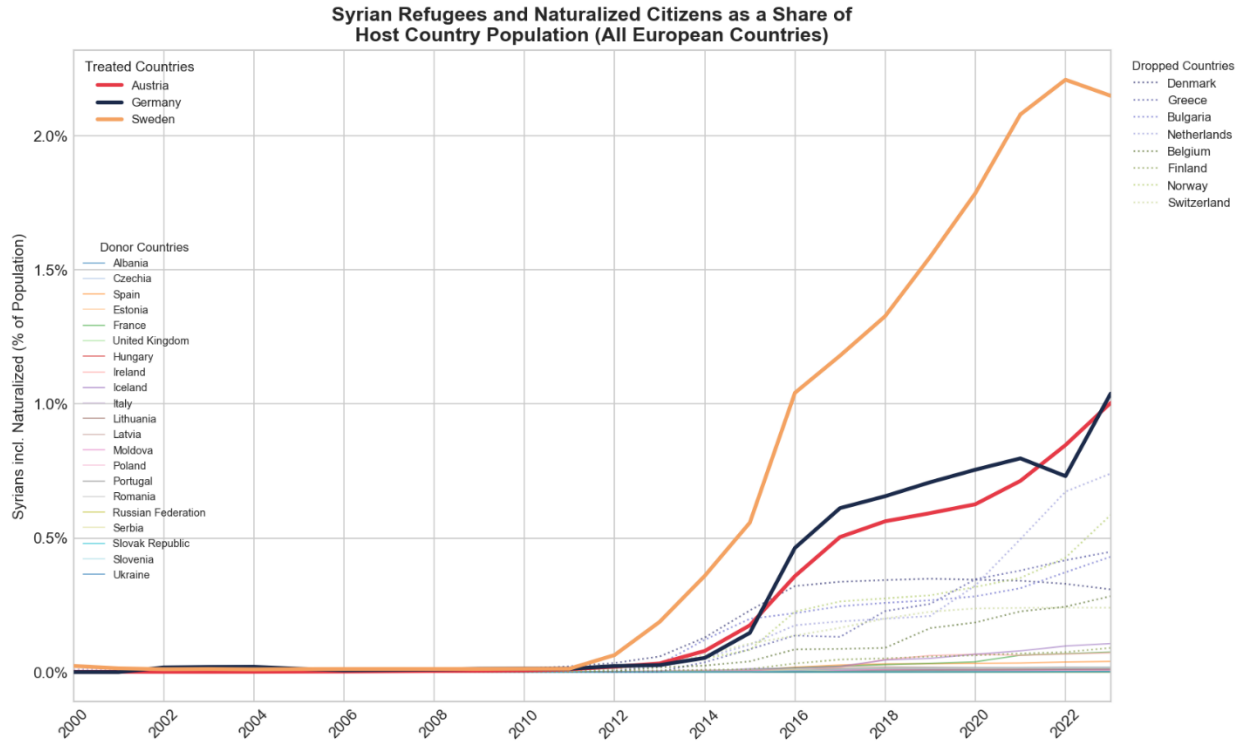


Figure 1: Syrian Migrants as a % of Total Population of European Countries.

This leaves us with three treated countries and 21 donor countries, with eight countries dropped from the donor pool in order to satisfy the stable unit treatment value assumption (SUTVA) of the SCM.¹⁰ To define the timing of treatment, we use the slope of the refugee-to-population ratio over time and identify the first year in which the year-to-year change is equal to 0.1% or more.¹¹ This criterion captures the moment when a country experiences a clear increase in the inflow of Syrian refugees. According to this procedure, treatment begins in 2013 for Sweden and 2015 for both Germany and Austria. Although our focus is on the impact of the Syrian refugee surge, Figure 2 shows the overall immigrant stock from Middle Eastern countries

¹⁰ Donor Countries: Albania, Czechia, Spain, Estonia, France, the United Kingdom, Hungary, Ireland, Iceland, Italy, Lithuania, Latvia, Moldova, Poland, Portugal, Romania, the Russian Federation, Serbia, the Slovak Republic, Slovenia, and Ukraine. The countries dropped because of having too many refugees are: Denmark, Greece, Bulgaria, Netherlands, Norway, Switzerland, Belgium, Finland.

¹¹ We implicitly relax this threshold in a robustness check that moves the treatment two years earlier to account for any anticipation effects.

as a percent of European destination countries' population over time in order to see how normal migration from the region might impact our results. All donor pool countries have very low levels of Middle Eastern immigrants as a percent of their population, and these low levels are stable both pre- and post-treatment dates. Thus, changes in flows of other Middle Eastern immigrants should not undermine the ability of our synthetic controls to provide a reasonable counterfactual that would have occurred absent the Syrian refugee surge.

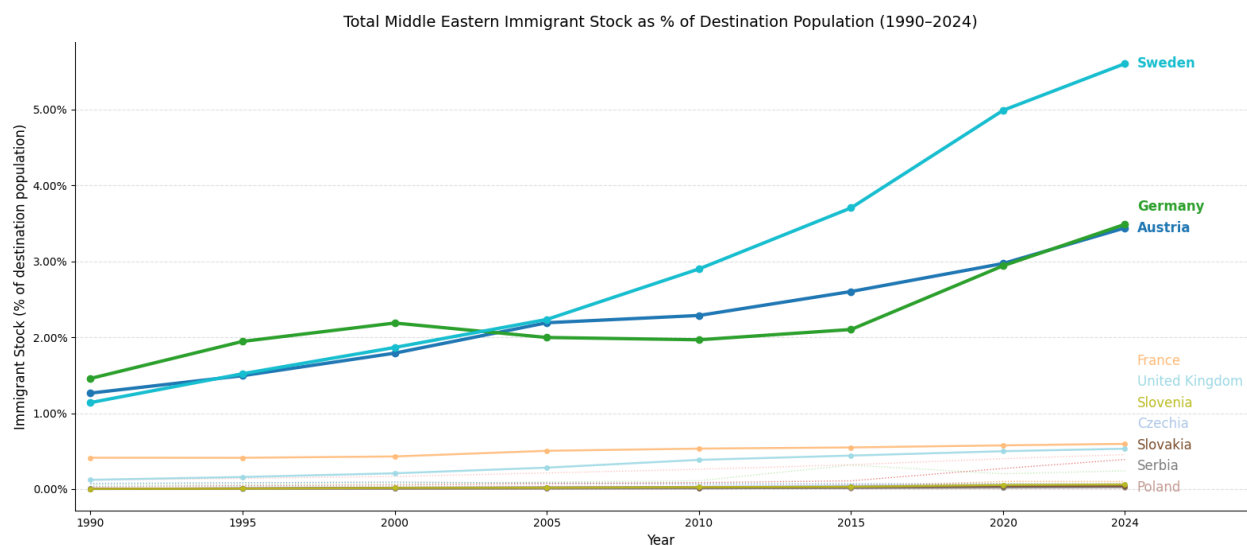


Figure 2: Middle-Eastern-Origin Immigrant Stock by Destination Country.

Our three treated countries, Sweden, Germany, and Austria, are also outliers in their overall Middle Eastern immigrant stocks, as can be seen in Figure 2. Middle Eastern immigrants were 2.10 percent of Germany's population and 2.60 percent of Austria's population when the Syrian refugee surge began in 2015. They accounted for 2.90 percent of Sweden's population in 2010 before its refugee surge began in 2013. As can be seen in the figure, Sweden experienced a small increase in Middle Eastern migration prior to the onset of the refugee surge however, most of the increase occurred post-treatment and essentially all of the increase in Middle Eastern migration to Germany and Austria occurred post-treatment. The share of Middle Eastern

immigrants in the population rose to 5.60 percent, 3.49 percent, and 3.44 percent in Sweden, Germany, and Austria, respectively, by the end of our post-treatment period. Although pre-treatment immigration from the region should not undermine our identification strategy, our post-treatment empirical results will combine any impact increased Middle Eastern migration had with the impact of Syrian refugees.

Our main variable of interest is the Economic Freedom Index score. These scores come from the *Economic Freedom of the World Annual Report* (Gwartney et al., 2025), which is available annually beginning in 2000. This gives us 12 to 14 pre-treatment years and 9 to 11 post treatment years depending on country. EFW ranges from 0 to 10. The average European country in the dataset has a score of 7.35 in 2023 compared to a global average of 6.56. Meanwhile, Syria’s score was only 4.53 in 2015 and ranked near the bottom in the world at 157th out of 165. We use three lags of this dependent variable when constructing our synthetic control: the year before the surge, and then two additional lags spaced out five years apart (6 years and 11 years pre-surge). In our main analysis we follow Abadie & Vives-i-Bastida (2022) in using both pre-treatment outcome variables and other indicator variables associated with our outcome of interest to construct our synthetic counterfactuals. However, as a robustness check, we follow Ferman et al. (2020) and include an analysis with no covariates and all-lags of the dependent variable available.

Although our data allows nine to eleven post-treatment years depending on country, there is some concern that the COVID-19 pandemic response may shorten the “clean” post-treatment window to five to seven years. Miozzi and Powell (2023) somewhat mitigate this concern by showing that the majority of lockdown regulations imposed during the pandemic are not picked up in the economic freedom index. However, despite missing these regulations, the average

score in the standard economic freedom index had its largest drop ever in 2020 and fell further in 2021. Syrian refugee destination countries and all donor countries were “treated” with the pandemic and, if their pandemic responses were similar, the post-treatment years during the pandemic could still plausibly isolate the effect of Syrian refugees. However, if refugee destination countries and donor countries had heterogeneous pandemic responses, unrelated to refugees, that impacted measured economic freedom it could pollute the results in the later post-treatment years. To address this, we simply shade in results in post-treatment years potentially contaminated by the pandemic in all figures in the results section and readers can adjust their levels of confidence in the results in those years accordingly.

Our discussion of mechanisms in section 2 identified four of the five areas of economic freedom where the Syrian refugee crisis was most likely to have an impact on economic freedom. So, we separately construct synthetic controls for these four areas (Size of Government, Legal System and Property Rights, Freedom to Trade, Regulation) in each of our treated countries. All three treated countries were outliers with higher Legal System and Property Rights scores than almost all or all the donor pool countries in all pre-treatment years making it impossible to construct a convex set of donors. So, we follow Ferman and Pinto (2021) and Grier et al. (2023) by normalizing the outcome variable to 1.0 in the year prior to treatment and then proceed to create a synthetic control that essentially matches on changes rather than levels where compare the treated country's proportional evolution from the anchor year with the weighted proportional evolution of the donor countries. The countries' high levels might create a ceiling effect where it is hard for them to increase their score further in the post-treatment period. However, as argued in the discussion of mechanisms in section 2, the anticipated effect would be to possibly lower, not raise, the Legal System and Property Rights score. So, ceiling effects

would not prevent a deterioration in their score. However, since donor countries have greater capacity to improve their scores, we could find a negative treated-synthetic gap even without an adverse treatment effect if donor countries improve. However, as our figures reported in our main results and our robustness checks indicate, all of our significant findings involved deteriorations in the property rights trends in our treated countries with relatively stable trends in our synthetic controls. Mean reversion is a second possible concern. Our synthetic control is matching on trends and if mean reversion from their high levels was occurring in both the pre- and post-treatment periods our control should account for that. However, if mean reversion occurs in only the post-treatment period it would bias our results towards overestimating a negative impact of Syrian refugees on Legal System and Property Rights. This is a caveat to keep in mind as we are not aware of any way to correct for it.

We picked covariates based on the literature studying causes of economic freedom. Lawson et al. (2020) surveyed this literature and found that the most consistent correlates with levels and changes in economic freedom were prior levels of economic freedom, political/civil freedoms, and inequality. Thus, in addition to lags of our dependent variable, we include a Gini index from the World Bank (2025) and a Civil Liberties Index from Freedom House (2025) as covariates. Additionally, we include a measure of human capital from the Penn World Tables (Feenstra et al., 2015) because Grier & Grier (2021) found it was a significant predictor of countries that make large and sustained jumps in economic freedom. We also include GDP per capita as an additional covariate to take into account income levels in treated and control countries.

4. Results

We create individual synthetic counterparts for Austria, Germany and Sweden's overall economic freedom and for the four individual areas of economic freedom most likely to be

impacted by the refugee crisis. We next examine each country individually and explore any significant differences between the real country's overall economic freedom and each area's score and their synthetic counterparts. Next we conduct a series of robustness checks on our main results. Finally, we summarize our overall general findings and by comparing an average of the real countries' scores and the average synthetic counterparts' score in each pre- and post-treatment year in a "stacked" synthetic control analysis.

a. The Synthetic Counterfactuals

All of our synthetic controls appear to be reasonable counterfactuals to evaluate Austria, Germany, and Sweden's overall economic freedom and individual areas against. All of these synthetic controls are constructed from the same 21 European donor countries (except Area 4 which excludes Serbia and Moldova due to missing data) but to economize on space each table only includes donor countries receiving positive weights. Each of the synthetic controls is also constructed using the same covariates.¹² We describe each of these by country.

Austria

Table 2 shows the donor weights for Synthetic Austria and each of the four individual areas of freedom analyzed. Synthetic Austria is primarily comprised of the United Kingdom (0.469), France (0.158) and the Czech Republic (0.136), with small contributions from Slovenia (0.097), the Slovak Republic (0.075), and Ireland (0.064). The pre-treatment fit is strong, with an RMSPE of 0.049. The synthetic control for Austria's size of government is composed of Poland (0.360), Slovenia (0.341), France (0.190) and Iceland (0.108) with an RMSPE of 0.156.

¹² In instances where we had to normalize the outcome variable to 1.0 in the year prior to treatment, we also had to move the last lagged pretreatment of the outcome variable forward one year to not coincide with the normalized year.

Austria's synthetic control for the Legal System and Property Rights is comprised of Ireland (0.561), Estonia (0.219), France (0.195), and the United Kingdom (0.025) with an RMSPE of 0.008 (the variable here is scaled, not the actual index). Austria's synthetic control for Freedom to Trade is comprised of Ireland (0.496), Spain (0.222), Iceland (0.203) and Italy (0.078) with an RMSPE of 0.077. Finally, Austria's synthetic control for Regulation is comprised of France (0.492), Estonia (0.201), Slovenia (0.188), Czechia (0.060), and the United Kingdom (0.060) with an RMSPE of 0.053. **Table 3** contains our predictor balances for each of these synthetic controls.

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.136	—	—	—	0.060
Estonia (EST)	—	—	0.219	—	0.201
France (FRA)	0.158	0.190	0.195	—	0.492
Iceland (ISL)	—	0.108	—	0.203	—
Ireland (IRL)	0.064	—	0.561	0.496	—
Italy (ITA)	—	—	—	0.078	—
Poland (POL)	—	0.360	—	—	—
Slovak Republic (SVK)	0.075	—	—	—	—
Slovenia (SVN)	0.097	0.341	—	—	0.188
Spain (ESP)	—	—	—	0.222	—
United Kingdom (GBR)	0.469	—	0.025	—	0.060
RMSPE	0.049	0.156	0.008	0.077	0.053

Table 2: Donor weights for Austria. Donors with weight > 0.005 in at least one specification are listed; "—" indicates weight ≤ 0.005 . RMSPE is the pre-treatment root-mean-squared prediction error between the treated unit and its synthetic control.

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	7.900	7.895	5.576	5.527	–	–	8.592	8.536	7.059	7.112
EFW (2013)	–	–	–	–	0.989	0.986	–	–	–	–
EFW (2009)	7.790	7.769	5.310	5.334	1.014	1.007	8.486	8.479	6.824	6.820
EFW (2004)	7.970	7.962	5.560	5.480	0.973	0.973	9.148	9.109	7.034	7.138
gini	30.154	31.608	30.154	30.120	30.154	32.870	30.154	32.228	30.154	31.095
percapitagdp	41,928	33,421	41,928	21,958	41,928	38,101	41,928	41,889	41,928	27,349
CL	1.000	1.152	1.000	1.166	1.000	1.088	1.000	1.055	1.000	1.169
hc	3.229	3.454	3.229	3.179	3.229	3.096	3.229	2.922	3.229	3.232

Table 3: Covariate balance for Austria. "EFW (yyyy)" refers to the aggregate index in the Main EFW column and to the corresponding subindex in the area columns. Pre-treatment outcome lags differ across specifications because rescaled cells drop the anchor-year predictor.

Germany

Table 4 shows the donor weights for Synthetic Germany and each of the four individual areas of freedom analyzed. Synthetic Germany is comprised primarily of the United Kingdom (0.571) and the Czech Republic (0.342) with smaller contributions from Ireland (0.087) and Serbia (0.001). The pre-treatment fit is strong, with an RMSPE of 0.06. The synthetic control for the Size of Government consists of Ireland (0.531), Czechia (0.200), the Slovak Republic (0.178), Latvia (0.049) and France (0.041) with an RMSPE of 0.161. Like Austria, Germany's Legal System and Property Rights score was an outlier, so we normalized its outcome variable to 1.0 in the year prior to treatment and then constructed our synthetic control which consists of Estonia (0.444), Ireland (0.316), France (0.197) and Slovenia (0.044) with an RMSPE of 0.009. The synthetic control for Germany's Freedom to Trade consists of the United Kingdom (0.726), Iceland (0.143), and Italy (0.132) with an RMSPE of 0.196. Finally, the synthetic control for Germany's Regulation consists of Ireland (0.429), Czechia (0.385), and Poland (0.186) with an RMSPE of 0.165. **Table 5** contains our predictor balances for each of these synthetic controls.

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.342	0.200	—	—	0.385
Estonia (EST)	—	—	0.444	—	—
France (FRA)	—	0.041	0.197	—	—
Iceland (ISL)	—	—	—	0.143	—
Ireland (IRL)	0.087	0.531	0.316	—	0.429
Italy (ITA)	—	—	—	0.132	—
Latvia (LVA)	—	0.049	—	—	—
Poland (POL)	—	—	—	—	0.186
Slovak Republic (SVK)	—	0.178	—	—	—
Slovenia (SVN)	—	—	0.044	—	—
United Kingdom (GBR)	0.571	—	—	0.726	—
RMSPE	0.060	0.161	0.009	0.196	0.165

Table 4: Donor weights for Germany. Donors with weight > 0.005 in at least one specification are listed; "—" indicates weight ≤ 0.005 . RMSPE is the pre-treatment root-mean-squared prediction error between the treated unit and its synthetic control.

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	8.090	8.091	6.233	6.226	—	—	8.450	8.548	7.552	7.546
EFW (2013)	—	—	—	—	0.998	0.988	—	—	—	—
EFW (2009)	7.940	7.860	6.075	6.068	1.015	1.012	8.519	8.582	6.726	6.659
EFW (2004)	8.030	8.100	6.189	6.182	0.954	0.957	9.122	9.060	6.888	7.030
gini	30.533	31.833	30.533	30.498	30.533	32.792	30.533	33.861	30.533	30.533
percapitagdp	37,836	33,653	37,836	32,848	37,836	29,455	37,836	41,920	37,836	28,393
CL	1.133	1.169	1.133	1.138	1.133	1.152	1.133	1.142	1.133	1.152
hc	3.623	3.580	3.623	3.201	3.623	3.197	3.623	3.453	3.623	3.265

Table 5: Covariate Balance for Germany. "EFW (yyyy)" refers to the aggregate index in the Main EFW column and to the corresponding subindex in the area columns. Pre-treatment outcome lags differ across specifications because rescaled cells drop the anchor-year predictor.

Sweden

Synthetic Sweden, as shown in Table 6, is comprised mainly of Ireland (0.401) and United Kingdom (0.39), with smaller contributions from Poland (0.114), the Czech Republic

(0.055), and Serbia (0.04). The pre-treatment fit is strong, with an RMSPE of 0.09. Sweden's Size of Government score was lower than any donor pool countries and thus we had to normalize the synthetic controls for both the Size of Government and Legal System and Property Rights to 1.0 in the year prior to treatment. The synthetic control for Sweden's Size of Government is comprised of Ireland (0.426), Czechia (0.415), France (0.088), Spain (0.049), and Hungary (0.021) with an RMSPE of 0.014. The synthetic control for its Legal System and Property rights is comprised of Ireland (0.516), Estonia (0.169), Italy (0.151), the United Kingdom (0.123), and Czechia (0.041) with an RMSPE of 0.007. Sweden's Freedom to Trade and Regulation scores were not outliers, so their synthetic controls were constructed normally. The Freedom to Trade synthetic control consists of the United Kingdom (0.497), France (0.276), Iceland (0.143) and Spain (0.085) with an RMSPE of 0.061. Finally, the synthetic control for Regulation consists of Estonia (0.580), France (0.164), Poland (0.120), Ireland (0.084) and the United Kingdom (0.042) with an RMSPE of 0.134. **Table 7** contains our predictor balances for each of these synthetic controls.

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.055	0.415	0.041	–	–
Estonia (EST)	–	–	0.169	–	0.580
France (FRA)	–	0.088	–	0.276	0.164
Hungary (HUN)	–	0.021	–	–	–
Iceland (ISL)	–	–	–	0.143	–
Ireland (IRL)	0.401	0.426	0.516	–	0.084
Italy (ITA)	–	–	0.151	–	–
Poland (POL)	0.114	–	–	–	0.120
Russian Federation (RUS)	–	–	–	–	0.010
Serbia (SRB)	0.040	–	–	–	–
Spain (ESP)	–	0.049	–	0.085	–
United Kingdom (GBR)	0.390	–	0.123	0.497	0.042
RMSPE	0.090	0.014	0.007	0.061	0.134

Table 6: Donor weights for Sweden. Donors with weight > 0.005 in at least one specification are listed; "—" indicates weight ≤ 0.005 . RMSPE is the pre-treatment root-mean-squared prediction error between the treated unit and its synthetic control.

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2012)	7.880	7.824	—	—	—	—	8.314	8.435	7.635	7.580
EFW (2011)	—	—	1.021	1.009	1.001	1.001	—	—	—	—
EFW (2007)	7.790	7.926	1.026	1.056	1.008	1.010	8.655	8.671	7.085	7.274
EFW (2002)	7.870	7.886	0.972	0.972	0.982	0.982	9.189	9.185	7.350	7.334
gini	26.900	33.447	26.900	30.065	26.900	33.148	26.900	33.269	26.900	33.485
percapitagdp	46,098	37,681	46,098	31,320	46,098	37,830	46,098	39,618	46,098	20,940
CL	1.000	1.152	1.000	1.159	1.000	1.142	1.000	1.133	1.000	1.287
hc	3.279	3.278	3.279	3.230	3.279	3.135	3.279	3.282	3.279	3.274

Table 7: Covariate balances for Sweden. "EFW (yyyy)" refers to the aggregate index in the Main EFW column and to the corresponding subindex in the area columns. Pre-treatment outcome lags differ across specifications because rescaled cells drop the anchor-year predictor.

b. Individual country synthetic controls

Austria

The evolution of Austria's overall economic freedom relative to synthetic Austria is displayed in **Figure 3** which also presents the magnitude of the difference between Austrian and synthetic Austria in each post-treatment year and the statistical significance of those differences is reported at the bottom of each bar. Following the 2015 refugee inflow, Austria's actual EFW index and its synthetic have similar trajectories with the synthetic always slightly higher. The estimated p-values show significance at a 5% level only for 2016, without any significant effects after this year and the magnitude of the significant effect is small, at only 0.10 when Austria's economic freedom score was 7.92 at the time of the treatment.

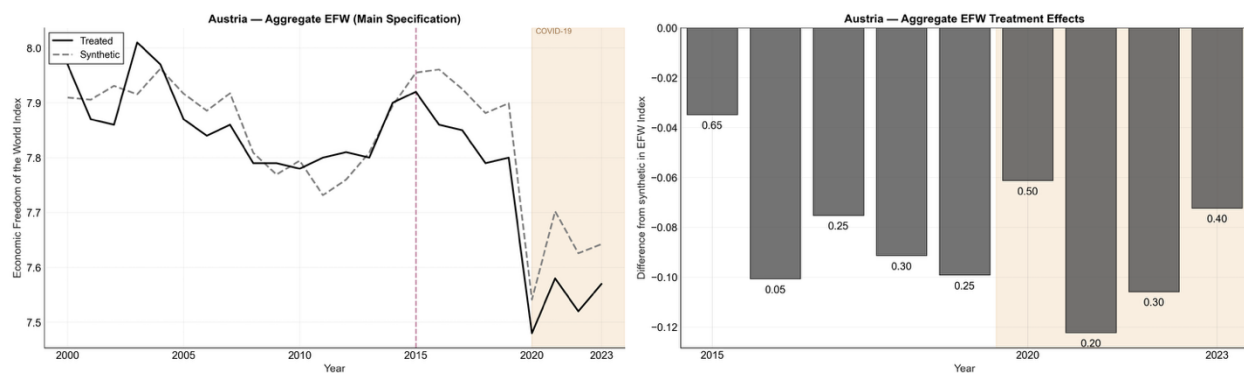


Figure 3: Austria – Aggregate EFW synthetic control (left), effect magnitudes and p-values (right).

Figure 4 illustrates the synthetic results for each of the four areas of economic freedom in Austria. Although the real Austria generally scores lower than its synthetic counterpart in each of the four areas, none of the results for the Size of Government, Legal System and Property Rights, and Freedom to Trade are statistically significant. Only Regulation shows a few statistically significant years (2019, 2022, 2023) at the 10 percent level and the magnitudes are small at between 0.1 and 0.175 points, while its overall Regulation score ranged from 6.8 to 7.1 during those years.

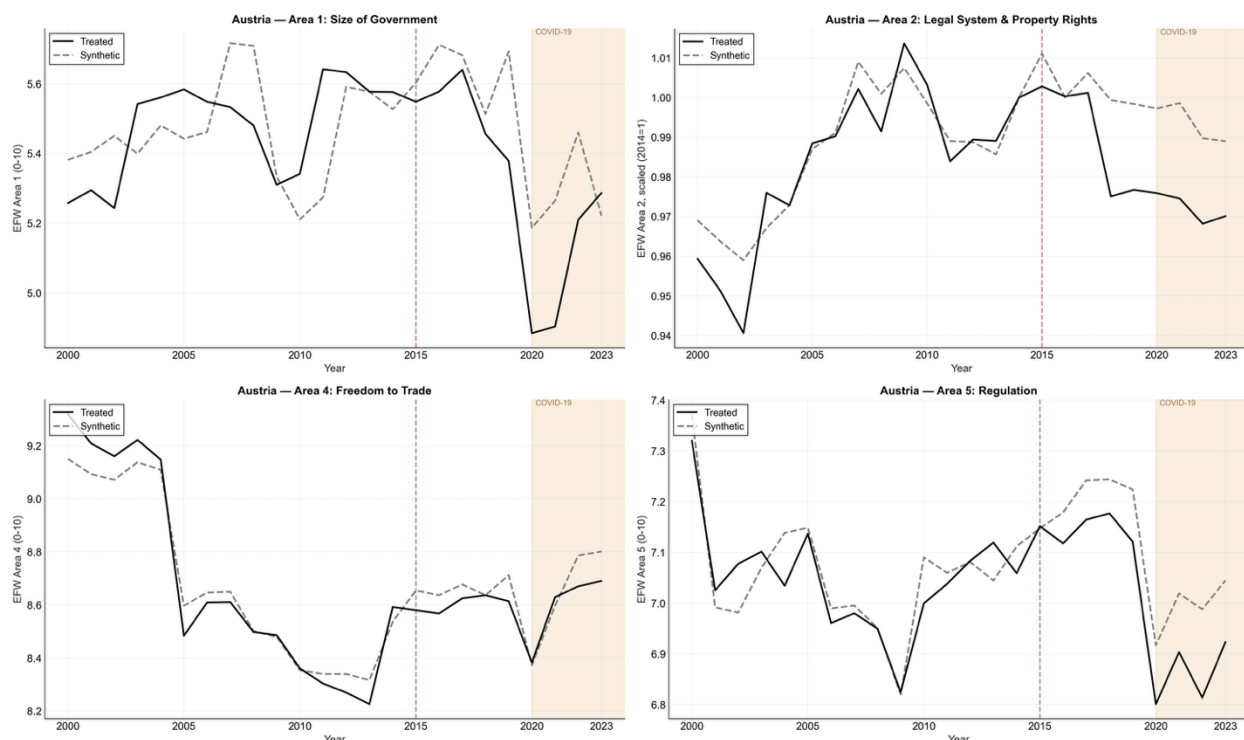


Figure 4: Austria – EFW subindex synthetic controls.

Germany

The evolution of economic freedom in Germany relative to its synthetic control is illustrated in **Figure 5**. The pretreatment lines follow the same general trends. In the post-treatment years, the real Germany's economic freedom declines more than synthetic Germany from 2016 to 2019. **Figure 5**, also shows the magnitude of the differences and p-values, indicates that only 2016 and 2018 are statistically significant at the 5% and the 10% level. The magnitudes were small at 0.119 and 0.145, while Germany's economic freedom score was 8.13 at the time of treatment.

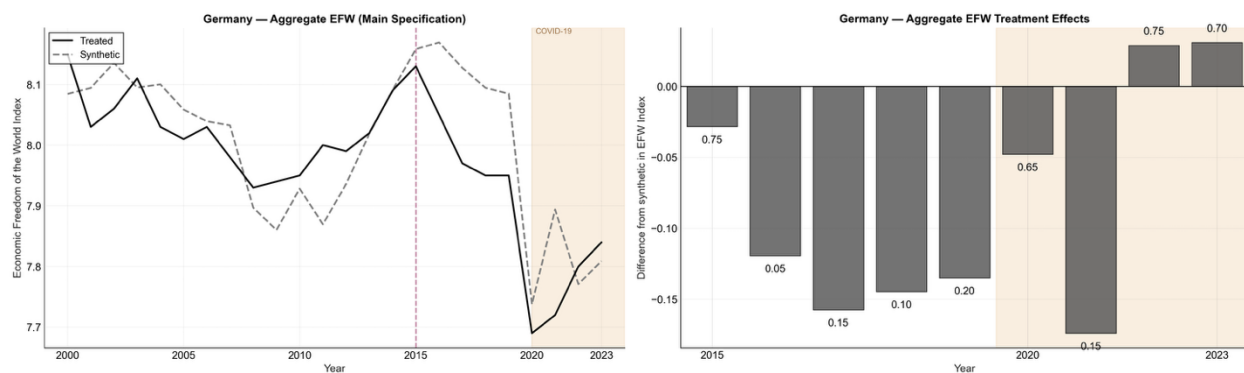


Figure 5: Germany – Aggregate EFW synthetic control (left), effect magnitudes and p-values (right).

Figure 6 illustrates the synthetic results for each of the four areas of economic freedom in Germany. None of the results for Freedom to Trade or Regulation were statistically significant. Size of Government was negative and statistically significant in 2016 (at 5%) and 2017 (at 10%) and between 0.3 and 0.4 in magnitude. However, the most striking area level result is for Legal System and Property Rights, where all post-treatment years were negative and highly statistically significant. Recall, that the scale in Figure 6 has normalized the last pre-treatment period to 1.0 since Germany's score in this area is an outlier. Reconverting these changes back to levels indicates the magnitude of these effects ranged from 0.22 to 0.52 points when Germany's overall Legal System and Property Rights score was 8.75 prior to treatment.

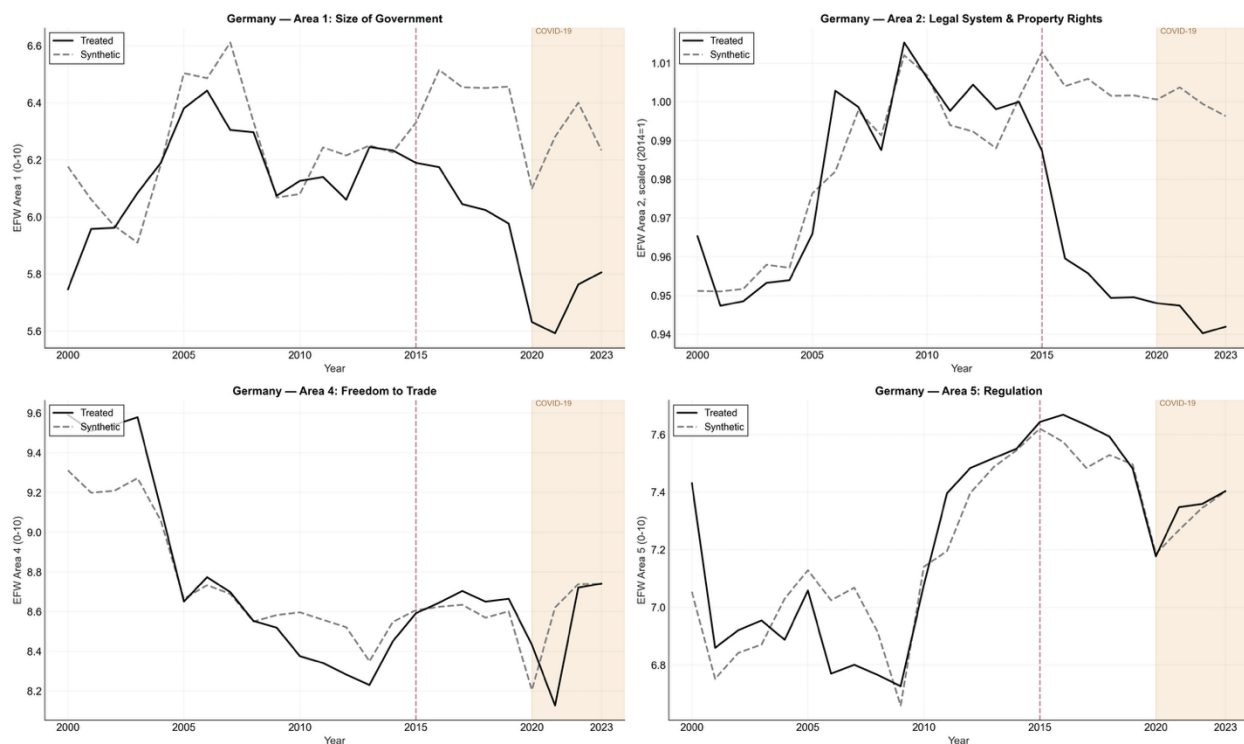


Figure 6: Germany – EFW subindex synthetic controls.

Sweden

The evolution of economic freedom in Sweden compared to synthetic Sweden is illustrated in **Figure 7**. Real Sweden and synthetic Sweden evolve similarly in the pre-treatment period and then post-treatment synthetic Sweden has a higher economic freedom score than real Sweden in all periods. However, the p-values reported in **Figure 7** indicate that none of these differences are statistically significant.

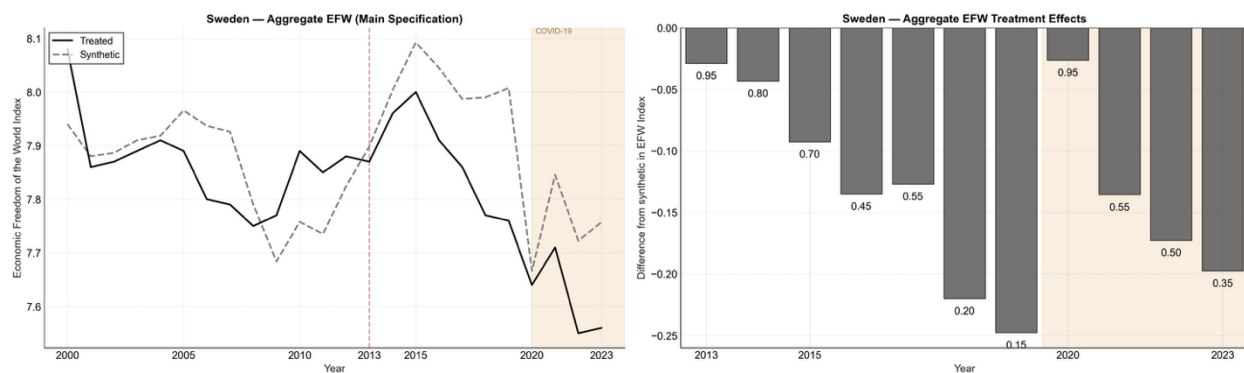


Figure 7: Sweden – Aggregate EFW synthetic control (left), effect magnitudes and p-values (right).

Figure 8 illustrates the synthetic results for each of the four areas of economic freedom in Sweden. None of the results for Size of Government or Freedom to Trade were statistically significant. Regulation was negative and statistically significant in 2018 and 2019 (1%) and hovered around 0.4 in magnitude. The most striking area result was again Legal System and Property Rights, which was negative and statistically significant in all but one (2016) post-treatment year. Recall, that like Germany, Sweden’s Legal System and Property Rights score was an outlier, thus the numbers appearing for this area in **Figure 8** are normalized to 1.0 in the last pre-treatment period. Reconverting these changes back to levels indicates the magnitude of these effects ranged from 0.13 to as much as 0.72 (2023) points, while in most years the level hovered around 0.5, when Sweden’s overall Legal System and Property Rights score was 9.02 prior to treatment.

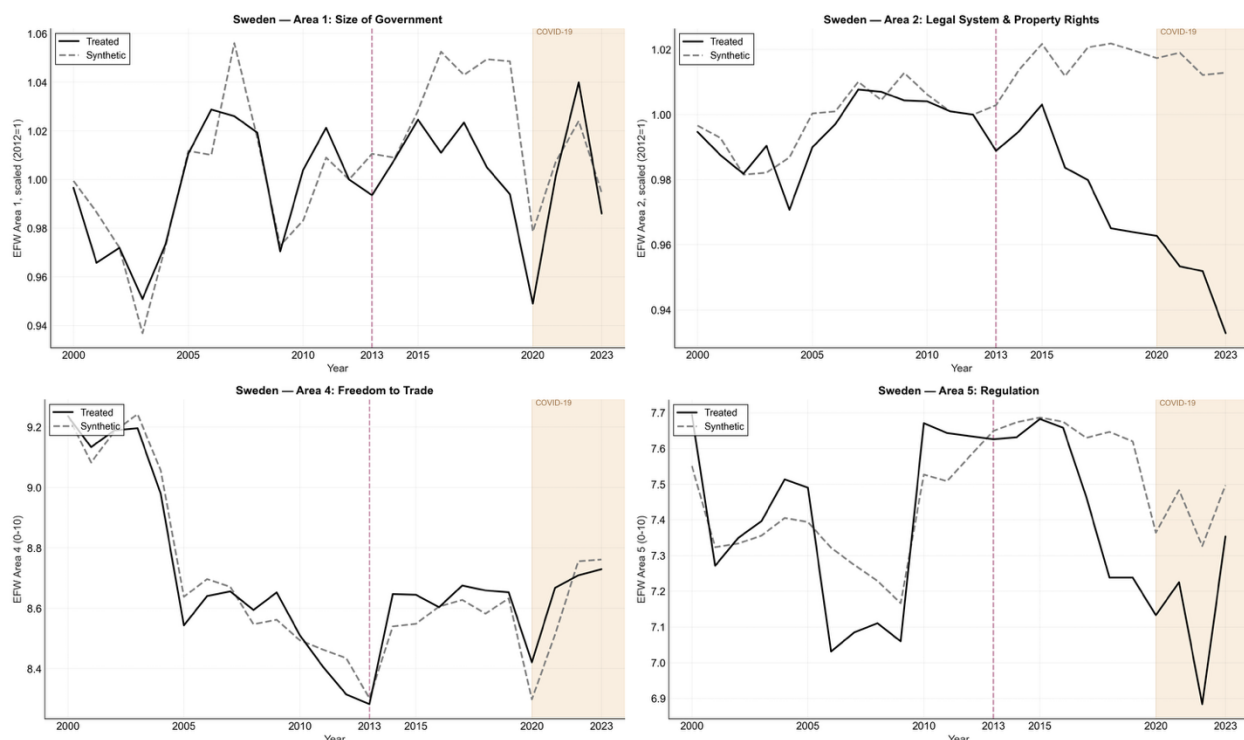


Figure 8: Sweden – EFW subindex synthetic controls.

c. Robustness

We conducted a series of robustness checks. First, we re-ran all the above results using all-lags of economic freedom and no covariates as recommended by Ferman et al. (2020). Next, we re-ran our results while leaving the United Kingdom out of the donor pool. The United Kingdom was a significant donor in the construction of all three countries' synthetic counterfactuals. It comprised 46.9 percent of Austria's, 57.1 percent of Germany's, and 39 percent of Sweden's synthetic counterfactuals. If Brexit, which took effect in 2020, caused a major change in the United Kingdom's economic freedom, it could undermine its reliability to serve as part of a synthetic counterfactual. The UK's economic freedom dropped 0.43 points from 2019 to 2020 before gaining about half of that loss (0.21) back in 2021. This, of course, also coincides with a global drop in economic freedom associated with the COVID-19 pandemic. Other European

countries, not experiencing Brexit, dropped an average of 0.24 economic freedom points from 2019 to 2020, and recovered only 0.06 points in 2021. Nevertheless, we drop the U.K. and re-run our analysis to ensure that Brexit wasn't responsible for our results.

Then we re-ran our results while including a covariate for the percent of population that were immigrants while returning to the original specification. We include this as a robustness check, rather than in our main results, because we wanted donor countries whose economic institutions were not being affected by changes in immigrants in their population. Germany, Sweden and Austria are all major immigrant destination countries in Europe with between 14.6 (Sweden) to 17.8 (Austria) percent of their population foreign born in 2010 prior to the Syrian refugee surge. The only donor countries receiving positive weights in our main results that had immigrant population shares nearly as large, or larger, in any pre- or post-treatment year were Ireland, Slovenia, and Serbia. In all three countries, the vast majority of their immigrants came from other European countries or other high economic freedom countries, where there is little reason to think that they could transmit a negative institutional externality, as posited by the new economic case for immigration restrictions. However, one might argue that the negative impact of the refugee surge on destination countries' economic freedom could depend on how much prior immigration a country had experienced. So, as a robustness check we re-ran our main analysis, while adding the 2010 total immigrant stock as a percent of a country's population as a covariate.

Next we re-ran our main results while expanding the donor pool to include all OECD countries that were not included in the original donor pool and that were also not treated with

their own refugee inflow during the period of analysis.¹³ Next, we moved the treatment date two years earlier to account for any potential anticipation effects. This is particularly relevant for Austria and Germany, who were not treated until 2015 in our other specifications, because the EU began implementing asylum-related policy changes in 2013-2014.

Next, we re-ran our analysis employing a synthetic difference-in-difference method. This is a “doubly robust” method that combines a classic synthetic control with a traditional difference-in-differences method. It matches on trends, rather than levels, and thus relies on the same parallel trends assumption as traditional diff-in-diff analysis. Finally, since Area 2, Legal System and Property Rights, was our most significant sub-area level result (in Germany and Sweden) we rerun our baseline specification in each country using an alternative measure of property rights from V-Dem (Coppedge et al., 2026a).¹⁴ The V-Dem question asks: "Do citizens enjoy the right to private property?" to both men and women (and then averaged to create the aggregated index) and then clarifies: "Private property includes the right to acquire, possess, inherit, and sell private property, including land. Limits on property rights may come from the state (which may legally limit rights or fail to enforce them; customary laws and practices); or religious or social norms. This question concerns the right to private property, not actual ownership of property"

¹³ This results in the need to exclude Australia, Canada, Costa Rica, and Israel from the OECD donor pool.

¹⁴ V-Dem also has a question that asks, “Does the state own or directly control important sectors of the economy?” It clarifies that “This question gauges the degree to which the state owns and controls capital (including land) in the industrial, agricultural, and service sectors. It does not measure the extent of government revenue and expenditure as a share of total output; indeed, it is quite common for states with expansive fiscal policies to exercise little direct control (and virtually no ownership) over the economy” (Coppedge et al., 2026b, p. 208; Pemstein et al., 2026). The theory in section 2 identifies fiscal tax and spending policies as the primary way that Area 1, Size of Government, could be affected by the refugees. Thus, this V-Dem measure does not serve as a good alternative robustness check for Area 1 of the EFW index. Nevertheless, we did run our baseline specification on this measure and found no statistically significant effect on Germany, three years of negative and statistically significant effects on Sweden, and seven negative and statistically significant years in Austria. These results are unreported.

(Coppedge et al., 2026b, p. 334). The three countries are outliers with very high scores on V-Dem's property rights measure, just as they were on Area 2 of the EFW measure. So, we again normalize to 1.0 prior to treatment.

The appendix contains all of our robustness tables and figures. Here we summarize these robustness results by country.

Austria

Austria overall economic freedom only had one negative and statistically significant year (2016) in the post-treatment period in our main results and it was small in magnitude at 0.1 points. When we employ an all-lags model 2016 remains significant and the same in magnitude while 2019 and 2020 now show significance and a slightly larger, but still small, magnitude at 0.14-0.15, while the other six post-treatment years remain statistically insignificant. When the United Kingdom is dropped from the donor pool 2016 loses its statistical significance but the years 2020-2023 become statistically significant, though also small in magnitude at 0.15-0.175. When we add a covariate for the percent of the population that were immigrants to our original specifications the results remain identical, with only 2016 showing statistical significance. When we expand the donor pool with OECD countries Japan gets significant weight (53.3%) and six of the nine post-treatment years are negative and statistically significant, though the magnitudes remain small. If anticipation were polluting our results we may find statistical significance in the first two years, when we move the treatment two years earlier and then also find more statistically significant years in the true post-treatment period, since we would not be constructing a counterfactual based, in part, on years that are "pre-treated." We find no evidence of statistical significance in Austria's two potential anticipation years and find only two significant post-treatment year (2021-2022) that are between 0.20 and 0.26 in magnitude.

Anticipation does not seem to be undermining our prior results. Finally, when we run a synthetic difference in differences, to match on trends rather than levels, we find no statistically significant results (at 95% confidence intervals).

Austria's Size of Government area remains statistically insignificant in all post-treatment years when we use all-lags, drop the UK, and add the immigrant stock covariate. Its Legal System and Property Rights area, which was insignificant in all years in our main specification, remained insignificant in all years when we used V-Dem's alternative measure of property rights, but becomes significant in 2021-2023 in our all-lags model, in 2018-2019 in our drop U.K. model, and 2018 and 2022 in our include immigrant stock model, and remains statistically insignificant in all other years. The magnitudes of these effects range from -0.21 to -0.29. The Freedom to trade area, which was insignificant in all years in our main specification remains insignificant in all years when we drop the U.K. and add the immigrant stock, however it becomes statistically significant and negative 2015-19 (-0.141 to -0.199 magnitude) and positive in 2021 (0.266 magnitude) in the all-lags model. Finally, Regulation, which was negative and significant in 2019, 2022, and 2023 in the main specification remains significant in 2019 and 2022 in the all-lags model, while losing significance in 2023 and gaining significance in 2020 and 2021, while the magnitude range of these results remains small and essentially unchanged. Anticipation does not seem to be interfering with our area results either. Freedom to Trade is the only area that had one year (2013) give statistically significant results, and the remaining post-treatment years all remained statistically insignificant as they were in the main results. Legal System and Property Rights, which did not show statistical significance in the original specification, but has in other robustness checks, did show negative and significant results from 2018 to 2023, when including anticipation years. Individual areas were largely unaffected by

expanding the donor pool to include other OECD countries as small amounts of the United States and Iceland were included in some area synthetics. With the expanded OECD donor pool there were no statistically significant results for Size of Government and Legal System and Property Rights, one negative and statistically significant year for Regulation (2022), however, seven of the nine post-treatment years became negative and statistically significant for Freedom to Trade. Finally, we did not get statistically significant results for any individual areas (at 95% confidence interval) when we ran a synthetic difference-in-differences analysis.

Germany

Germany's overall economic freedom score showed negative and statistically significant results in only 2016 and 2018 in our main results and these effects were small in magnitude at between 0.1 and 0.15. All post-treatment years become statistically insignificant in our all-lags model and our immigrants as a stock of the population model. When the UK is dropped 2016 and 2018 lose their statistical significance, however 2020 and 2021 gain statistical significance and are slightly larger at between 0.2 and 0.3 points, though confidence in these two years may be questioned due to the pandemic. The United States receives a 16.9% weight when the donor pool is expanded to include OECD countries and 2016 and 2018 lose their statistical significance while 2017 becomes negative and statistically significant. We find no evidence of statistical significance in Germany's two potential anticipation years and find no statistically significant post-treatment years when including potential anticipation effect by moving the treatment date. Finally, when we ran a synthetic difference-in-differences analysis we did not get any statistically significant results (at 95% confidence interval).

The Freedom to Trade and Regulation Areas were statistically insignificant in all post-treatment years in the original specification and remain insignificant for all years in our all-lags

model, drop U.K. Model, add immigrant stock model, except for Regulation in our all-lags model for 2017, where it is statistically significant and positive at 0.28. Germany's Size of Government was negative and statistically significant in 2016 and 2017 in our original specification and between 0.3 and 0.4 in magnitude. In our all-lags model 2016 and 2017 lose significance, our results are unchanged in the drop U.K. model, and in our add immigrant stock model 2019, 2020, and 2021 also become statistically significant. The main consistent result of our area analysis was a consistent negative and statistically significant effect on Legal System and Property Rights. This result remains statistically significant in all post-treatment years in our all-lag, drop U.K., and add immigrant stock models and ranges in magnitude from -0.13 points to -0.62 points. However, this negative effect disappears when we use V-Dem's alternative measure of property rights. There are no negative and statistically significant years with V-Dem's measure, and the first three years are actually positive and statistically significant at the 0.10 level, but the magnitude in those years (0.00097, or one-tenth of one percent of Germany's score of 0.97) is vanishingly small. Chile, Iceland, Japan, and the United States receive some weights (none exceed 20%) in the area synthetics when the donor pool is expanded to OECD countries and the Legal System and Property Rights result remains negative and statistically significant in all but one year, Freedom to Trade and Regulation are never statistically significant, and Size of Government is negative and significant in three years. Anticipation effects do not seem to undermine Germany's area level results. Neither of the two anticipation years were statistically significant for Size of Government, Freedom to Trade, or Regulation and all other post-treatment years were insignificant (except 2017 Regulation which was positive and significant). Meanwhile, one anticipation year, 2014 was negative and statistically significant for the Legal System and Property Rights area, however, consistent with prior findings, the negative and

statistically significant result remained in all other post-treatment years. Finally, when we conduct a synthetic difference-in-differences analysis we find negative and statistically significant results for Legal System and Property Rights in 8 out of 9 post-treatment years and insignificant results for all other areas (at 95% confidence interval).

Sweden

Sweden's overall economic freedom score was never impacted in a statistically significant manner in the post-treatment years of our original specification. This finding remains essentially unchanged in our robustness checks. There are no statistically significant results in our all-lags model, our include immigrant stock model, and when we expand the donor pool to other OECD countries. When the U.K. is dropped from the donor sample 2022 and 2023 become negative and statistically significant, while all other years remain insignificant. We find no evidence of statistical significance in Sweden's two potential anticipation years and, consistent with prior results, find no statistically significant post-treatment years, when including potential anticipation effect by moving the treatment date. Finally, when we ran a synthetic difference-in-differences analysis we did not get any statistically significant results (at 95% confidence interval).

Sweden's Size of Government and Freedom to Trade areas were never statistically significant in our main specification. This remains essentially unchanged in our all-lags, drop U.K., and add immigrant stock specifications, except for 2019's Freedom to Trade score in our all-lag model and 2016's Size of Government score in our immigrant stock model, where both were negative but small in magnitude. Sweden's Regulation area was negative and statistically significant in 2018 and 2019 in our original specification. These years retained significance in our drop U.K. and immigrant stock models, with 2022 gaining statistical significance in the

second, and lost their significance in our all-lag model, while all other years remained statistically insignificant. The Legal System and Property Rights area had been negative and statistically significant in every year except 2016 in our post-treatment period in the original specification. This result weakened somewhat in our robustness checks as the years 2013-2017 were insignificant in our all-lags model and 2013-2016 were insignificant in our drop U.K. model and only 2017 and 2018 were negative and statistically significant when we used V-Dem's alternative measure of property rights. However, all years became negative and significant in our immigrant stock model. Magnitudes ranged from -0.13 to -0.79. The United States and Japan receive some weight in the Legal System and Property Rights synthetic, and Iceland in the Freedom to Trade synthetic, when the donor pool is expanded to OECD countries and the Legal System and Property Rights variable was negative statistically significant in all post-treatment years and Freedom to Trade was statistically insignificant in all years. When we move the treatment date two years to account for potential anticipation effects, these two years are insignificant for the Legal System and Property Rights area, while 2016 to 2023 retains its negative and statistically significant relationship. Meanwhile, moving the treatment date results in no statistically significant years for Size of Government, Regulation, and only the anticipatory years for Freedom to Trade but no other post-treatment years. Finally, when we conduct a synthetic difference-in-differences analysis we find negative and statistically significant results for Legal System and Property Rights from 2018 through 2023 (and insignificant results in earlier treated years), as well as for Regulation in 2018 and 2019. All other areas were insignificant in all years (at 95% confidence interval).

d. Generalized Results

There are two general findings that stand out across our main specification and all of the various robustness checks. First, there is little significant effect of the Syrian refugee surge on the overall level of economic freedom in destination countries. Second, the Syrian refugee surge does appear to significantly decrease the Legal System and Property Rights area in Germany and Sweden. However, this second result does appear to be sensitive to the measure of property rights as the effect disappears in Germany and is reduced to only two significant years in Sweden, when we employ V-Dem’s alternative measure of property rights. **Table 8** reports the percent of post-treatment years that there was a statistically significant impact of the Syrian refugee surge on the overall index, and each area, for each country across our main specification and all robustness checks and the average magnitude of those impacts.

Country	Outcome	$p \leq 0.05$		$p \leq 0.10$	
		% spec-years neg-sig	Avg ATT ⁻	% spec-years neg-sig	Avg ATT ⁻
Austria	Overall Index	15.4%	-0.158	27.7%	-0.151
	Size of Government (Area 1)	0.0%	-	0.0%	-
	Legal & Property (Area 2) [*]	4.6%	-0.326	21.5%	-0.298
	Property Rights V-Dem ^{*,†}	0.0%	-	0.0%	-
	Freedom to Trade (Area 4)	7.7%	-0.189	20.0%	-0.182
	Regulation (Area 5)	4.6%	-0.138	16.9%	-0.145
Germany	Overall Index	4.6%	-0.188	7.7%	-0.181
	Size of Government (Area 1)	12.3%	-0.502	18.5%	-0.469
	Legal & Property (Area 2) [*]	83.1%	-0.501	95.4%	-0.478
	Property Rights V-Dem ^{*,†}	0.0%	-	0.0%	-
	Freedom to Trade (Area 4)	0.0%	-	0.0%	-
	Regulation (Area 5)	0.0%	-	0.0%	-
Sweden	Overall Index	1.3%	-0.266	2.5%	-0.287
	Size of Government (Area 1) [*]	0.0%	-	1.3%	-0.173
	Legal & Property (Area 2) [*]	57.0%	-0.481	74.7%	-0.477
	Property Rights V-Dem ^{*,†}	0.0%	-	18.2%	-0.035
	Freedom to Trade (Area 4)	2.5%	-0.122	3.8%	-0.131
	Regulation (Area 5)	8.9%	-0.448	13.9%	-0.432

Table 8: Cross-spec robustness of negative ATTs on aggregate EFW and four subindexes.¹⁵

¹⁵ Each EFW cell pools post-treatment country-years across seven specifications: Main, All-lags, No-UK, Mig-stock-2010, OECD-pool, Treatment-shifted-earlier-2yr, and Synthetic DID (SDID). There are 65 country-years for

Overall economic freedom was rarely impacted by the Syrian refugee surge in Germany and Sweden, while it was negatively impacted in Austria in between 15 and 28 percent of the specification-year estimates. However, the average magnitude of that impact was small at around 0.15 points and 70 percent of the significant specification-years at the 0.05 level occurred during or after the COVID-19 pandemic, and 61 percent at the 0.10 level, where we have less confidence in the results. Overall, our findings indicate that the Syrian refugee surge did not meaningfully impact overall economic freedom. The Legal System and Property Rights variable was negative and statistically significant in 83 to 95 percent of the specification-years in Germany, 57 to 75 percent of the specification-years in Sweden, and 5 to 22 percent of the specification-years in Austria. The magnitudes of these effects were larger, averaging right around 0.5 points in Germany and Sweden. At the 0.05 significance level 48.1 percent of the significant years occurred during or after the COVID-19 pandemic in Germany, 51.1 percent in Sweden, and 100 percent in Austria (with only three significant periods). The pandemic does not

Austria and Germany, and 79 for Sweden. All seven specifications use placebo-based inference. "% spec-years neg-sig" reports the share of post-treatment specification-years with $ATT < 0$ and a p-value at or below the threshold. "Avg ATT-" reports the mean signed treatment effect across those specification-years, in EFW (0–10) index points. Positive and significant effects appear in only two EFW cells: Austria / Freedom to Trade (Area 4) at $p \leq 0.10$ (1.5% of years; mean $ATT^+ = +0.266$), and Germany / Regulation (Area 5) at $p \leq 0.05$ (3.1% of years; mean $ATT^+ = +0.292$).

Outcomes marked with an asterisk (Sweden Area 1; Area 2 for all three countries) were rescaled to 1.0 at the pre-treatment anchor year (Sweden Area 1: 2012; Austria and Germany Area 2: 2014; Sweden Area 2: 2012) prior to synthetic-control estimation; the reported ATTs are the rescaled effects converted back to EFW points by multiplying by the treated unit's raw anchor-year value (4.685, 8.764, 8.751, and 9.018, respectively).

V-Dem rows report the baseline specification only (main covariates with three lags), not all seven specifications, so the percentage is a fraction of the 9 post-treatment years for Germany and Austria, and 11 for Sweden. This ATT is not comparable to the other EFW rows, as V-Dem's property rights index (`v2xcl_prpty`) is measured on a scale from 0 to 1. Here, like with Area 2, the outcome was rescaled to 1.0 at the pre-treatment anchor year because our treated countries had extreme values (anchored to the same years as EFW). Then, we reconverted the values to estimate the ATT. Germany had three significant and positive post-treatment years at the 0.10 level immediately after treatment.

appear to be driving our Legal System and Property Rights results with roughly half of the significant years occurring prior to the pandemic.

As an additional way to generalize our findings, we follow Cavallo et al. (2013) by creating a “stacked” synthetic control for overall economic freedom and for the Legal System and Property Rights measure. This method is useful when there are multiple treated countries and they experience the shock at different times. In our case, Sweden was treated in 2013, while Germany and Austria were treated in 2015. The stacked synthetic controls “lines up” each country’s treated year and then averages both the actual values of the outcome for the treated countries, and the estimated synthetic units. This yields an average treatment effect and then allows the use of placebo-based inference by using all possible donor country averages.

The average economic freedom score for all three countries and the average synthetic counterfactual is plotted in **Figure 9**. The pre-treatment period has a reasonably good fit, and both the actual and synthetic values follow the same general trend. After treatment, a gap appears in which synthetic values are higher than the actual average score of the three countries. The height of the bars in **Figure 9** illustrates the magnitude of the difference between the average of the three countries and the synthetic average in each of the post-treatment years and the statistical significance of those differences is reported in the number at the bottom of each bar. Only two post-treatment years achieve statistical significance at traditional levels. Period 6 is the most significant difference in magnitude (-0.18 EFW points) and statistical significance (5%). Post-treatment year 3 is also marginally significant (at 10%) but is smaller in magnitude at only -

0.12 EFW points).

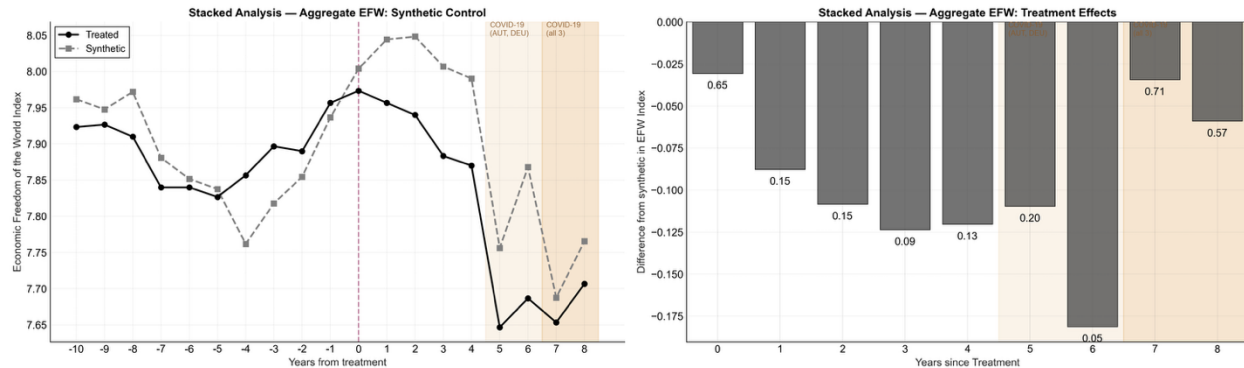


Figure 9: Stacked synthetic control for EFW (left), effect magnitudes and p-values (right).

The presence of Syrian refugees does not seem to have changed the overall economic freedom in these destination countries. Although the average of the real countries decreases more than the synthetic counterpart in each post treatment year, these differences are not statistically significant in 7 out of 9 periods and the joint P-value for all the years up through the 6th post-treatment year narrowly misses statistical significance at 0.106.¹⁶ The magnitudes of the effects are also relatively small with an average size of only 0.11 EFW points over the 6 years since treatment, while the average freedom score for these countries was 7.97 at the time of treatment.¹⁷

The average Legal System and Property Rights score for all three countries and the average synthetic counterfactual is plotted in **Figure 10**. The pre-treatment period has a reasonably good

¹⁶ Interestingly, the largest and most statistically significant difference occurred in year 6 post-treatment which also coincides with a global plunge (for two treated countries) in economic freedom during the pandemic. See Miozzi and Powell (2023 and 2024) for an account of how global economic freedom was impacted by governments' response to the Covid-19 pandemic.

¹⁷ We also ran an all-lags stacked model with no covariates. Our lag only stacked model shows negative and statistically significant results in post-treatment periods 3 to 6. However, the empirical magnitude remains small (0.107 in post treatment period 3 rising to 0.168 in period 6).

fit, and both the actual and synthetic values follow the same general trend. After treatment, a gap appears in which synthetic values are higher than the actual average score of the three countries. The height of the bars in **Figure 10** indicates that the negative effects were statistically significant in all post-treatment years and they grew in size from 0.14 to 0.41 EFW points when scaled back to the regular index.¹⁸

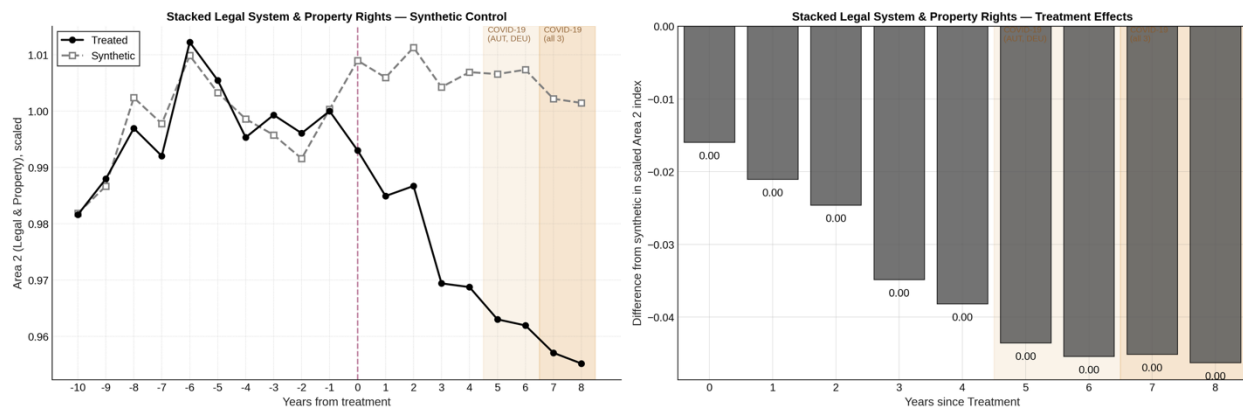


Figure 10: Stacked synthetic control for EFW Area 2 (left), effect magnitudes and p-values (right).

5. Conclusion

This paper contributes a new case study where there was the potential for migrants to adversely impact institutions associated with high productivity in destination countries, as posited by the new economic case for immigration restrictions. Two aspects of the Syrian refugee crisis make it a particularly likely place to find the negative effect on institutions posited by the new economic case for immigration restrictions. First, difference in economic freedom between the origin and destination countries was about as large as it could be. Syria ranked 157 out of 165 countries in economic freedom. Meanwhile the European destination countries were

¹⁸ An all lagged model delivered essentially identical results.

all near the top of the economic freedom rankings at number 9, 18, and 23. Second, because this immigration surge came via a refugee crisis, where the migrants were fleeing conflict, they are less likely to “self-select” either as people dissatisfied with their origin country institutions, or as people pre-assimilated to desire destination country institutions, compared to normal immigration flows. However, other factors could limit our ability to observe the negative externality via this crisis. First, though the refugee surge caused significant media and political attention, the size of the Syrian migrants as a percent of the destination countries’ population never exceeded 2.1 percent in any of the countries – compared to the 20 percent and 10 percent levels of immigrants as a percent of the population studied in Israel and Jordan. Second, as described above, there were significant barriers to political participation of the Syrian refugees, at least in the initial years post-treatment, that could limit their ability to impact institutions. However, it is worth noting that while Sweden had the quickest naturalization process, and the largest percentage of its Syrian refugees naturalized and thus able to vote, it was the only destination country that didn’t have a single year of a negative and statistically significant association with aggregate economic freedom in the post-treatment period in our main specifications. A third factor that could mitigate institutional changes is that perhaps Austria, Germany, and Sweden’s choice to be more welcoming to refugees was influenced by their ex-ante confidence in their institutional robustness.

With the above qualifications in mind, we do not find robust evidence of a large negative effect of the Syrian refugee surge on Austria, Germany, or Sweden’s overall economic freedom. Point estimates are generally negative, but most are statistically insignificant and the ones that are statistically significant are small in magnitude. Overall, this finding contributes to the

growing literature that generally does not find empirical support for the new economic case for immigration restrictions.

However, we do find some suggestive evidence that the Legal System and Property Rights area of economic freedom was harmed by the Syrian refugee surge in Germany and Sweden. This area is comprised of eight sub-areas that include survey data on people's beliefs about the impartiality of the courts, their confidence in the legal system and the security of their property rights, and how well the police enforce law and order. This finding seems most consistent with a transmission mechanism running through the informal cultural channel where the presence of a large number of refugees from a low trust society erodes some of the norms (or beliefs about the security of those norms) in a high trust destination society, rather than through mechanisms where the political preferences of either the refugees or the native-born voters lead to institutional change. However, this finding was not robust to using V-Dem's alternative measure of property rights. Future research should examine trust and other cultural data to investigate this further.

During the preparation of this work, the authors used Claude for assistance in coding and table preparation. The authors reviewed and edited the output as needed and take full responsibility for the content of the published article.

References

- Abadie, A., & Gardeazabal, J. (2003). The economic costs of conflict: A case study of the Basque Country. *American Economic Review*, 93(1), 113–132.
<https://doi.org/10.1257/000282803321455188>
- Abadie, A., & Vives-i-Bastida, J. (2022). Synthetic controls in action. *arXiv Preprint arXiv:2203.06279*.
- Abadie, A., Diamond, A., & Hainmueller, J. (2010). Synthetic control methods for comparative case studies: Estimating the effect of California’s tobacco control program. *Journal of the American Statistical Association*, 105(490), 493–505.
<https://doi.org/10.1198/jasa.2009.ap08746>
- Abadie, A., Diamond, A., & Hainmueller, J. (2015). Comparative politics and the synthetic control method. *American Journal of Political Science*, 59(2), 495–510.
<https://doi.org/10.1111/ajps.12116>
- Akgündüz, Y. E., Bağır, Y. K., Cilasun, S. M., & Kırdar, M. G. (2023). Consequences of a massive refugee influx on firm performance and market structure. *Journal of Development Economics*, 162, 103081. <https://doi.org/10.1016/j.jdeveco.2023.103081>
- Akgündüz, Y. E., van den Berg, M., & Hassink, W. (2015). The Impact of Refugee Crises on Host Labor Markets: The Case of the Syrian Refugee Crisis in Turkey. *IZA Discussion Paper No. 8841*. Institute for the Study of Labor (IZA).
- Aksoy, C. G., & Tumen, S. (2021). Local governance quality and the environmental cost of forced migration. *Journal of Development Economics*, 149, 102603.
<https://doi.org/10.1016/j.jdeveco.2020.102603>

- Aksu, E., Erzan, R., & Kırdar, M. G. (2022). The Impact of Mass Migration of Syrians on the Turkish Labor Market. *IZA Discussion Paper No. 12050*. Institute of Labor Economics (IZA).
- Alesina, A., Miano, A., & Stantcheva, S. (2023). Immigration and Redistribution. *Review of Economic Studies*, 90, 1-39.
- Alesina, A., Murard, E., & Rapoport, H. (2021). Immigration and Preferences for Redistribution in Europe. *Journal of Economic Geography*, 21(6), 925–954.
- Altındağ, O., & Kaushal, N. (2021). Do refugees impact voting behavior in the host country? Evidence from Syrian refugee inflows to Turkey. *Public Choice*, 186, 149–178.
<https://doi.org/10.1007/s11127-019-00768-3>
- Andersson, H. (2023). Do Asylum-Seekers Respond to Policy Changes? Evidence from the Swedish–Syrian Case. *The Scandinavian Journal of Economics*.
<https://doi.org/10.1111/sjoe.12510>
- Bedi, J. K., Jia, S., & Kramer, C. W. (2025). Protecting Postville? The impact of deportation and immigration on crime. *Public Choice*, 203, 369–396. <https://doi.org/10.1007/s11127-024-01232-7>
- Bologna Pavlik, J., Lujan Padilla, E., & Powell, B. (2019). Cultural Baggage: Do Immigrants Import Corruption? *Southern Economic Journal*, 85(4), 1243–1261.
<https://doi.org/10.1002/soej.12339>
- Borjas, G. J. (2014). *Immigration economics*. Harvard University Press.
- Borjas, G. J. (2015). Immigration and globalization: A review essay. *Journal of Economic Literature*, 53(4), 961–974.

- Brady, D., & Finnigan, R. (2014). Does Immigration Undermine Public Support for Social Policy? *American Sociological Review*, 79(1), 17–42.
<https://doi.org/10.1177/0003122413513022>
- Campo, F., Giunti, S., & Mendola, M. (2022). Refugees, Right-Wing Populism and Propaganda: Evidence from the Italian Dispersal Policy. *University of Milan Bicocca Department of Economics, Management and Statistics Working Paper*, (495).
- Caplan, B. (2007). *The Myth of the Rational Voter: Why Democracies Choose Bad Policies*. Princeton University Press.
- Castro, V., & Martins, R. (2021). Government ideology and economic freedom. *Journal of Comparative Economics*, 49(1), 73–91. <https://doi.org/10.1016/j.jce.2020.07.007>
- Cavallo, E., Galiani, S., Noy, I., & Pantano, J. (2013). Catastrophic Natural Disasters and Economic Growth. *The Review of Economics and Statistics*, 95(5), 1549–1561.
https://doi.org/10.1162/REST_a_00413
- Cengiz, D., & Tekgüç, H. (2022). Is it merely a labor supply shock? Impacts of Syrian migrants on local economies in Turkey. *Political Economy Research Institute Working Paper*, University of Massachusetts Amherst.
- Ceritoğlu, E., Yüncüler, H. B. G., Torun, H., & Tumen, S. (2017). The impact of Syrian refugees on natives' labor market outcomes in Turkey: Evidence from a quasi-experimental design. *IZA Journal of Labor Policy*, 6, 5. <https://doi.org/10.1186/s40173-017-0082-4>
- Clark, J. R., Lawson, R., Nowrasteh, A., Powell, B., & Murphy, R. (2015). Does immigration impact institutions? *Public Choice*, 163(3), 321–335. <https://doi.org/10.1007/s11127-015-0254-y>

- Clemens, M. A. (2011). Economics and Emigration: Trillion-Dollar Bills on the Sidewalk? *Journal of Economic Perspectives*, 25(3), 83–106. <https://doi.org/10.1257/jep.25.3.83>
- Collier, P. (2013). *Exodus: How migration is changing our world*. Oxford University Press.
- Connor, P. (2018, January 29). Most displaced Syrians are in the Middle East, and about a million are in Europe. *Pew Research Center*. <https://www.pewresearch.org/short-reads/2018/01/29/where-displaced-syrians-have-resettled/>
- Coppedge, M., Gerring, J., Knutsen, C. H., Lindberg, S. I., Teorell, J., Altman, D., Angiolillo, F., Bernhard, M., Cornell, A., Fish, M. S., Fox, L., Gastaldi, L., Gjerløw, H., Glynn, A., Good God, A., Hicken, A., Kinzelbach, K., Krusell, J., Marquardt, K. L., ... Ziblatt, D. (2026a). *V-Dem [country-year/country-date] dataset v16*. Varieties of Democracy (V-Dem) Project. <https://doi.org/10.23696/vdemds26>
- Coppedge, M., Gerring, J., Knutsen, C. H., Lindberg, S. I., Teorell, J., Altman, D., Angiolillo, F., Bernhard, M., Cornell, A., Fish, M. S., Fox, L., Gastaldi, L., Gjerløw, H., Glynn, A., Good God, A., Hicken, A., Kinzelbach, K., Marquardt, K. L., McMann, K., ... Ziblatt, D. (2026b). *V-Dem codebook v16*. Varieties of Democracy (V-Dem) Project.
- Council of Europe Parliamentary Assembly. (2015). *Resolution 2072: After Dublin – the Urgent Need for a Real European Asylum System*. <https://assembly.coe.int/nw/xml/XRef/Xref-XML2HTML-en.asp?fileid=22178&lang=en>
- Del Carpio, X. V., & Wagner, M. (2015). The Impact of Syrian Refugees on the Turkish Labor Market. *World Bank Policy Research Working Paper No. 7402*. World Bank Group.
- Demirci, M., & Kırdar, M. G. (2023). The labor market integration of Syrian refugees in Turkey. *World Development*, 162, 106138. <https://doi.org/10.1016/j.worlddev.2022.106138>

Drewski, D., & Gerhards, J. (2024). A Humanitarian Role Model: Germany's Initial Open-Door Policy and Restrictive Turn Toward Syrian Refugees. In *Framing Refugees: How the Admission of Refugees is Debated in Six Countries across the World*. Oxford University Press. <https://doi.org/10.1093/oso/9780198904724.003.0005>

Dustmann, C., Vasiljeva, K., & Piil Damm, A. (2019). Refugee migration and electoral outcomes. *The Review of Economic Studies*, 86(5), 2035–2091.

Edo, A., & Giesing, Y. (2020). *Has immigration contributed to the rise of rightwing extremist parties in Europe?* EconPol Policy Report.

Eurostat. (n.d.). *Acquisition of citizenship by age group, sex and former citizenship* [Dataset].

Retrieved February 24, 2026, from

https://ec.europa.eu/eurostat/databrowser/view/migr_acq_custom_20244729/default/table

Fakih, A., & Ibrahim, M. (2016). The impact of Syrian refugees on the labor market in neighboring countries: Empirical evidence from Jordan. *Defence and Peace Economics*, 27(1), 64–86. <https://doi.org/10.1080/10242694.2015.1055936>

Feenstra, R. C., Inklaar, R., & Timmer, M. P. (2015). The Next Generation of the Penn World Table. *American Economic Review*, 105(10), 3150–3182.

<https://doi.org/10.1257/aer.20130954>

Ferman, B., & Pinto, C. (2021). Synthetic controls with imperfect pretreatment fit. *Quantitative Economics*, 12(4), 1197–1221.

Ferman, B., Pinto, C., & Possebom, V. (2020). Cherry Picking with Synthetic Controls. *Journal of Policy Analysis and Management*, 39(2), 510–532. <https://doi.org/10.1002/pam.22206>

- Freedom House. (2025). *Freedom in the World 2025: The Uphill Battle to Safeguard Rights*.
- Freedom House. <https://www.freedomhouse.org/report/freedom-world>
- Fremerey, M., Hörnig, L., & Schaffner, S. (2024). Becoming neighbors with refugees and voting for the far-right? The impact of refugee inflows at the small-scale level. *Labour Economics*, 86, 102467.
- Geloso, V., Grier, K., & Muhoza, F. (2026). The causal effect of German reunification on economic freedom. *Journal of Comparative Economics*.
- Grier, K. B., & Grier, R. M. (2021). The Washington consensus works: Causal effects of reform, 1970-2015. *Journal of Comparative Economics*, 49(1), 59–72.
<https://doi.org/10.1016/j.jce.2020.09.001>
- Grier, K., Mahmood, T., & Powell, B. (2023). Anti-sweatshop activism and the safety-employment tradeoff: Evidence from Bangladesh's Rana Plaza disaster. *Journal of Economic Behavior & Organization*, 208, 174–190.
- Gründler, K., Hackenberger, A., & Potrafke, N. (2024). Government ideology and economic freedom: New empirical evidence. In N. Berggren (Ed.), *Handbook of Research on Economic Freedom* (pp. 144–158). Edward Elgar. <https://doi.org/10.4337/9781802206159.00020>
- Gwartney, J., Lawson, R. A., Hall, J. C., & Murphy, R. (2025). *Economic Freedom of the World: 2025 Annual Report*. Fraser Institute.
- Halikiopoulou, D., & Vlandas, T. (2020). When economic and cultural interests align: The anti-immigration voter coalitions driving far right party success in Europe. *European Political Science Review*, 12(4), 427–448.
- Halla, M., Wagner, A. F., & Zweimüller, J. (2017). Immigration and voting for the far right. *Journal of the European Economic Association*, 15(6), 1341–1385.

- Joris, W., d'Haenens, L., Van Gorp, B., & Mertens, S. (2018). The refugee crisis in Europe: A frame analysis of European newspapers. In *Migrants, Refugees, and the Media* (pp. 59–80). Routledge.
- Karaarslan, C. (2020). *Growth, Wages and Unemployment - The Economic Impact of Refugee Migration on Europe: A Synthetic Control Analysis* (Working Paper No. 51). Arbeitspapiere für Marketing und Management.
<https://www.econstor.eu/handle/10419/244668>
- Konstantinou, P. T., & Roumanias, C. (2024). From the Fringe to the front-stage. European immigration and the Far-Right vote: An IV approach. *The Quarterly Review of Economics and Finance*, 98, 101925.
- Kramer, C. W., & Sánchez-Piñol Yulee, D. (2025a). Trust decay? The impact of immigration on trust. *Economics Letters*, 253, 112415. <https://doi.org/10.1016/j.econlet.2025.112415>
- Kramer, C. W., & Sánchez-Piñol Yulee, D. (2025b). Cultural Fallout? Immigration's Effect on Individualism. *Southern Economic Journal*, n/a(n/a). <https://doi.org/10.1002/soej.70008>
- Lange, M., & Sommerfeld, K. (2024). Do refugees impact crime? Causal evidence from large-scale refugee immigration to Germany. *Labour Economics*, 86, 102466.
<https://doi.org/10.1016/j.labeco.2023.102466>
- Lawson, R. A., Murphy, R., & Powell, B. (2020). The determinants of economic freedom: A survey. *Contemporary Economic Policy*, 38(4), 622–642.
- Mayda, A. M., Peri, G., & Steingress, W. (2022). The political impact of immigration: Evidence from the United States. *American Economic Journal: Applied Economics*, 14(1), 358–389.
<https://doi.org/10.1257/app.20190081>

- Miozzi, V., & Powell, B. (2023). Measuring economic freedom during the COVID-19 pandemic. *Journal of Institutional Economics*, 19, 229–250.
- Miozzi, V., & Powell, B. (2024). Global economic freedom during the second year of the pandemic. *Journal of Institutional Economics*, 20, 1–15.
- Nikolov, P., Bonci, M., & Szemes, M. (2022). *Immigration and Preferences for Redistribution in Europe*. <https://www.econstor.eu/handle/10419/263642>
- Nowrasteh, A., & Powell, B. (2020). *Wretched Refuse? The Political Economy of Immigration and Institutions*. Cambridge University Press.
- Nowrasteh, A., Forrester, A. C., & Blondin, C. (2020). How Mass Immigration Affects Countries with Weak Economic Institutions: A Natural Experiment in Jordan. *The World Bank Economic Review*, 34(2), 533–549. <https://doi.org/10.1093/wber/lhy032>
- Padilla, A. (2024). Immigration and economic freedom. In N. Berggren (Ed.), *Handbook of Research on Economic Freedom* (pp. 159–172). Edward Elgar. <https://doi.org/10.4337/9781802206159.00021>
- Padilla, A., & Cachanosky, N. (2018). The Grecian horse: Does immigration lead to the deterioration of American institutions? *Public Choice*, 174, 351–405. <https://doi.org/10.1007/s11127-018-0509-5>
- Pemstein, D., Marquardt, K. L., Tzelgov, E., Wang, Y., Medzihorsky, J., Krusell, J., Miri, F., & von Römer, J. (2026). *The V-Dem measurement model: Latent variable analysis for cross-national and cross-temporal expert-coded data* (V-Dem Working Paper No. 21, 11th ed.). University of Gothenburg: Varieties of Democracy Institute.

Powell, B., Clark, J. R., & Nowrasteh, A. (2017). Does mass immigration destroy institutions? 1990s Israel as a natural experiment. *Journal of Economic Behavior & Organization*, 141, 83–95. <https://doi.org/10.1016/j.jebo.2017.06.008>

Razin, A., Sadka, E., & Swagel, P. (2002). Tax Burden and Migration: A Political Economy Theory and Evidence. *Journal of Public Economics*, 85(2), 167–190. [https://doi.org/10.1016/S0047-2727\(01\)00084-6](https://doi.org/10.1016/S0047-2727(01)00084-6)

Rodrik, D. (1998). Why do more open economies have bigger governments? *Journal of Political Economy*, 106(5), 997–1032. <https://doi.org/10.1086/250038>

Steinmayr, A. (2016). *Exposure to refugees and voting for the far-right: (Unexpected) results from Austria*. IZA Discussion Papers.

Syria Refugee Crisis Explained. (n.d.). Retrieved October 22, 2025, from <https://www.unrefugees.org/news/syria-refugee-crisis-explained/>

Syrian Civil War | Syrian history | Britannica. (n.d.). Retrieved October 27, 2025, from <https://www.britannica.com/event/Syrian-Civil-War>

Tolsma, J., Laméris, J., & Savelkoul, M. (2021). Exposure to asylum seekers and changing support for the radical right: A natural experiment in the Netherlands. *PloS One*, 16(2), e0245644.

Tumen, S. (2016). The Economic Impact of Syrian Refugees on Host Countries: Quasi-experimental Evidence from Turkey. *American Economic Review*, 106(5), 456–460. <https://doi.org/10.1257/aer.p20161065>

United Nations High Commissioner for Refugees. (2025). *Refugee Population Statistics Database*. <https://www.unhcr.org/refugee-statistics/download>

What is the Dublin Regulation? (n.d.). *UK in a Changing Europe*. Retrieved February 23, 2026, from <https://ukandeu.ac.uk/the-facts/what-is-the-dublin-regulation/>

World Bank. (2025). *World Development Indicators*.

<https://databank.worldbank.org/source/world-development-indicators>

Yao, L., Bolen, J. B., & Williamson, C. R. (2021). The effect of mass legalization on US state-level institutions: Evidence from the immigration reform and control act. *Public Choice*, 189, 427–463. <https://doi.org/10.1007/s11127-021-00894-x>

Yilmaz, S., & Wolffhardt, A. (2024). Bridging gaps in political participation: Voting rights for third-country nationals and EU citizens in the EU. Migration Policy Group / New Europeans Initiative.

Appendix: Robustness Checks

A. Results for matching only on lags.

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Albania (ALB)	0.065	–	–	–	0.062
Czechia (CZE)	–	–	0.006	–	–
Estonia (EST)	0.300	–	0.166	–	0.201
France (FRA)	0.178	0.247	0.179	–	0.512
Hungary (HUN)	–	0.088	–	–	–
Iceland (ISL)	–	–	–	0.013	–
Ireland (IRL)	–	0.129	0.036	0.117	–
Italy (ITA)	–	–	0.029	0.473	–
Lithuania (LTU)	–	–	0.096	–	–
Poland (POL)	–	0.292	–	–	–
Portugal (PRT)	0.157	–	–	–	0.018
Romania (ROU)	–	–	0.200	–	–
Russian Federation (RUS)	–	–	0.009	–	–
Slovak Republic (SVK)	–	–	0.065	–	0.041
Slovenia (SVN)	–	0.244	–	–	0.095
Spain (ESP)	0.021	–	–	0.334	–
Ukraine (UKR)	–	–	–	–	0.016
United Kingdom (GBR)	0.278	–	0.214	0.063	0.056
RMSPE	0.032	0.140	0.004	0.055	0.043

Table 1A: Austria

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	7.900	7.887	5.576	5.574	–	–	8.592	8.633	7.059	7.128
EFW (2013)	7.800	7.813	5.577	5.606	0.989	0.989	8.225	8.289	7.119	7.084
EFW (2012)	7.810	7.769	5.633	5.616	0.989	0.983	8.269	8.318	7.083	7.069
EFW (2011)	7.800	7.744	5.641	5.419	0.984	0.987	8.303	8.369	7.038	7.050
EFW (2010)	7.780	7.798	5.341	5.348	1.003	1.003	8.360	8.404	6.999	7.062
EFW (2009)	7.790	7.750	5.310	5.448	1.014	1.007	8.486	8.493	6.824	6.802
EFW (2008)	7.790	7.767	5.480	5.709	0.991	0.994	8.498	8.475	6.949	6.936
EFW (2007)	7.860	7.875	5.533	5.712	1.002	1.002	8.610	8.553	6.980	6.980
EFW (2006)	7.840	7.876	5.548	5.427	0.990	0.991	8.609	8.583	6.960	7.008
EFW (2005)	7.870	7.877	5.584	5.455	0.988	0.990	8.483	8.545	7.137	7.098
EFW (2004)	7.970	7.963	5.560	5.433	0.973	0.970	9.148	9.122	7.034	7.124
EFW (2003)	8.010	7.978	5.542	5.404	0.976	0.971	9.222	9.129	7.101	7.074
EFW (2002)	7.860	7.911	5.243	5.422	0.941	0.950	9.160	9.106	7.078	7.015
EFW (2001)	7.870	7.869	5.294	5.427	0.951	0.949	9.208	9.130	7.025	7.031

Table 2A: Austria

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.236	–	–	–	–
Estonia (EST)	0.230	0.030	0.216	–	0.321
France (FRA)	–	0.158	–	–	–
Hungary (HUN)	–	–	0.159	–	0.009
Iceland (ISL)	–	–	–	0.088	–
Ireland (IRL)	0.057	0.260	–	–	0.182
Italy (ITA)	–	–	–	0.313	–
Latvia (LVA)	–	0.089	–	–	–
Lithuania (LTU)	–	–	0.067	–	–
Poland (POL)	–	0.126	0.374	–	0.409
Portugal (PRT)	–	–	–	–	0.079
Russian Federation (RUS)	–	–	0.085	–	–
Slovak Republic (SVK)	–	0.116	–	–	–
Spain (ESP)	–	0.116	0.100	–	–
Ukraine (UKR)	–	0.105	–	–	–
United Kingdom (GBR)	0.477	–	–	0.599	–
RMSPE	0.057	0.098	0.007	0.194	0.107

Table 3A: Germany

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	8.090	8.071	6.233	6.182	–	–	8.450	8.593	7.552	7.508
EFW (2013)	8.020	8.001	6.245	6.176	0.998	0.997	8.230	8.346	7.518	7.439
EFW (2012)	7.990	7.929	6.060	6.180	1.004	0.998	8.283	8.487	7.484	7.436
EFW (2011)	8.000	7.884	6.140	6.140	0.998	0.999	8.341	8.534	7.397	7.230
EFW (2010)	7.950	7.956	6.126	6.043	1.006	1.007	8.376	8.575	7.078	7.119
EFW (2009)	7.940	7.880	6.075	6.061	1.015	1.014	8.519	8.595	6.726	6.728
EFW (2008)	7.930	7.883	6.297	6.388	0.988	1.003	8.553	8.563	6.766	6.831
EFW (2007)	7.980	8.018	6.305	6.507	0.999	0.989	8.698	8.680	6.800	6.911
EFW (2006)	8.030	8.046	6.443	6.399	1.003	0.990	8.773	8.723	6.770	6.911
EFW (2005)	8.010	8.065	6.381	6.391	0.966	0.977	8.651	8.671	7.059	7.003
EFW (2004)	8.030	8.116	6.189	6.245	0.954	0.957	9.122	9.084	6.888	6.998
EFW (2003)	8.110	8.108	6.084	6.036	0.953	0.957	9.579	9.223	6.955	6.917
EFW (2002)	8.060	8.104	5.962	5.990	0.949	0.956	9.540	9.203	6.921	6.966
EFW (2001)	8.030	8.069	5.958	5.951	0.947	0.948	9.510	9.211	6.859	6.926

Table 4A: Germany

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Albania (ALB)	–	0.051	–	–	–
Czechia (CZE)	–	0.104	–	–	–
Estonia (EST)	0.426	–	0.107	–	0.520
France (FRA)	–	0.075	–	0.303	–
Hungary (HUN)	–	0.067	0.108	–	0.155
Ireland (IRL)	–	0.181	–	0.037	0.086
Italy (ITA)	–	0.095	0.050	0.115	–
Moldova (MDA)	–	–	0.294	–	–
Portugal (PRT)	–	–	–	0.241	–
Russian Federation (RUS)	0.048	0.125	0.089	–	–
Serbia (SRB)	0.043	–	–	–	–
Slovenia (SVN)	–	–	0.203	–	–
Spain (ESP)	–	0.082	–	0.178	0.238
Ukraine (UKR)	–	0.221	–	–	–
United Kingdom (GBR)	0.483	–	0.149	0.126	–
RMSPE	0.077	0.010	0.004	0.038	0.123

Table 5A: Sweden

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2012)	7.880	7.806	–	–	–	–	8.314	8.392	7.635	7.573
EFW (2011)	7.850	7.773	1.021	1.009	1.001	1.001	8.406	8.449	7.644	7.532
EFW (2010)	7.890	7.869	1.004	0.987	1.004	1.001	8.510	8.489	7.671	7.541
EFW (2009)	7.770	7.775	0.970	0.968	1.004	1.007	8.652	8.615	7.060	7.096
EFW (2008)	7.750	7.747	1.019	1.025	1.007	1.006	8.594	8.587	7.111	7.175
EFW (2007)	7.790	7.878	1.026	1.043	1.008	1.004	8.655	8.639	7.085	7.272
EFW (2006)	7.800	7.913	1.029	1.011	0.997	0.995	8.640	8.656	7.031	7.272
EFW (2005)	7.890	7.931	1.011	1.020	0.990	0.994	8.543	8.579	7.491	7.413
EFW (2004)	7.910	7.921	0.973	0.985	0.971	0.981	8.979	9.021	7.514	7.431
EFW (2003)	7.890	7.922	0.951	0.952	0.990	0.984	9.196	9.176	7.397	7.324
EFW (2002)	7.870	7.860	0.972	0.970	0.982	0.985	9.189	9.142	7.350	7.292
EFW (2001)	7.860	7.855	0.966	0.969	0.988	0.987	9.133	9.082	7.272	7.333

Table 6A: Sweden

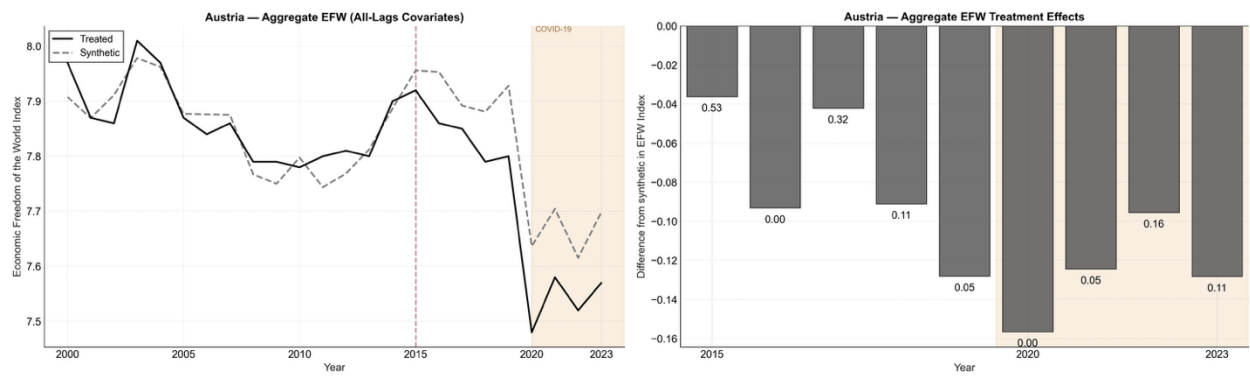


Figure 1A: Austria Overall EFW

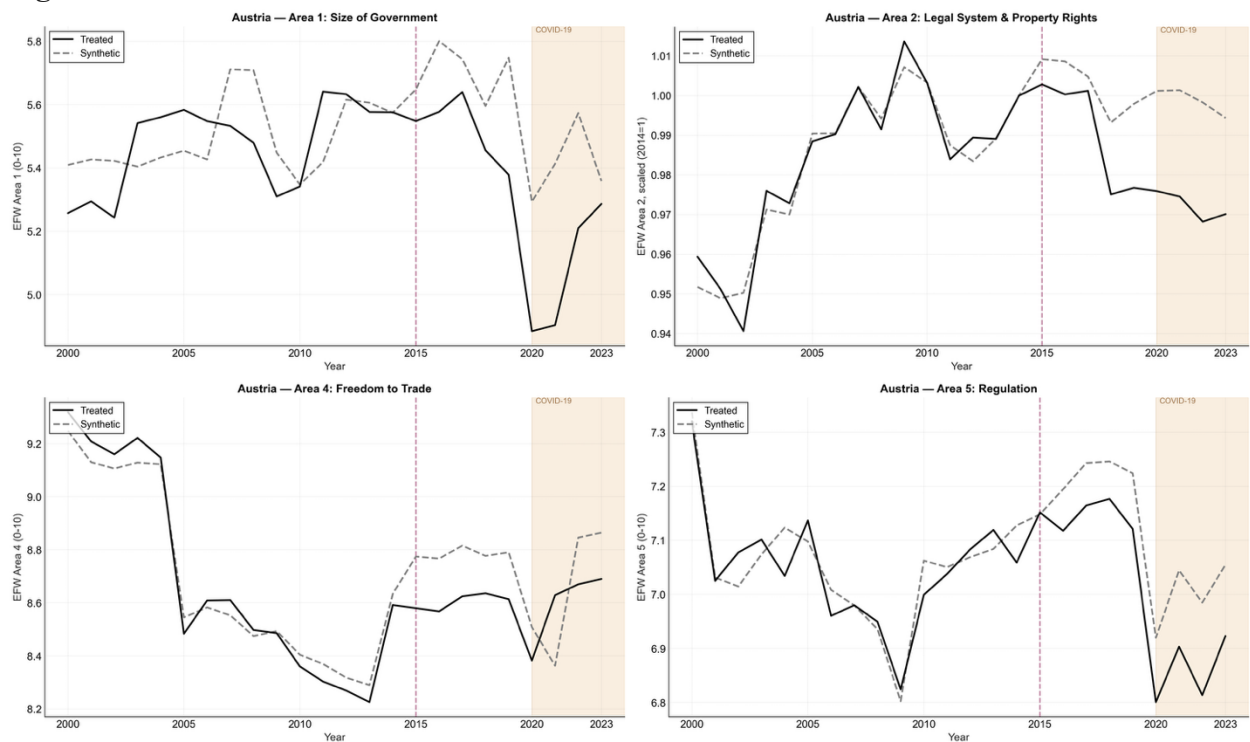


Figure 2A: Austria subindexes

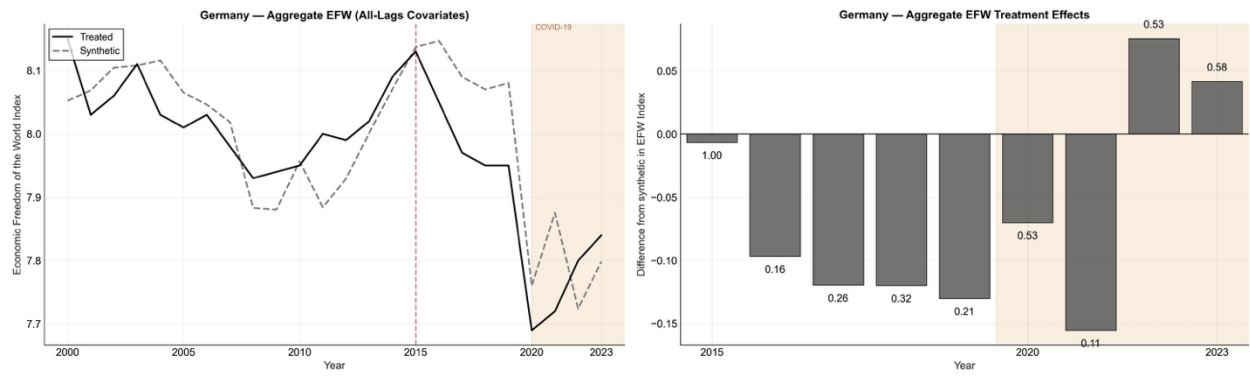


Figure 3A: Germany Overall EFW

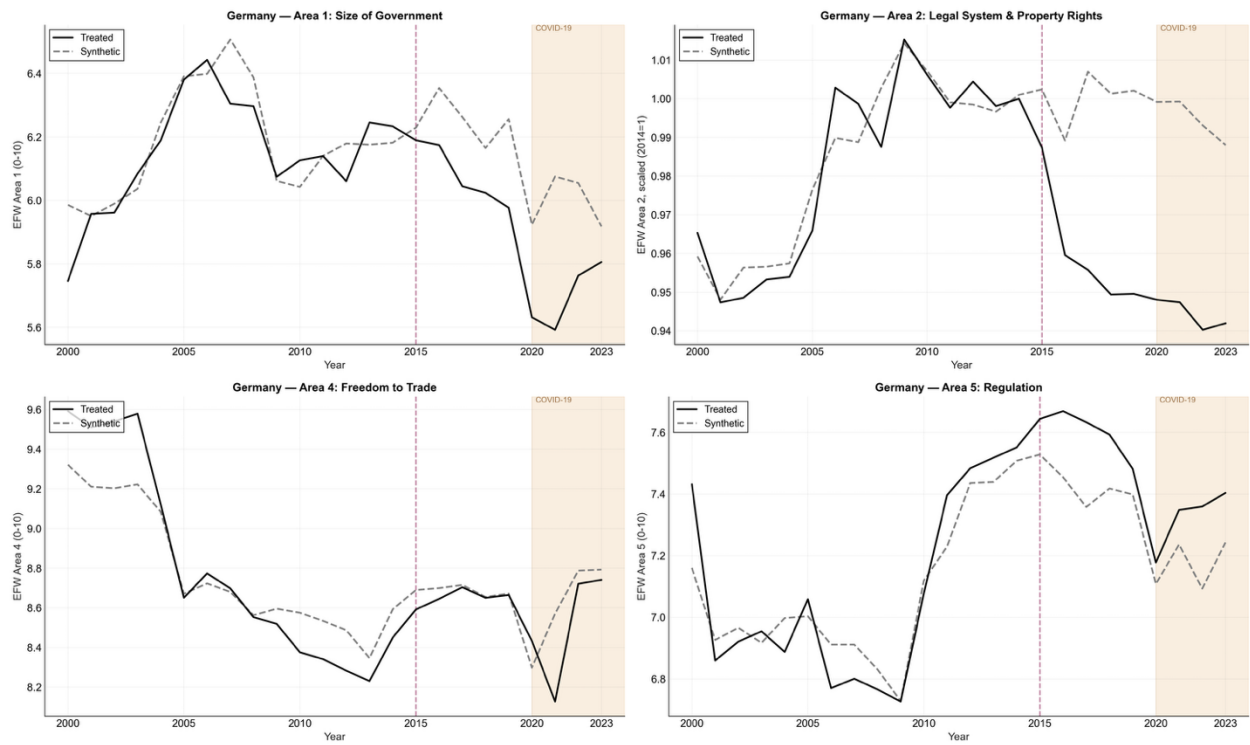


Figure 4A: Germany subindexes

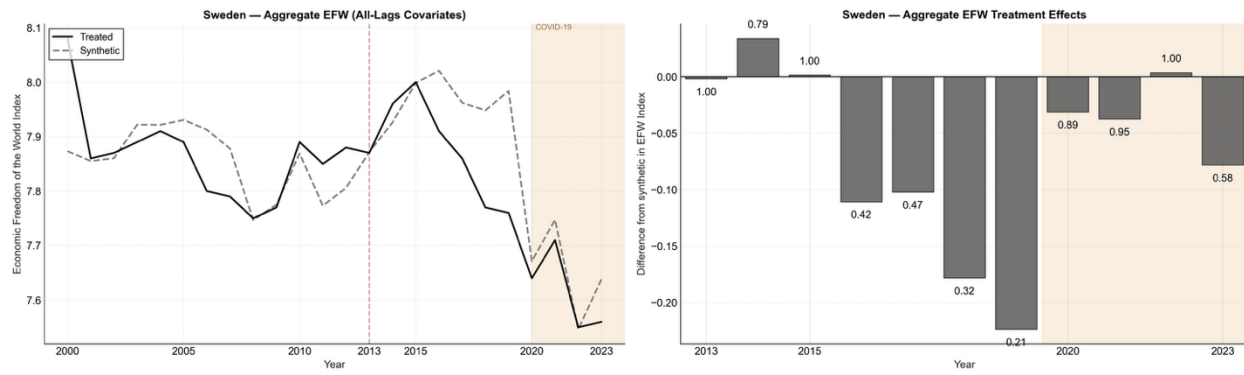


Figure 5A: Sweden Overall EFW

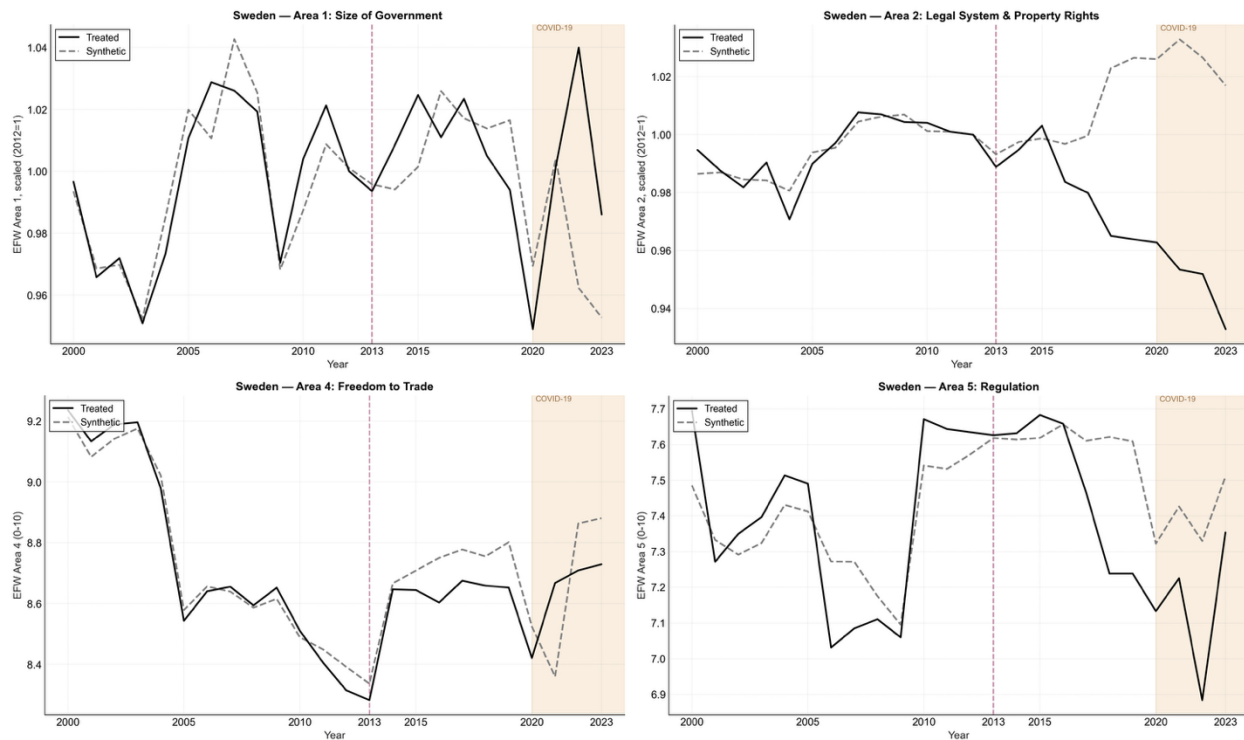


Figure 6A: Sweden subindexes

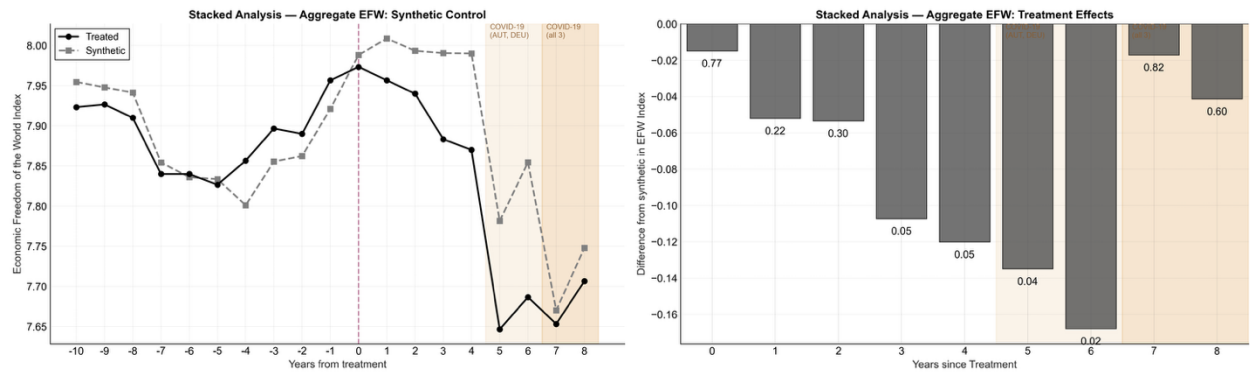


Figure 7A: Stacked synth

B. Results dropping UK.

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	–	–	–	–	0.026
Estonia (EST)	0.279	0.091	0.149	–	0.234
France (FRA)	0.368	0.150	–	–	0.561
Iceland (ISL)	–	0.055	0.465	0.197	–
Ireland (IRL)	0.353	–	0.116	0.519	–
Italy (ITA)	–	–	–	0.057	–
Poland (POL)	–	0.318	–	–	–
Russian Federation (RUS)	–	–	0.097	–	–
Slovak Republic (SVK)	–	–	0.036	–	–
Slovenia (SVN)	–	0.386	0.137	–	0.176
Spain (ESP)	–	–	–	0.227	–
RMSPE	0.056	0.161	0.008	0.081	0.051

Table 1B: Austria weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	7.900	7.924	5.576	5.556	–	–	8.592	8.556	7.059	7.110
EFW (2013)	–	–	–	–	0.989	0.989	–	–	–	–
EFW (2009)	7.790	7.759	5.310	5.369	1.014	1.002	8.486	8.513	6.824	6.817
EFW (2004)	7.970	7.969	5.560	5.560	0.973	0.973	9.148	9.126	7.034	7.134
gini	30.154	32.780	30.154	30.154	30.154	30.220	30.154	32.261	30.154	31.223
percapitagdp	41,928	34,000	41,928	19,782	41,928	34,069	41,928	42,151	41,928	27,104
CL	1.000	1.123	1.000	1.181	1.000	1.462	1.000	1.049	1.000	1.168
hc	3.229	3.111	3.229	3.229	3.229	3.141	3.229	2.925	3.229	3.180

Table 2B: Austria covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	–	0.171	–	–	0.385
Estonia (EST)	0.407	0.054	0.479	–	–
France (FRA)	–	0.132	0.061	–	–
Iceland (ISL)	–	–	–	0.115	–
Ireland (IRL)	0.593	0.319	0.068	0.402	0.426
Italy (ITA)	–	–	–	0.083	–
Lithuania (LTU)	–	0.107	–	–	–
Poland (POL)	–	–	–	–	0.174
Russian Federation (RUS)	–	–	0.050	–	–
Serbia (SRB)	–	–	–	–	0.014
Slovak Republic (SVK)	–	0.216	–	–	–
Spain (ESP)	–	–	0.342	0.400	–
RMSPE	0.084	0.145	0.007	0.221	0.160

Table 3B: Germany weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	8.090	8.113	6.233	6.226	–	–	8.450	8.588	7.552	7.519
EFW (2013)	–	–	–	–	0.998	0.994	–	–	–	–
EFW (2009)	7.940	7.811	6.075	6.068	1.015	1.013	8.519	8.519	6.726	6.637
EFW (2004)	8.030	8.135	6.189	6.182	0.954	0.955	9.122	9.122	6.888	7.000
gini	30.533	33.142	30.533	30.500	30.533	34.115	30.533	32.976	30.533	30.494
percapitagdp	37,836	34,457	37,836	27,273	37,836	21,556	37,836	37,843	37,836	28,204
CL	1.133	1.109	1.133	1.170	1.133	1.385	1.133	1.081	1.133	1.162
hc	3.623	3.156	3.623	3.241	3.623	3.126	3.623	2.884	3.623	3.260

Table 4B: Germany covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.128	0.388	0.110	–	–
Estonia (EST)	–	–	0.300	–	0.580
France (FRA)	–	0.114	–	0.327	0.255
Iceland (ISL)	–	–	0.285	0.024	–
Ireland (IRL)	0.674	0.475	–	0.210	0.069
Italy (ITA)	0.199	–	0.044	–	–
Poland (POL)	–	–	0.007	–	0.096
Slovenia (SVN)	–	0.023	0.251	–	–
Spain (ESP)	–	–	–	0.438	–
RMSPE	0.104	0.014	0.008	0.055	0.133

Table 5B: Sweden weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2012)	7.880	7.844	–	–	–	–	8.314	8.374	7.635	7.559
EFW (2011)	–	–	1.021	1.008	1.001	0.997	–	–	–	–
EFW (2007)	7.790	7.952	1.026	1.063	1.008	1.007	8.655	8.647	7.085	7.258
EFW (2002)	7.870	7.860	0.972	0.972	0.982	0.979	9.189	9.155	7.350	7.322
gini	26.900	32.258	26.900	30.061	26.900	29.287	26.900	32.940	26.900	33.218
percapitagdp	46,098	40,716	46,098	33,070	46,098	25,907	46,098	33,929	46,098	21,343
CL	1.000	1.117	1.000	1.140	1.000	1.181	1.000	1.117	1.000	1.247
hc	3.279	3.037	3.279	3.228	3.279	3.248	3.279	2.869	3.279	3.241

Table 6B: Sweden covariate balance

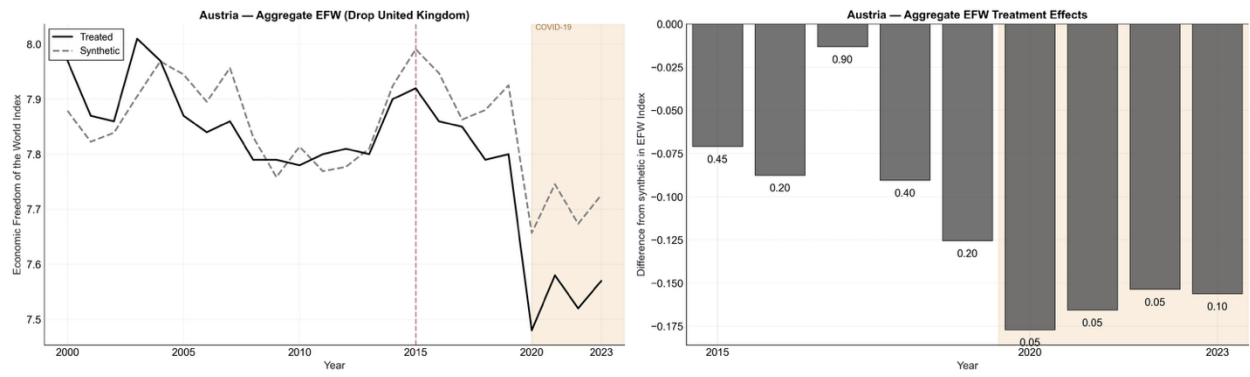


Figure 1B: Austria Overall EFW

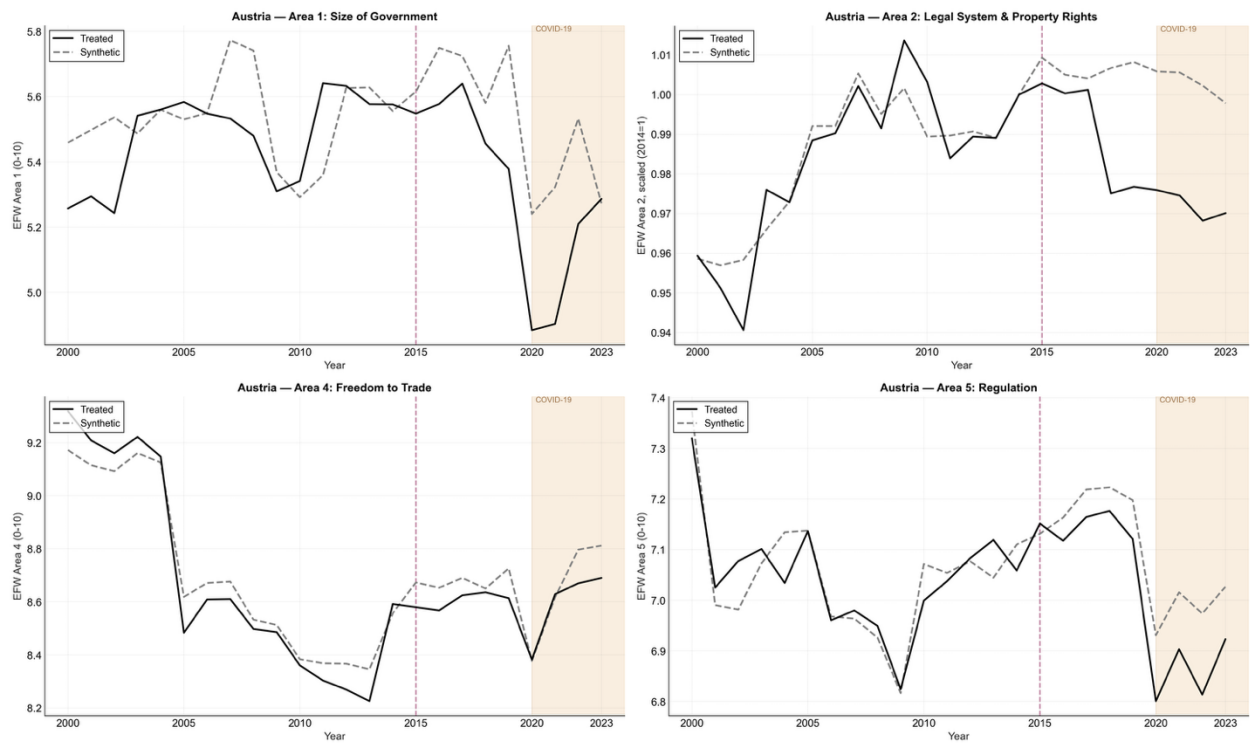


Figure 2B: Austria subindexes

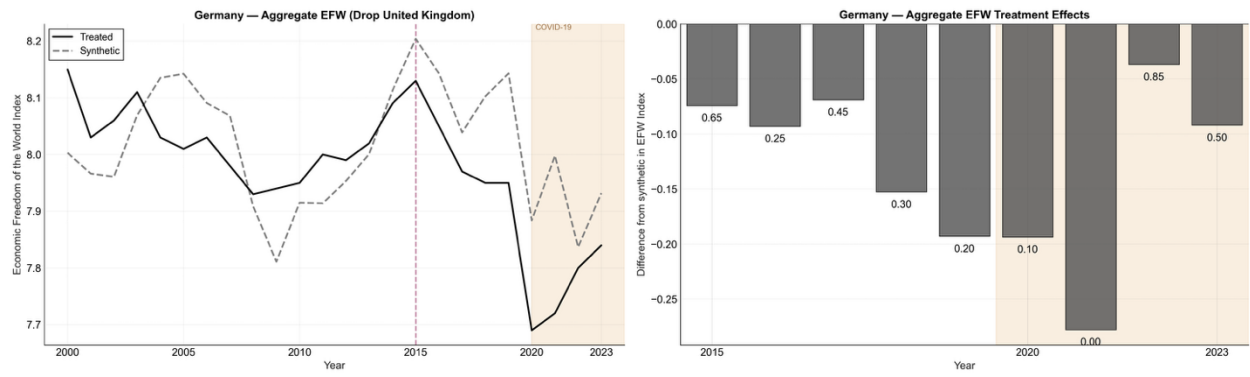


Figure 3B: Germany Overall EFW

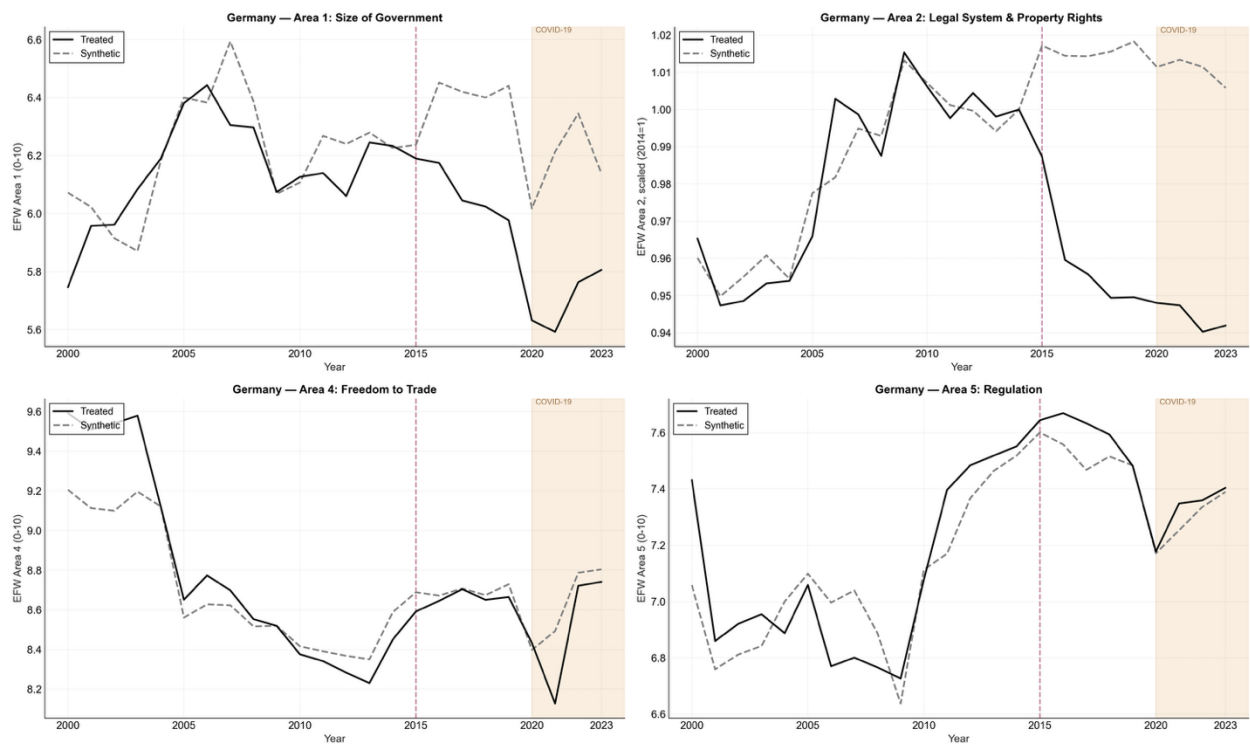


Figure 4B: Germany subindexes

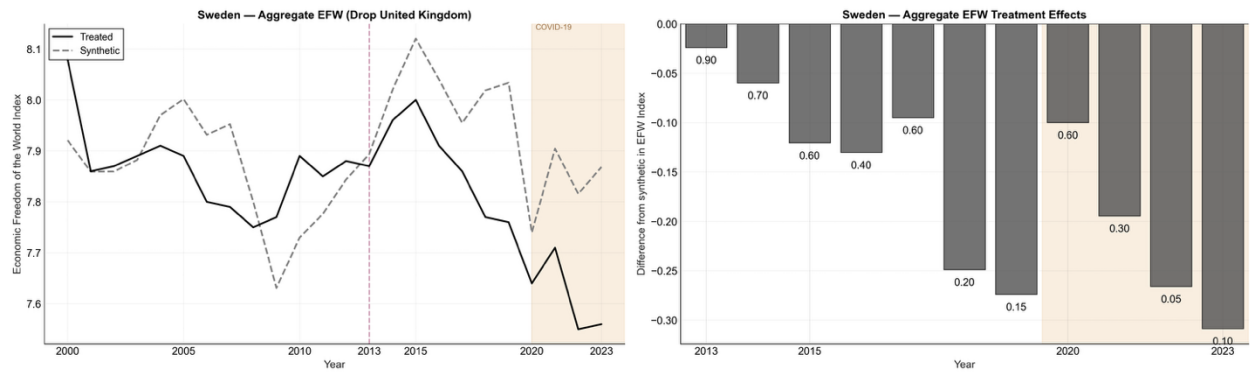


Figure 5B: Sweden Overall EFW

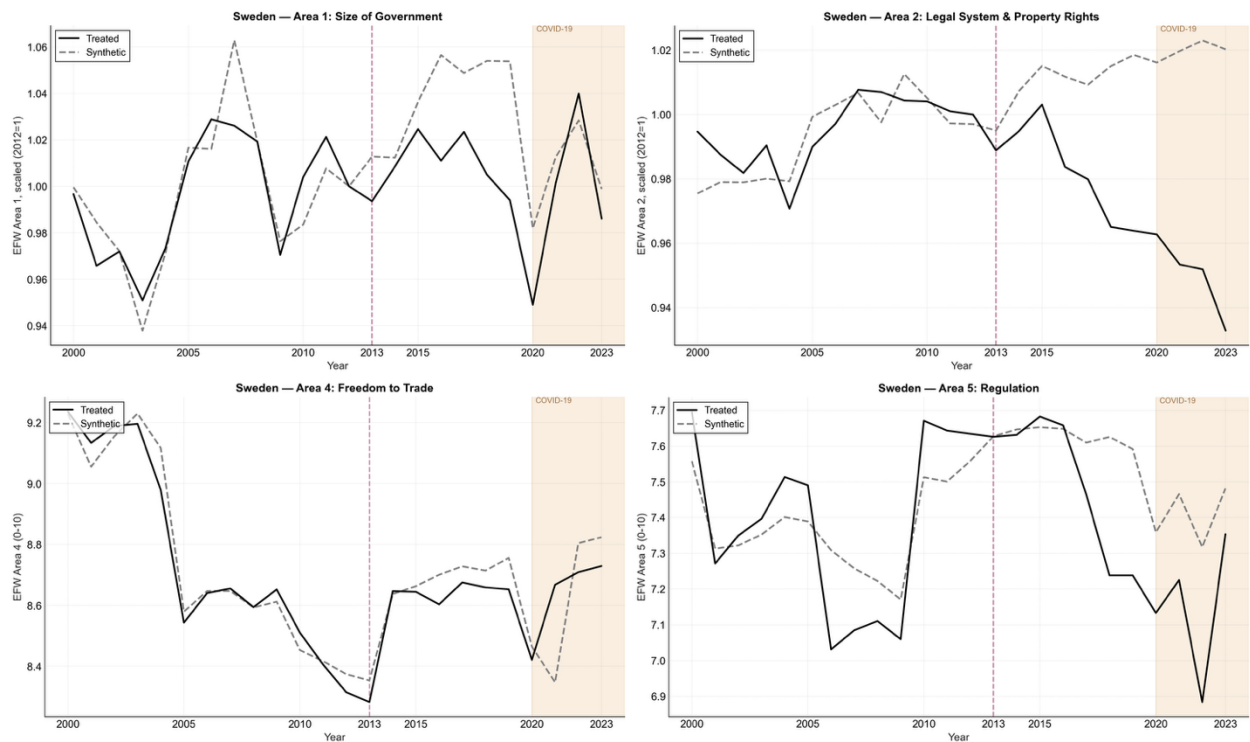


Figure 6B: Sweden subindexes

C. Results including migrant stock

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.115	–	–	–	0.017
Estonia (EST)	0.188	–	0.324	–	0.250
France (FRA)	0.277	0.191	–	–	0.517
Iceland (ISL)	–	0.108	0.116	0.092	–
Ireland (IRL)	0.079	–	0.413	0.309	0.013
Italy (ITA)	–	–	–	0.221	–
Poland (POL)	–	0.361	–	–	–
Serbia (SRB)	–	–	–	–	0.008
Slovenia (SVN)	0.052	0.341	0.145	–	0.194
Spain (ESP)	–	–	–	0.378	–
United Kingdom (GBR)	0.289	–	–	–	–
RMSPE	0.044	0.156	0.007	0.060	0.051

Table 1C: Austria weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	7.900	7.900	5.576	5.538	–	–	8.592	8.591	7.059	7.108
EFW (2013)	–	–	–	–	0.989	0.988	–	–	–	–
EFW (2009)	7.790	7.788	5.310	5.345	1.014	1.003	8.486	8.486	6.824	6.812
EFW (2004)	7.970	7.966	5.560	5.491	0.973	0.965	9.148	9.117	7.034	7.123
gini	30.154	32.281	30.154	30.186	30.154	31.462	30.154	33.282	30.154	31.170
percapitagdp	41,928	31,306	41,928	22,002	41,928	32,994	41,928	36,182	41,928	26,519
CL	1.000	1.163	1.000	1.168	1.000	1.107	1.000	1.124	1.000	1.173
hc	3.229	3.353	3.229	3.185	3.229	3.171	3.229	2.882	3.229	3.184
stock_pct_dest_pop(2010)	15.370	12.521	15.370	8.244	15.370	15.198	15.370	12.910	15.370	12.893

Table 2C: Austria covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.173	–	–	–	0.318
Estonia (EST)	0.204	–	0.366	–	0.285
France (FRA)	–	0.110	0.094	–	–
Iceland (ISL)	–	–	–	0.088	–
Ireland (IRL)	0.073	0.576	0.306	–	0.262
Italy (ITA)	–	–	–	0.313	–
Russian Federation (RUS)	–	–	0.044	–	–
Serbia (SRB)	0.019	–	–	–	0.134
Slovenia (SVN)	–	0.019	0.127	–	–
Ukraine (UKR)	–	0.296	–	–	–
United Kingdom (GBR)	0.531	–	0.063	0.599	–
RMSPE	0.057	0.127	0.009	0.194	0.134

Table 3C: Germany weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	8.090	8.061	6.233	6.239	–	–	8.450	8.593	7.552	7.447
EFW (2013)	–	–	–	–	0.998	0.989	–	–	–	–
EFW (2009)	7.940	7.873	6.075	6.028	1.015	1.011	8.519	8.595	6.726	6.768
EFW (2004)	8.030	8.097	6.189	6.196	0.954	0.958	9.122	9.084	6.888	6.947
gini	30.533	33.004	30.533	30.746	30.533	32.597	30.533	34.118	30.533	31.087
percapitagdp	37,836	31,731	37,836	32,581	37,836	28,828	37,836	39,775	37,836	22,357
CL	1.133	1.190	1.133	1.590	1.133	1.314	1.133	1.184	1.133	1.294
hc	3.623	3.530	3.623	3.050	3.623	3.241	3.623	3.356	3.623	3.313
stock_pct_dest_pop(2010)	14.433	12.418	14.433	14.069	14.433	14.808	14.433	10.759	14.433	12.718

Table 4C: Germany covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	–	0.217	0.158	–	–
Estonia (EST)	0.548	–	0.200	–	0.624
France (FRA)	–	–	–	0.334	0.185
Hungary (HUN)	–	0.033	–	–	–
Iceland (ISL)	–	–	–	0.024	–
Ireland (IRL)	0.083	0.358	0.442	0.208	–
Portugal (PRT)	0.311	–	–	–	0.045
Slovenia (SVN)	–	0.123	0.083	–	–
Spain (ESP)	–	–	–	0.434	0.147
Ukraine (UKR)	–	0.269	–	–	–
United Kingdom (GBR)	0.057	–	0.117	–	–
RMSPE	0.083	0.013	0.006	0.055	0.129

Table 5C: Sweden weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2012)	7.880	7.816	–	–	–	–	8.314	8.382	7.635	7.527
EFW (2011)	–	–	1.021	1.004	1.001	0.997	–	–	–	–
EFW (2007)	7.790	7.848	1.026	1.045	1.008	1.008	8.655	8.657	7.085	7.260
EFW (2002)	7.870	7.862	0.972	0.972	0.982	0.977	9.189	9.165	7.350	7.354
gini	26.900	34.683	26.900	28.865	26.900	31.609	26.900	32.962	26.900	33.598
percapitagdp	46,098	20,138	46,098	23,718	46,098	32,901	46,098	33,975	46,098	19,982
CL	1.000	1.176	1.000	1.618	1.000	1.141	1.000	1.118	1.000	1.244
hc	3.279	3.027	3.279	3.211	3.279	3.261	3.279	2.873	3.279	3.180
stock_pct_dest_pop(2010)	14.630	13.276	14.630	11.797	14.630	14.065	14.630	13.369	14.630	14.643

Table 6C: Sweden covariate balance

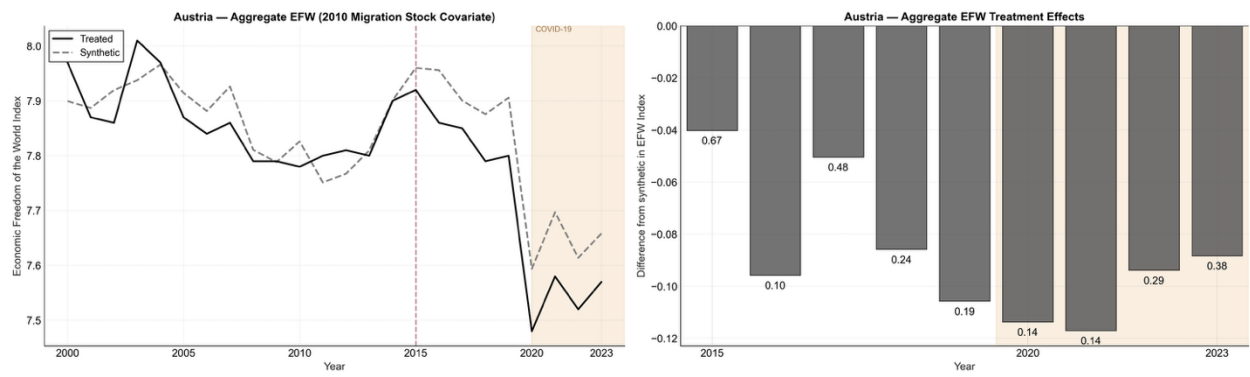


Figure 1C: Austria Overall EFW

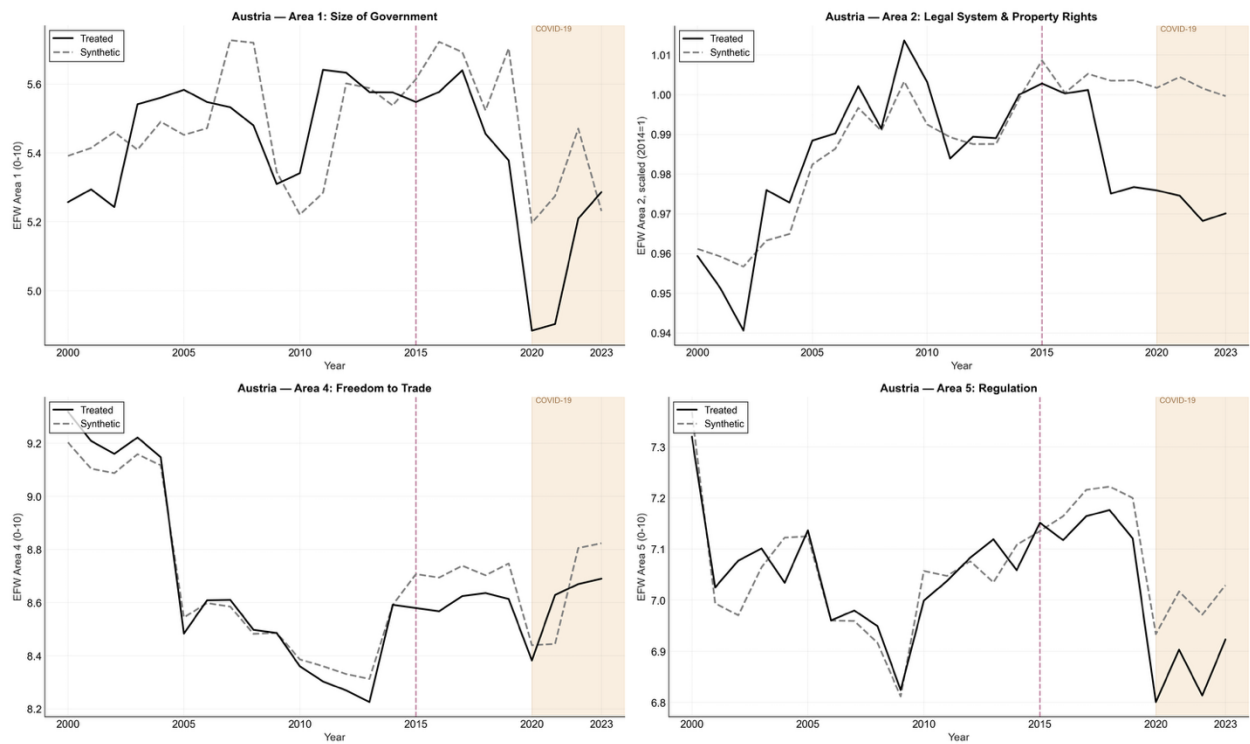


Figure 2C: Austria subindexes

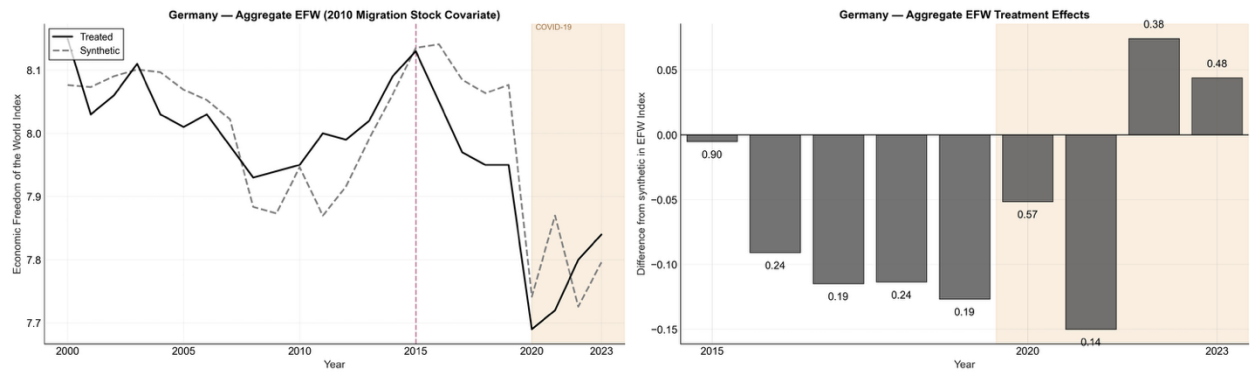


Figure 3C: Germany Overall EFW

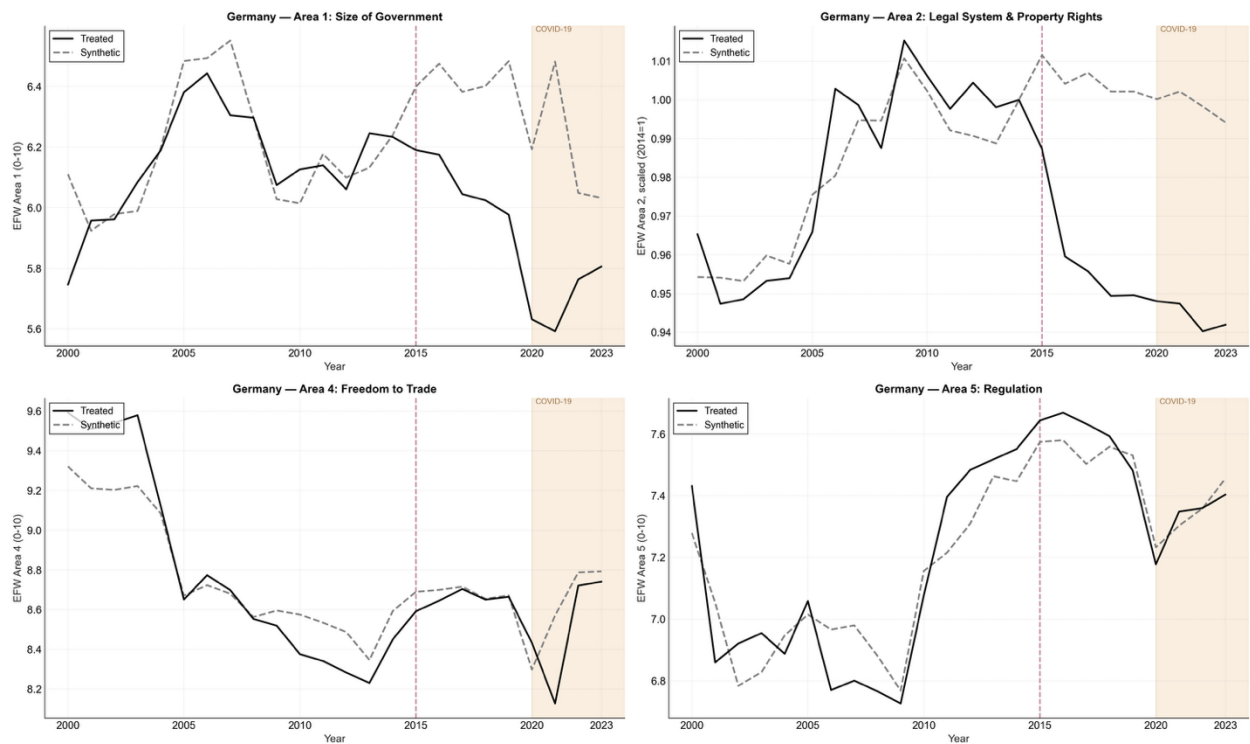


Figure 4C: Germany subindexes

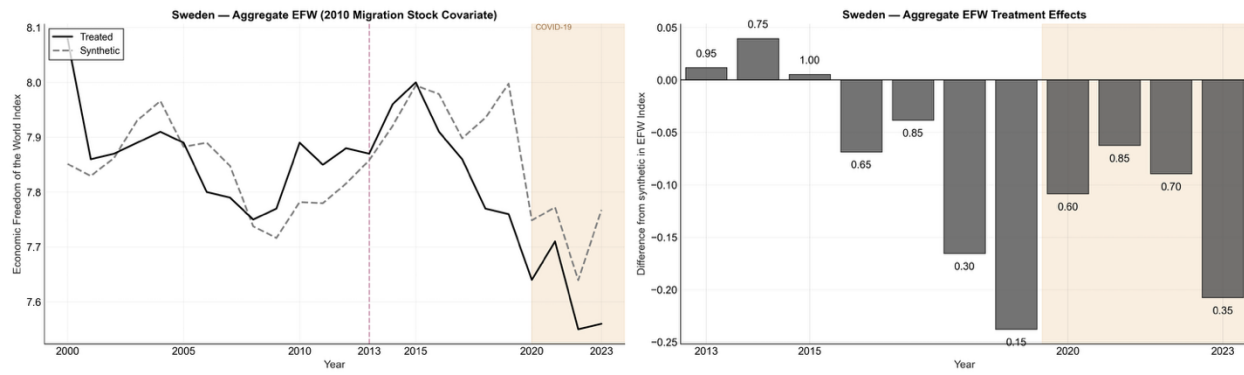


Figure 5C: Sweden Overall EFW

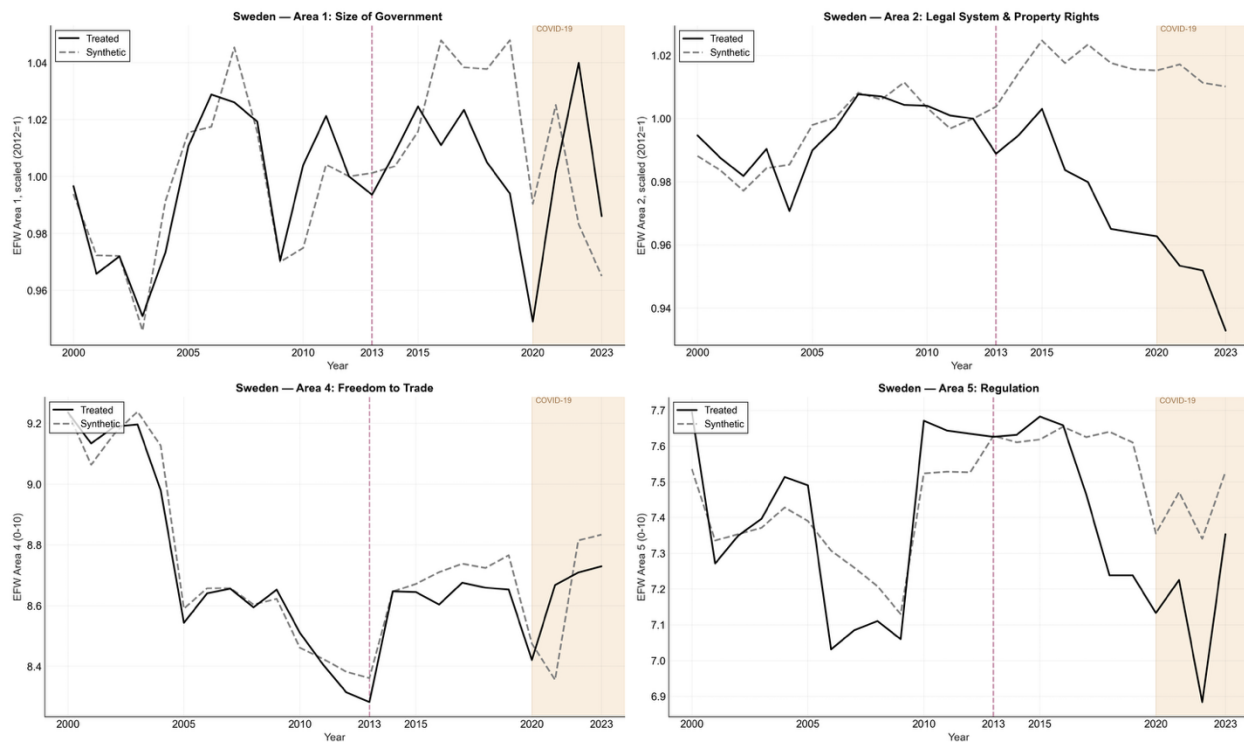


Figure 6C: Sweden subindexes

D. Expanding donor pool to OECD

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia	0.050	–	–	–	0.134
Estonia	–	–	0.204	–	–
France	0.200	0.159	0.204	–	0.622
Iceland	–	0.138	–	0.064	–
Ireland	–	–	0.578	–	–
Italy	–	–	–	0.646	–
Japan	0.533	–	–	–	–
Poland	–	0.361	–	–	–
Slovak Republic	0.050	–	–	–	–
Slovenia	–	0.333	–	–	0.126
United Kingdom	0.167	–	0.014	0.290	–
United States	–	0.008	–	–	0.118
RMSPE	0.042	0.166	0.008	0.065	0.060

Table 1D: Austria weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	7.900	7.885	5.576	5.571	–	–	8.592	8.605	7.059	7.119
EFW (2013)	–	–	–	–	0.989	0.985	–	–	–	–
EFW (2009)	7.790	7.795	5.310	5.342	1.014	1.008	8.486	8.485	6.824	6.766
EFW (2004)	7.969	7.977	5.560	5.554	0.973	0.974	9.148	9.106	7.034	7.120
gini	30.154	32.249	30.154	30.123	30.154	32.824	30.154	34.134	30.154	31.575
percapitagdp	41,078	36,525	41,078	22,797	41,078	38,183	41,078	35,534	41,078	32,487
CL	1.000	1.539	1.000	1.161	1.000	1.083	1.000	1.254	1.000	1.135
hc	3.229	3.407	3.229	3.180	3.229	3.082	3.229	3.135	3.229	3.211

Table 2D: Austria covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Chile	0.018	0.011	—	—	—
Czechia	0.359	0.225	—	—	0.274
Estonia	—	—	0.411	—	—
France	—	0.024	0.252	—	—
Iceland	—	—	—	0.088	—
Ireland	—	0.516	0.137	—	0.242
Italy	—	—	—	0.313	0.215
Japan	—	0.023	0.187	—	—
Russian Federation	—	—	0.013	—	—
Serbia	—	—	—	—	0.075
Slovak Republic	0.010	0.175	—	—	—
United Kingdom	0.444	0.027	—	0.599	—
United States	0.169	—	—	—	0.194
RMSPE	0.055	0.167	0.009	0.194	0.156

Table 3D: Germany weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2014)	8.090	8.089	6.233	6.240	—	—	8.450	8.593	7.552	7.488
EFW (2013)	—	—	—	—	0.998	0.989	—	—	—	—
EFW (2009)	7.920	7.847	6.075	6.081	1.015	1.011	8.519	8.595	6.726	6.725
EFW (2004)	8.000	8.084	6.189	6.195	0.954	0.955	9.122	9.084	6.888	7.058
gini	30.467	33.043	30.467	30.499	30.467	33.051	30.467	34.122	30.467	33.000
percapitagdp	38,183	31,469	38,183	33,517	38,183	28,445	38,183	38,320	38,183	32,026
CL	1.133	1.160	1.133	1.136	1.133	1.358	1.133	1.184	1.133	1.220
hc	3.623	3.623	3.623	3.250	3.623	3.256	3.623	3.356	3.623	3.280

Table 4D: Germany covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia	0.126	0.449	–	–	–
Estonia	–	–	0.235	–	0.503
France	–	–	–	0.410	–
Hungary	–	0.011	–	–	–
Iceland	–	–	–	0.045	–
Ireland	–	0.541	0.549	0.030	0.178
Japan	0.672	–	0.016	–	–
Poland	–	–	–	–	0.240
Spain	–	–	–	0.293	–
Ukraine	0.034	–	–	–	–
United Kingdom	0.169	–	–	0.222	0.078
United States	–	–	0.200	–	–
RMSPE	0.066	0.016	0.005	0.053	0.138

Table 5D: Sweden weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2012)	7.880	7.842	–	–	–	–	8.314	8.394	7.635	7.627
EFW (2011)	–	–	1.021	1.006	1.001	0.999	–	–	–	–
EFW (2007)	7.780	7.874	1.026	1.054	1.008	1.008	8.655	8.655	7.085	7.282
EFW (2002)	7.880	7.861	0.972	0.971	0.982	0.982	9.189	9.184	7.350	7.324
gini	26.900	32.330	26.900	29.912	26.900	34.547	26.900	33.180	26.900	33.674
percapitagdp	44,890	35,155	44,890	32,095	44,890	37,905	44,890	34,303	44,890	19,506
CL	1.000	1.803	1.000	1.144	1.000	1.088	1.000	1.142	1.000	1.240
hc	3.279	3.484	3.279	3.261	3.279	3.209	3.279	3.054	3.279	3.276

Table 6D: Sweden covariate balance

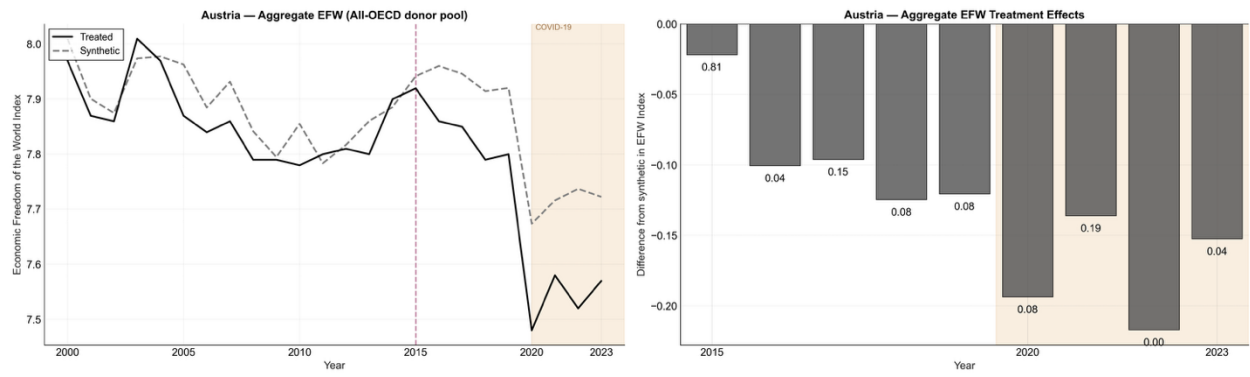


Figure 1D: Austria Overall EFW

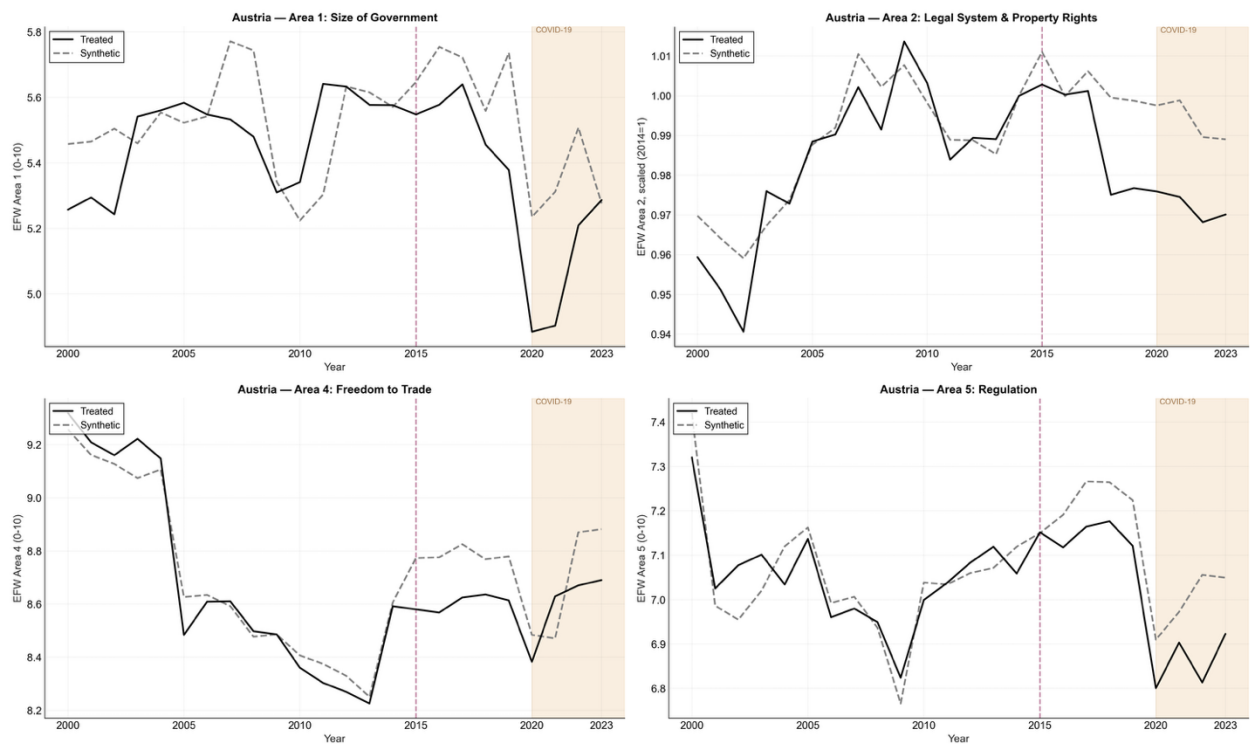


Figure 2D: Austria subindexes

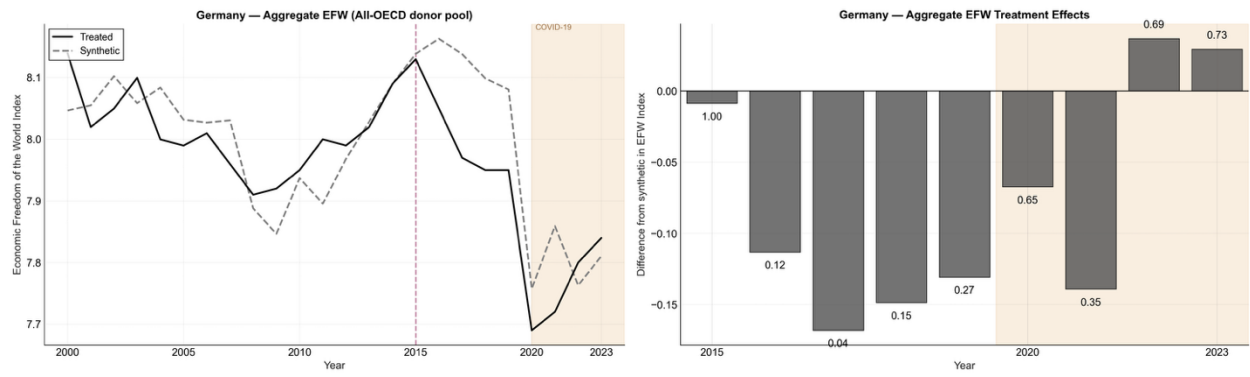


Figure 3D: Germany Overall EFW

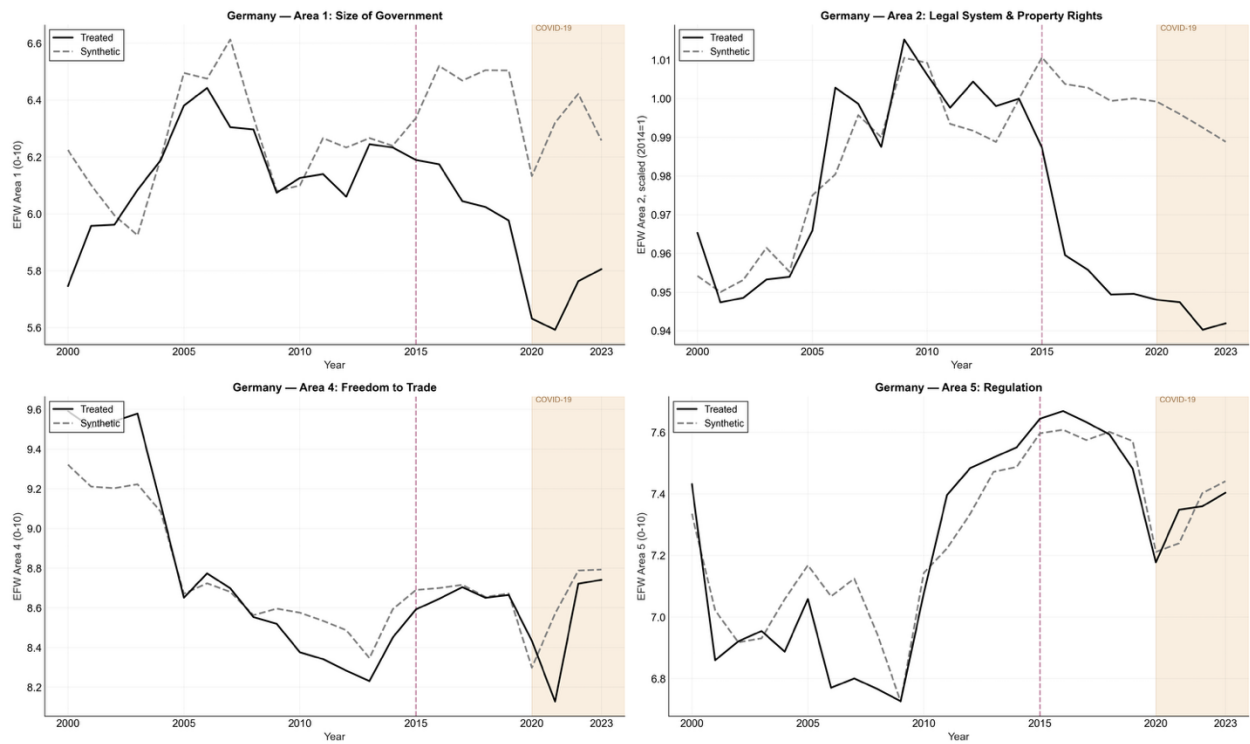


Figure 4D: Germany subindexes

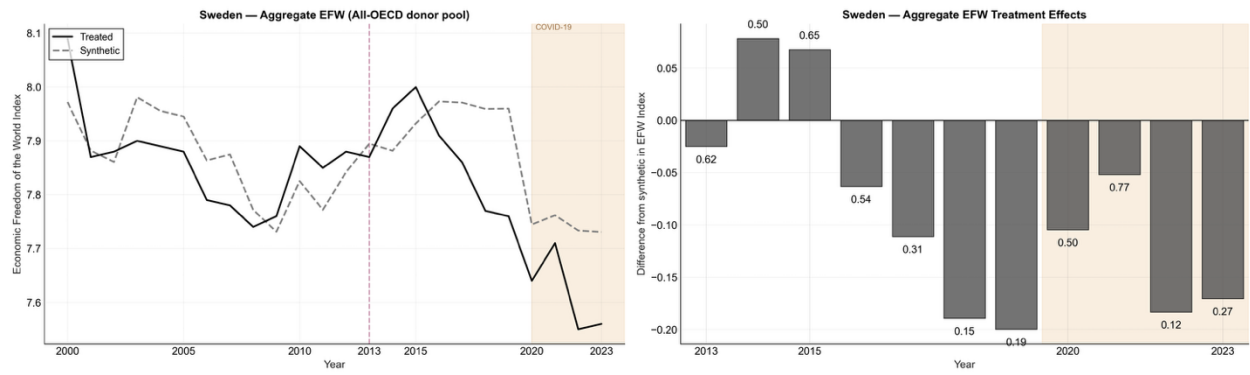


Figure 5D: Sweden Overall EFW

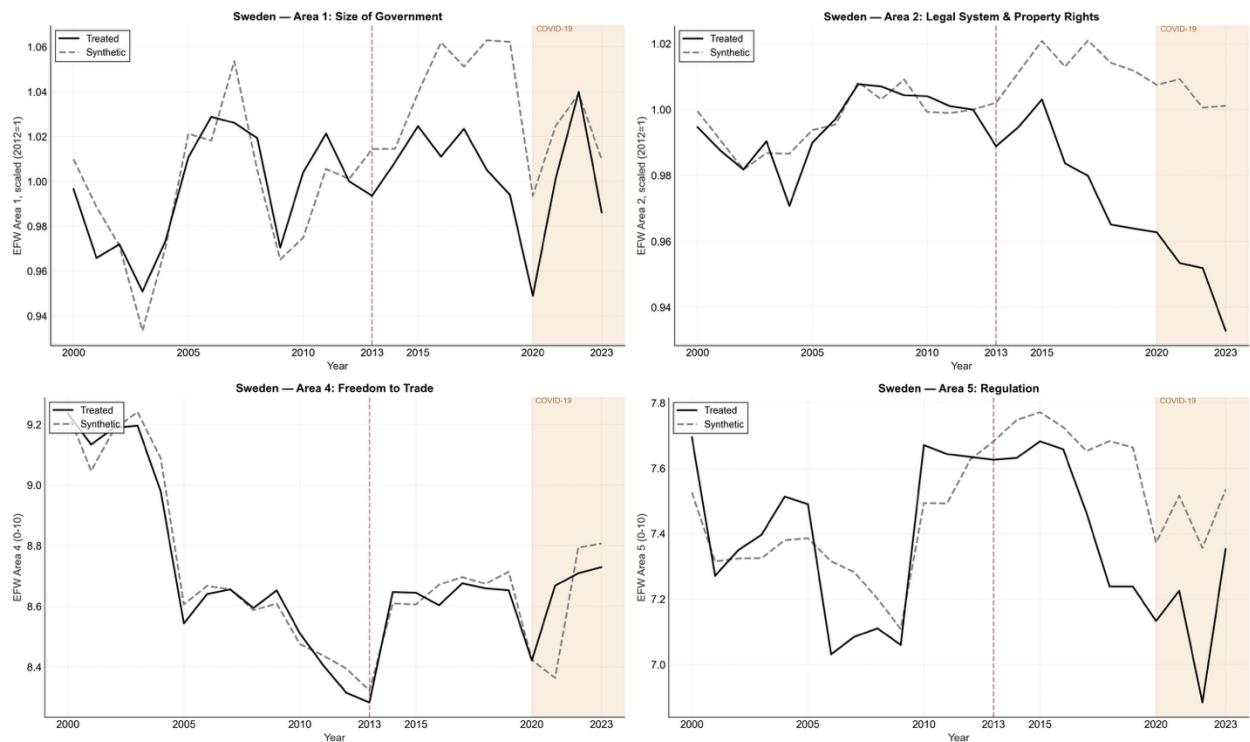


Figure 6D: Sweden subindexes

E. Synthetic Diff-n-Diff

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Albania (ALB)	0.037	0.060	0.062	–	0.042
Czechia (CZE)	0.032	0.032	0.059	0.021	0.010
Estonia (EST)	0.077	0.047	0.073	0.024	0.054
France (FRA)	0.102	0.043	0.055	0.109	0.089
Hungary (HUN)	0.054	0.086	0.032	–	0.043
Iceland (ISL)	0.047	–	0.048	0.156	0.048
Ireland (IRL)	0.067	0.038	0.051	0.096	0.047
Italy (ITA)	0.093	0.031	0.045	0.142	0.044
Latvia (LVA)	0.043	0.044	–	–	0.035
Lithuania (LTU)	0.021	0.063	0.074	0.070	0.017
Moldova (MDA)	–	0.100	0.036	–	0.043
Poland (POL)	0.036	0.084	0.046	–	0.026
Portugal (PRT)	0.094	0.035	0.037	0.110	0.021
Romania (ROU)	–	0.055	0.077	–	0.040
Russian Federation (RUS)	–	0.009	0.056	–	0.028
Serbia (SRB)	–	0.051	–	–	0.051
Slovak Republic (SVK)	0.012	0.063	0.063	–	0.070
Slovenia (SVN)	0.062	0.026	0.038	–	0.095
Spain (ESP)	0.105	0.046	0.043	0.155	0.066
Ukraine (UKR)	–	0.068	0.036	–	0.028
United Kingdom (GBR)	0.118	0.016	0.061	0.116	0.105
ATT (SDID)	-0.133	-0.169	-0.027	-0.111	-0.130

Table 1E: Austria weights

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Albania (ALB)	0.022	0.067	0.037	–	0.012
Czechia (CZE)	0.043	0.022	0.056	–	0.056
Estonia (EST)	0.072	0.061	0.108	–	0.048
France (FRA)	0.094	0.069	0.046	0.110	0.044
Hungary (HUN)	0.052	0.020	0.020	–	0.060
Iceland (ISL)	0.022	–	0.033	0.222	–
Ireland (IRL)	0.072	0.057	0.046	0.080	0.046
Italy (ITA)	0.104	0.050	0.080	0.143	0.068
Latvia (LVA)	0.052	0.068	0.007	–	0.040
Lithuania (LTU)	0.018	0.045	0.037	0.036	0.073
Moldova (MDA)	–	0.045	0.059	–	0.022
Poland (POL)	0.052	0.058	0.100	–	0.084
Portugal (PRT)	0.109	0.015	0.018	0.095	0.096
Romania (ROU)	–	0.085	0.044	–	0.058
Russian Federation (RUS)	0.009	–	0.092	–	0.078
Serbia (SRB)	–	0.074	–	–	0.095
Slovak Republic (SVK)	–	0.073	0.078	–	–
Slovenia (SVN)	0.043	0.027	0.032	–	0.027
Spain (ESP)	0.100	0.061	0.050	0.168	0.037
Ukraine (UKR)	0.005	0.071	0.029	–	0.048
United Kingdom (GBR)	0.125	0.027	0.027	0.145	–
ATT (SDID)	-0.107	-0.134	-0.067	-0.061	0.022

Table 2E: Germany weights

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Albania (ALB)	–	0.057	0.009	–	–
Czechia (CZE)	0.043	0.078	0.078	0.035	0.037
Estonia (EST)	0.075	0.050	0.071	0.042	0.059
France (FRA)	0.092	0.062	0.037	0.108	0.071
Hungary (HUN)	0.049	0.061	0.062	0.007	0.071
Iceland (ISL)	0.012	0.006	0.039	0.078	–
Ireland (IRL)	0.077	0.054	0.056	0.102	0.047
Italy (ITA)	0.117	0.051	0.098	0.117	0.073
Latvia (LVA)	0.043	0.042	–	0.026	0.021
Lithuania (LTU)	0.014	0.031	–	0.073	0.061
Moldova (MDA)	–	0.054	0.085	–	0.026
Poland (POL)	0.056	0.030	0.064	0.008	0.062
Portugal (PRT)	0.112	0.028	0.017	0.118	0.060
Romania (ROU)	–	0.032	0.035	–	0.074
Russian Federation (RUS)	0.045	0.085	0.060	0.020	0.098
Serbia (SRB)	–	0.071	0.021	–	0.058
Slovak Republic (SVK)	0.007	0.061	0.009	–	0.007
Slovenia (SVN)	0.020	0.029	0.055	–	0.039
Spain (ESP)	0.104	0.031	0.069	0.134	0.074
Ukraine (UKR)	–	0.068	0.052	0.012	–
United Kingdom (GBR)	0.130	0.020	0.080	0.119	0.051
ATT (SDID)	-0.105	0.014	-0.046	-0.031	-0.291

Table 3E: Sweden weights

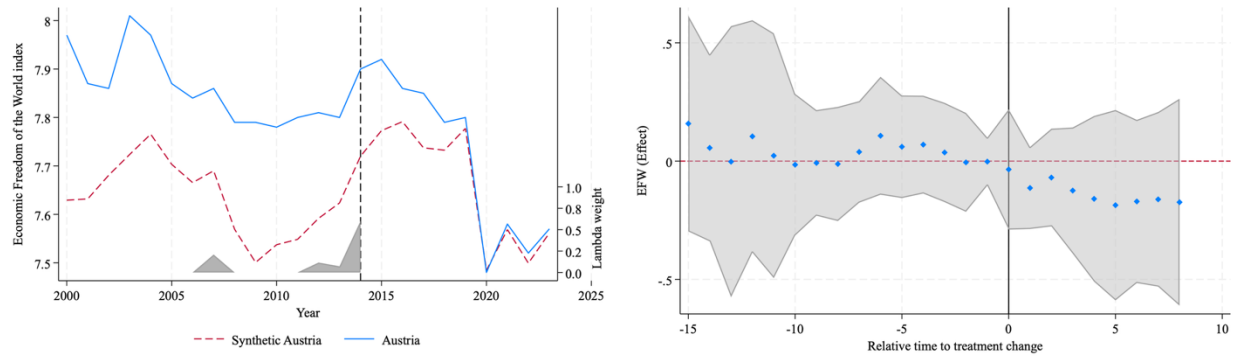


Figure 1E: Austria Overall EFW

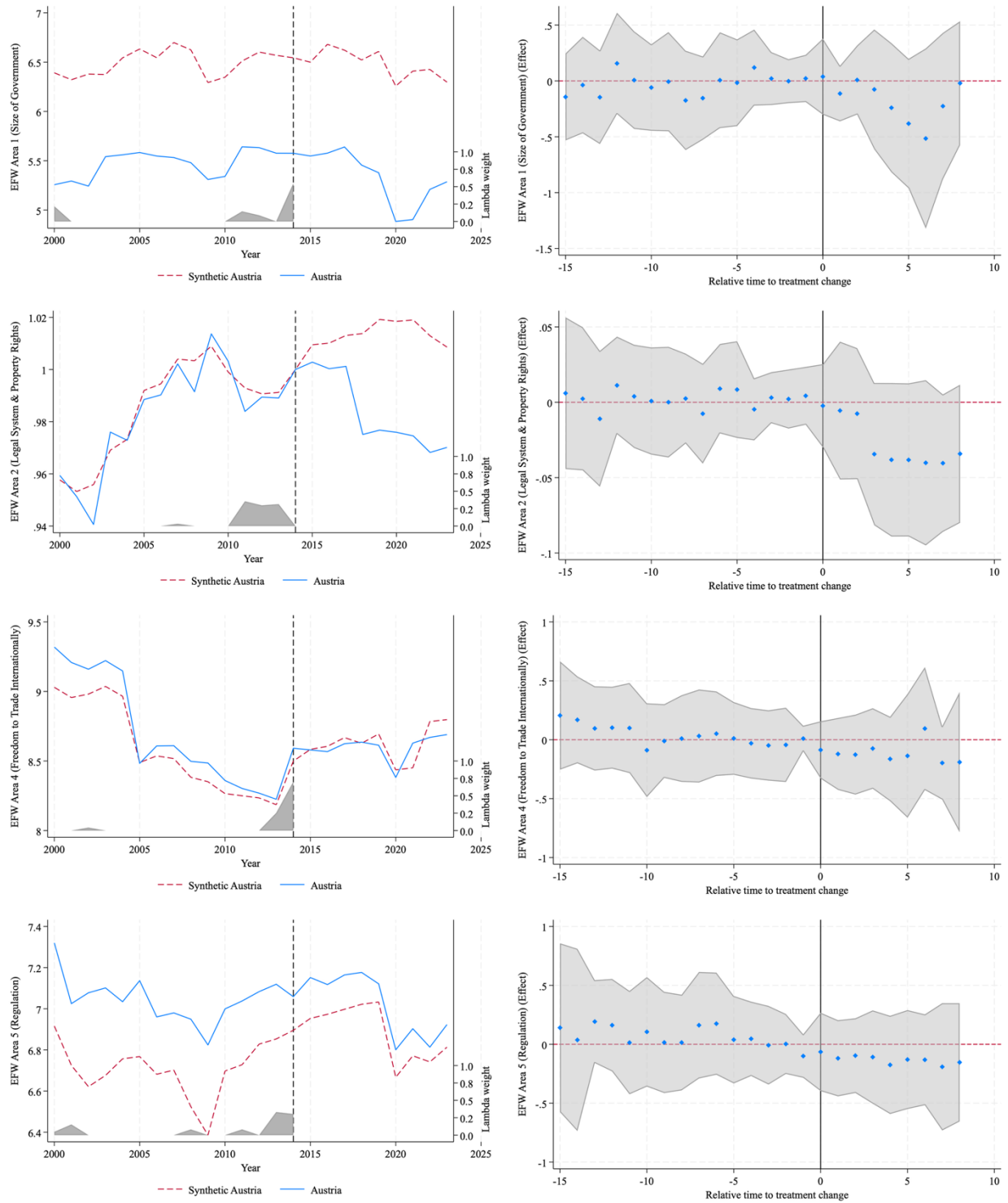


Figure 2E: Austria subindexes

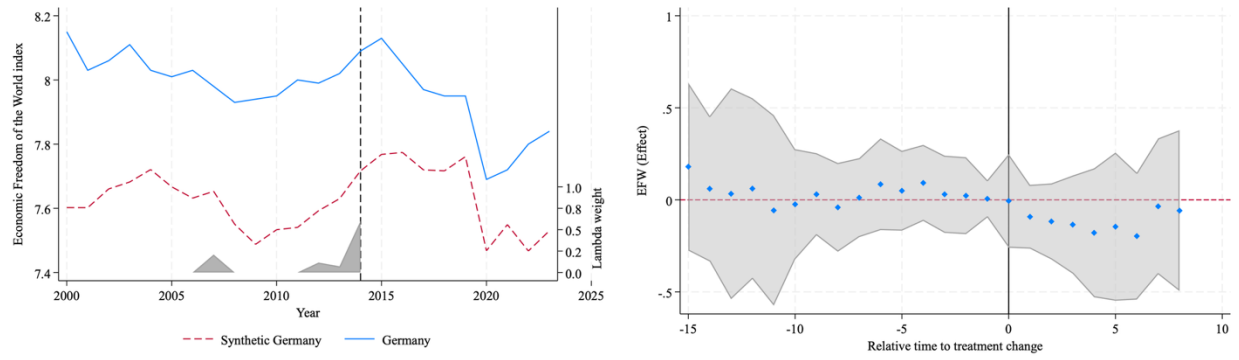


Figure 3E: Germany Overall EFW

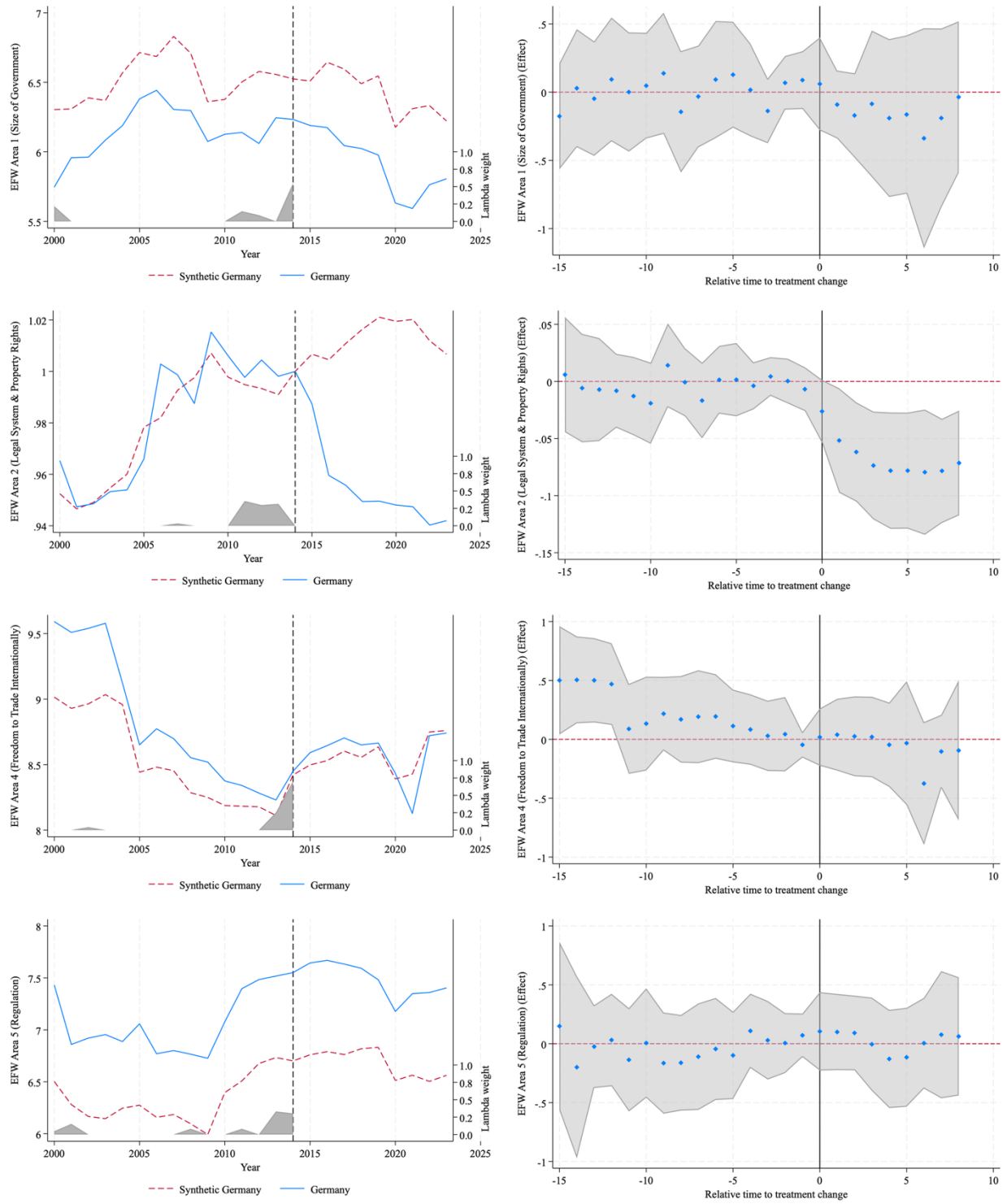


Figure 4E: Germany subindexes

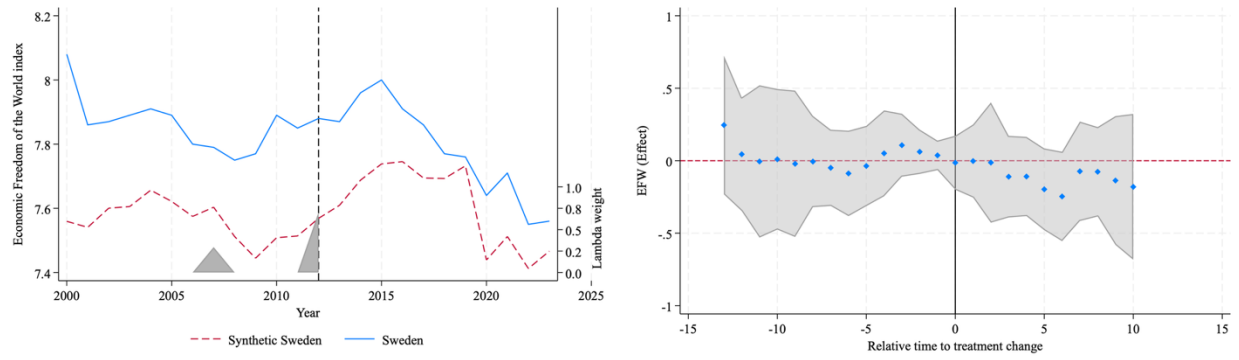


Figure 5E: Sweden Overall EFW

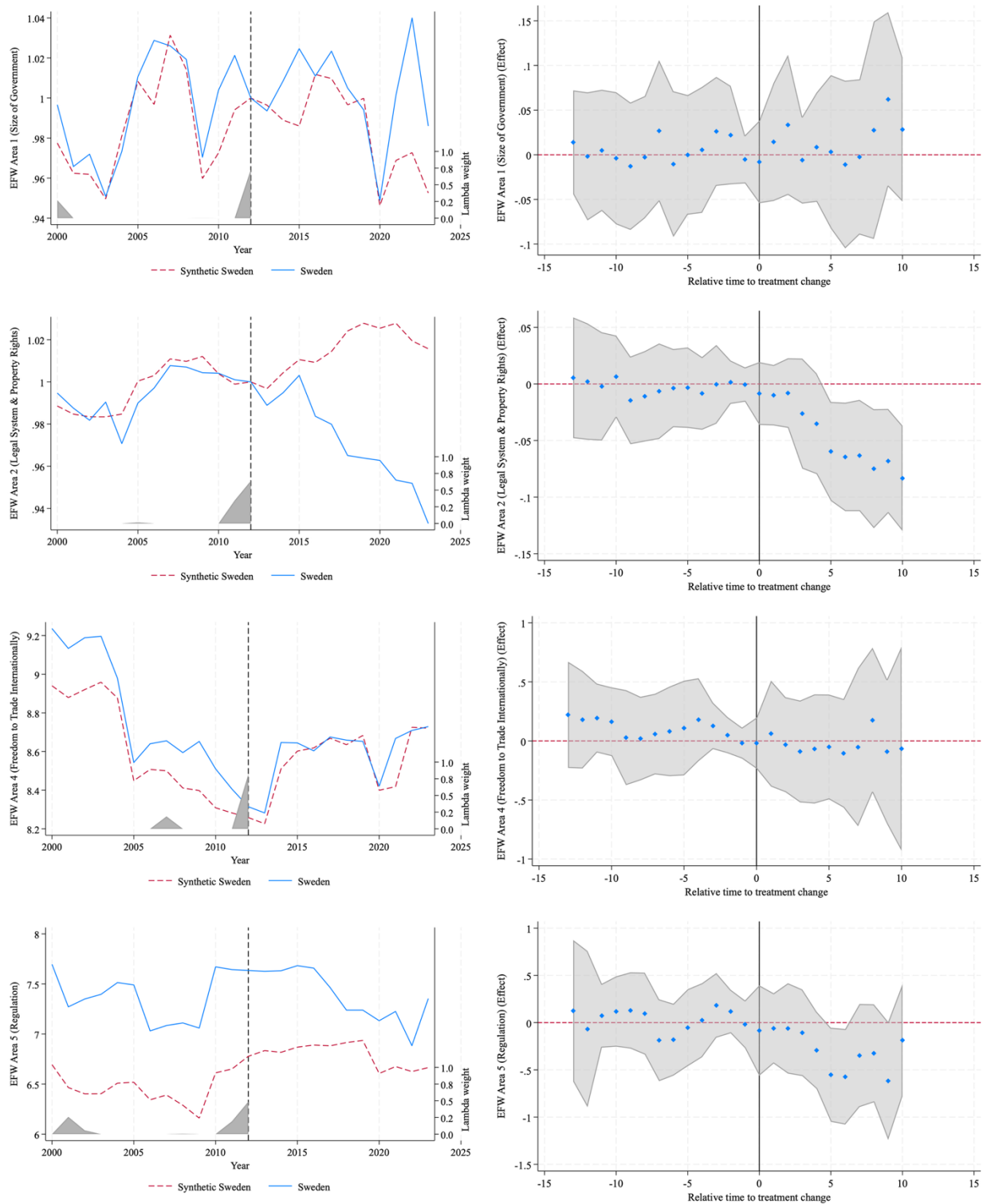


Figure 6E: Sweden subindexes

F. Treatment 2 years earlier

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.034	–	0.199	–	–
Estonia (EST)	–	–	–	–	0.258
France (FRA)	–	0.233	–	–	0.440
Iceland (ISL)	–	–	–	0.133	–
Ireland (IRL)	0.493	0.154	0.526	0.429	0.010
Lithuania (LTU)	–	–	0.170	–	–
Poland (POL)	0.121	0.360	–	–	–
Slovak Republic (SVK)	–	–	0.100	–	–
Slovenia (SVN)	0.087	0.252	–	–	0.270
Spain (ESP)	–	–	–	0.438	–
United Kingdom (GBR)	0.265	–	–	–	0.022
RMSPE	0.067	0.152	0.009	0.067	0.046

Table 1F: Austria weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2012)	7.810	7.805	5.633	5.627	–	–	8.269	8.369	7.083	7.081
EFW (2011)	–	–	–	–	0.994	0.995	–	–	–	–
EFW (2007)	7.860	7.924	5.533	5.723	1.013	1.013	8.610	8.618	6.980	6.991
EFW (2002)	7.860	7.906	5.243	5.440	0.951	0.953	9.160	9.091	7.078	6.978
gini	30.064	32.691	30.064	31.247	30.064	31.178	30.064	32.712	30.064	30.806
percapitagdp	41,633	38,039	41,633	23,709	41,633	31,125	41,633	38,162	41,633	25,663
CL	1.000	1.102	1.000	1.184	1.000	1.177	1.000	1.067	1.000	1.192
hc	3.215	3.214	3.215	3.126	3.215	3.164	3.215	2.862	3.215	3.202

Table 2F: Austria covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.347	–	0.073	–	–
Estonia (EST)	–	–	0.280	–	0.241
France (FRA)	–	0.245	–	0.103	–
Hungary (HUN)	–	–	–	–	0.148
Iceland (ISL)	–	–	–	0.150	–
Ireland (IRL)	0.079	0.104	0.562	–	0.212
Poland (POL)	–	–	–	–	0.324
Portugal (PRT)	–	–	–	–	0.075
Russian Federation (RUS)	–	–	0.082	–	–
Slovak Republic (SVK)	–	0.328	–	–	–
United Kingdom (GBR)	0.573	0.323	–	0.747	–
RMSPE	0.065	0.119	0.009	0.209	0.111

Table 3F: Germany weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2012)	7.990	7.921	6.060	6.050	–	–	8.283	8.536	7.484	7.445
EFW (2011)	–	–	–	–	0.993	0.995	–	–	–	–
EFW (2007)	7.980	8.016	6.305	6.546	0.994	0.995	8.698	8.713	6.800	6.916
EFW (2002)	8.060	8.122	5.962	5.961	0.944	0.945	9.540	9.221	6.921	6.912
gini	30.438	31.931	30.438	31.352	30.438	33.070	30.438	33.818	30.438	33.160
percapitagdp	37,313	33,194	37,313	31,168	37,313	32,613	37,313	42,226	37,313	19,615
CL	1.154	1.194	1.154	1.188	1.154	1.438	1.154	1.131	1.154	1.242
hc	3.617	3.565	3.617	3.355	3.617	3.156	3.617	3.458	3.617	3.104

Table 4F: Germany covariate balance

Donor country	Main EFW	Area 1	Area 2	Area 4	Area 5
Czechia (CZE)	0.058	0.415	0.545	0.102	–
Estonia (EST)	0.168	0.137	–	–	0.214
France (FRA)	0.482	0.103	0.231	0.164	–
Hungary (HUN)	–	–	–	–	0.317
Iceland (ISL)	–	0.025	–	0.025	–
Ireland (IRL)	–	–	–	0.026	0.469
Italy (ITA)	–	0.320	0.069	–	–
Poland (POL)	–	–	0.114	–	–
Slovenia (SVN)	–	–	0.041	–	–
Spain (ESP)	–	–	–	0.298	–
United Kingdom (GBR)	0.292	–	–	0.384	–
RMSPE	0.074	0.019	0.005	0.038	0.146

Table 5F: Sweden weights

Predictor	Main EFW		Area 1		Area 2		Area 4		Area 5	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
EFW (2010)	7.890	7.830	–	–	–	–	8.510	8.545	7.671	7.482
EFW (2009)	–	–	0.967	0.967	1.000	1.002	–	–	–	–
EFW (2005)	7.890	7.891	1.007	1.007	0.986	0.989	8.543	8.562	7.491	7.491
EFW (2000)	8.080	7.944	0.993	0.993	0.991	0.988	9.236	9.204	7.696	7.636
gini	26.773	32.941	26.773	30.608	26.773	29.176	26.773	33.190	26.773	31.652
percapitagdp	45,557	32,229	45,557	23,479	45,557	20,284	45,557	33,512	45,557	28,825
CL	1.000	1.223	1.000	1.365	1.000	1.320	1.000	1.190	1.000	1.193
hc	3.264	3.264	3.264	3.264	3.264	3.345	3.264	3.200	3.264	3.092

Table 6F: Sweden covariate balance

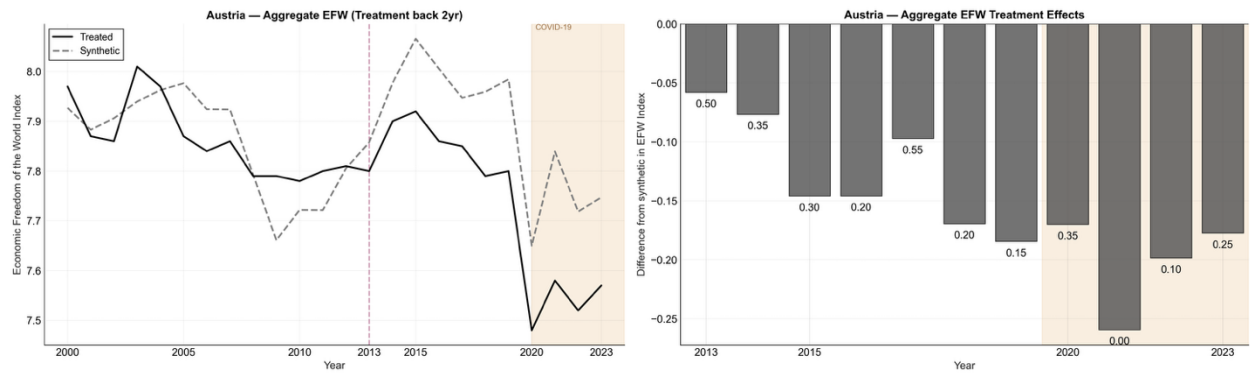


Figure 1F: Austria Overall EFW

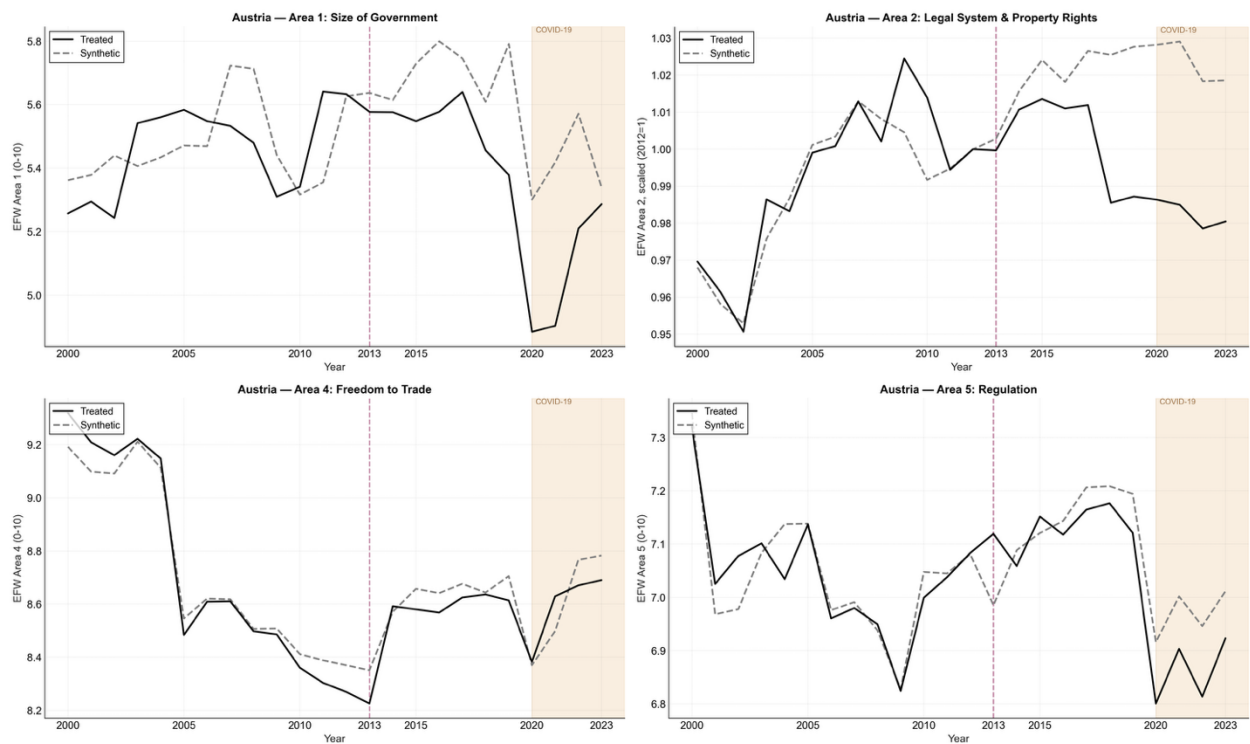


Figure 2F: Austria subindexes

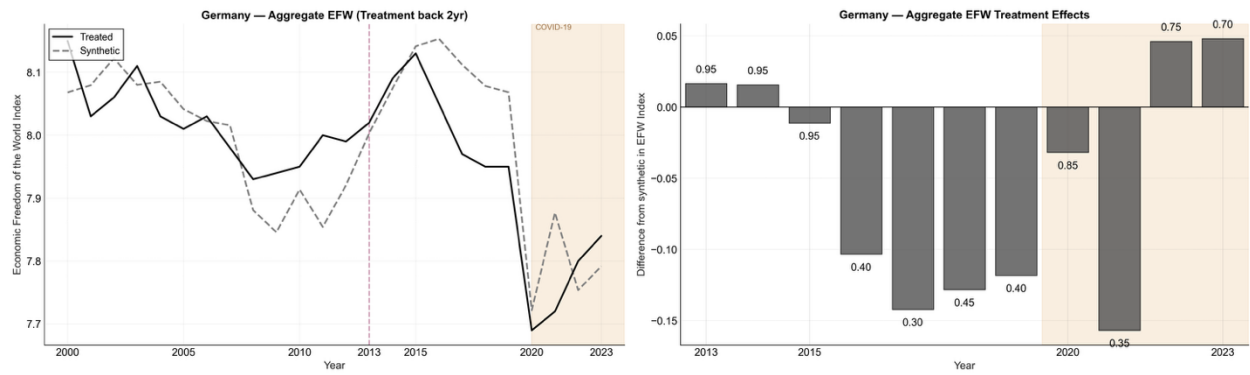


Figure 3F: Germany Overall EFW

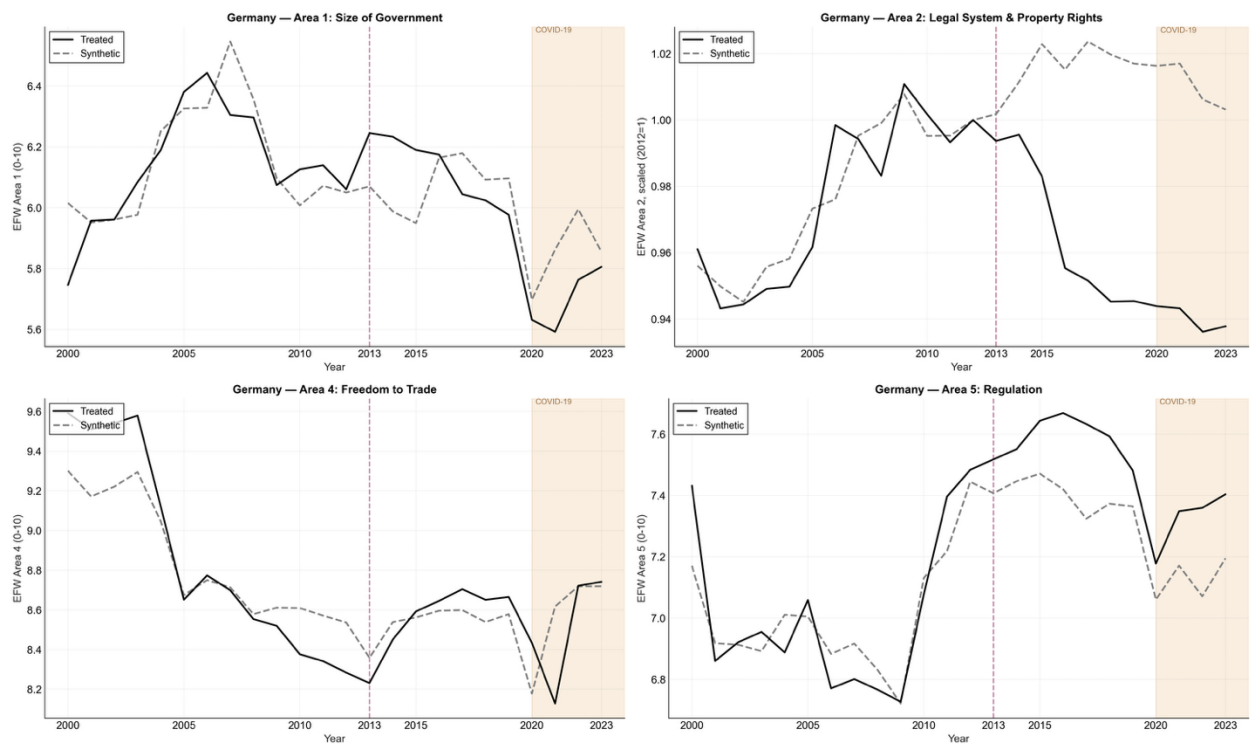


Figure 4F: Germany subindexes

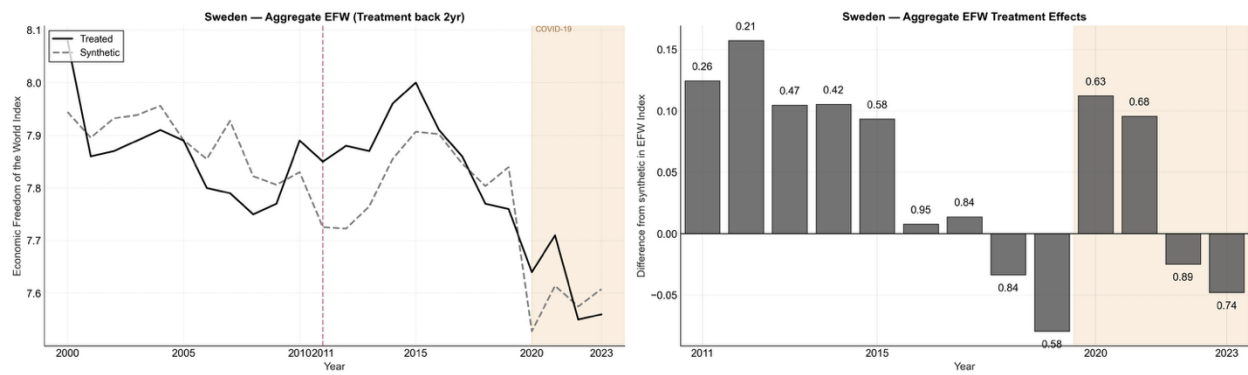


Figure 5F: Sweden Overall EFW

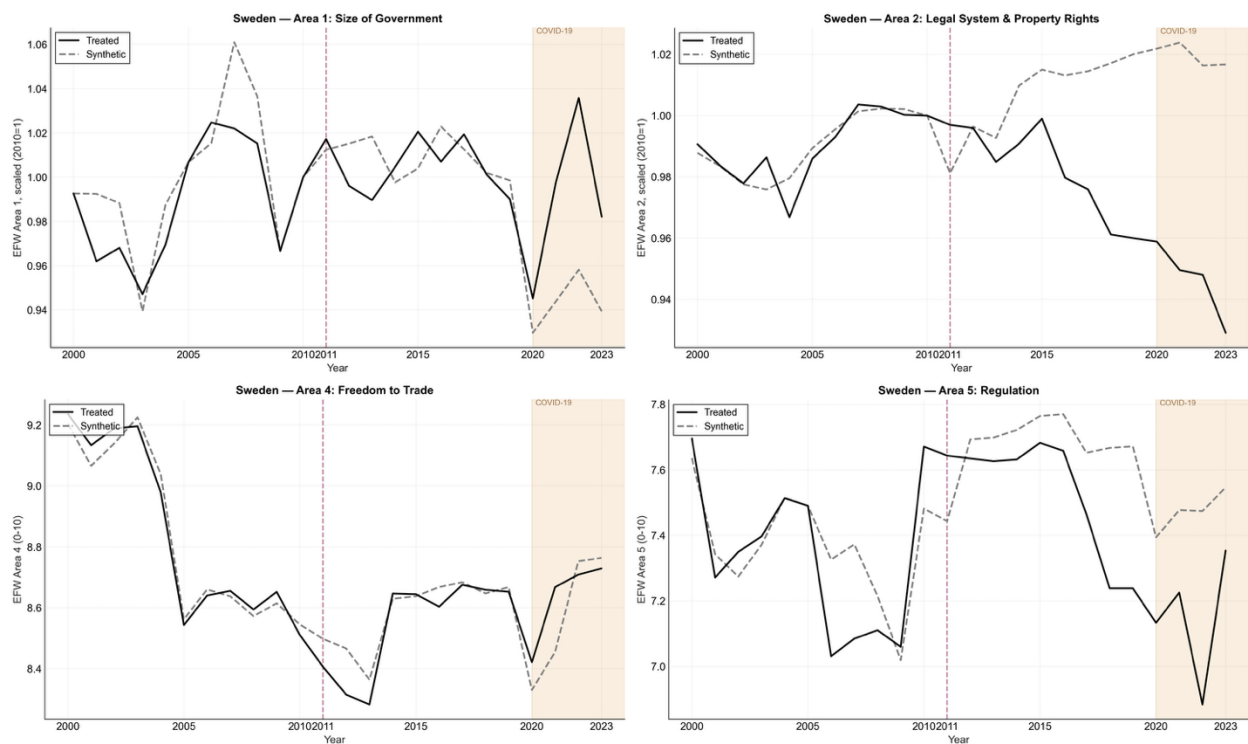


Figure 6F: Sweden subindexes

G. Results using V-Dem property rights.

Table 1G: Donor country weights.

Donor country	Austria	Germany	Sweden
Czechia	–	0.981	0.340
Iceland	0.227	–	0.434
Ireland	0.560	0.014	–
Slovenia	0.213	–	0.226
RMSPE	< 0.001	< 0.001	< 0.001

Table 2G: Covariate balance.

Predictor	Austria		Germany		Sweden	
	Treated	Synthetic	Treated	Synthetic	Treated	Synthetic
Property rights (2013)	1.000	1.000	1.000	0.999	–	–
Property rights (2011)	–	–	–	–	1.000	1.000
Property rights (2009)	1.000	1.000	1.000	0.999	–	–
Property rights (2007)	–	–	–	–	1.000	1.000
Property rights (2004)	1.000	1.000	1.000	0.999	–	–
Property rights (2002)	–	–	–	–	1.000	1.000
gini	30.154	30.151	30.533	26.542	26.900	27.133
percapitagdp	41,928	42,017	37,836	16,067	46,098	30,305
CL	1.000	1.028	1.133	1.261	1.000	1.139
hc	3.229	3.058	3.623	3.613	3.279	3.268

Figure 1G: Austria.

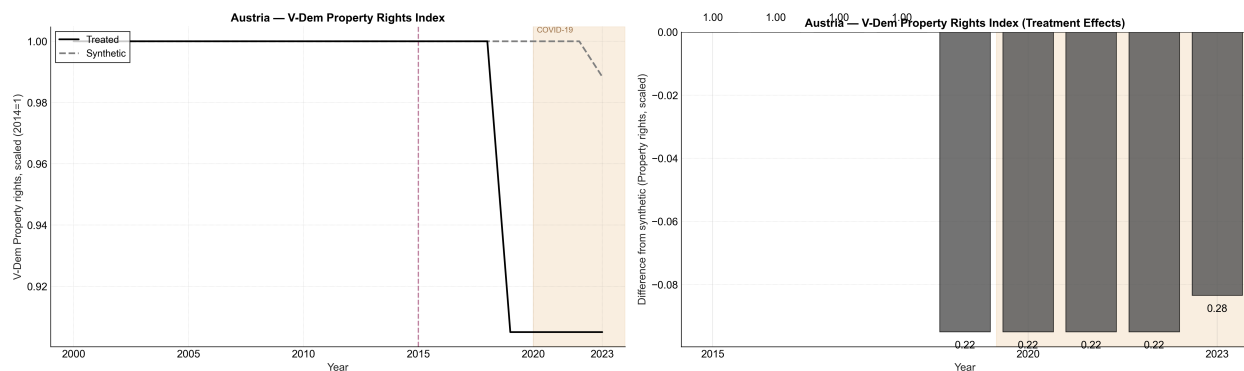


Figure 2G: Germany.

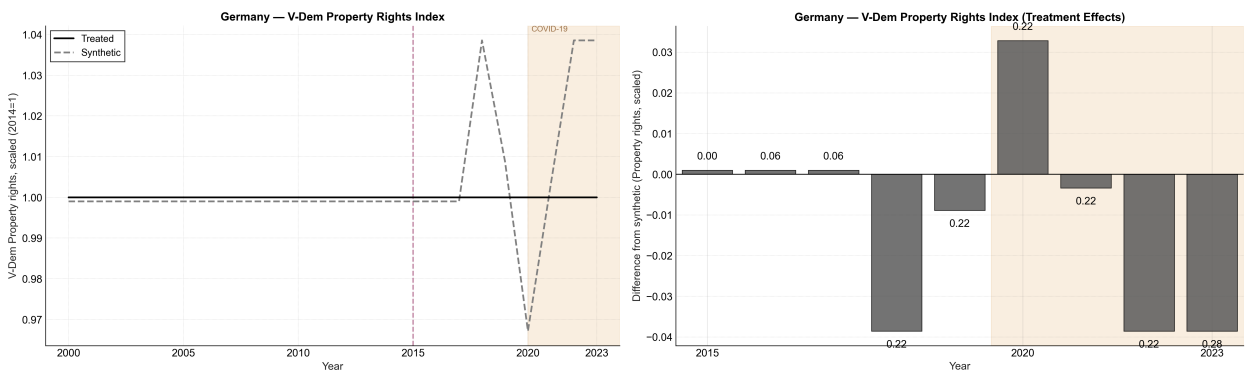


Figure 3G: Sweden.

